

SUPPLEMENTARY REPORTS

ENVISIONING THE FUTURE

With a clear, forward-thinking vision, we are poised to adapt to change and navigate uncertainty, confidently moving toward the unknown.

Lions possess exceptional eyesight, especially in low-light conditions, seeing up to eight times better than humans. Their keen peripheral vision allows them to swiftly detect and respond to changes in their environment. Similarly, mosaics are often used to convey visionary and pioneering concepts, serving as a medium that has long captured countless innovative ideas that have shaped the future as we know it.



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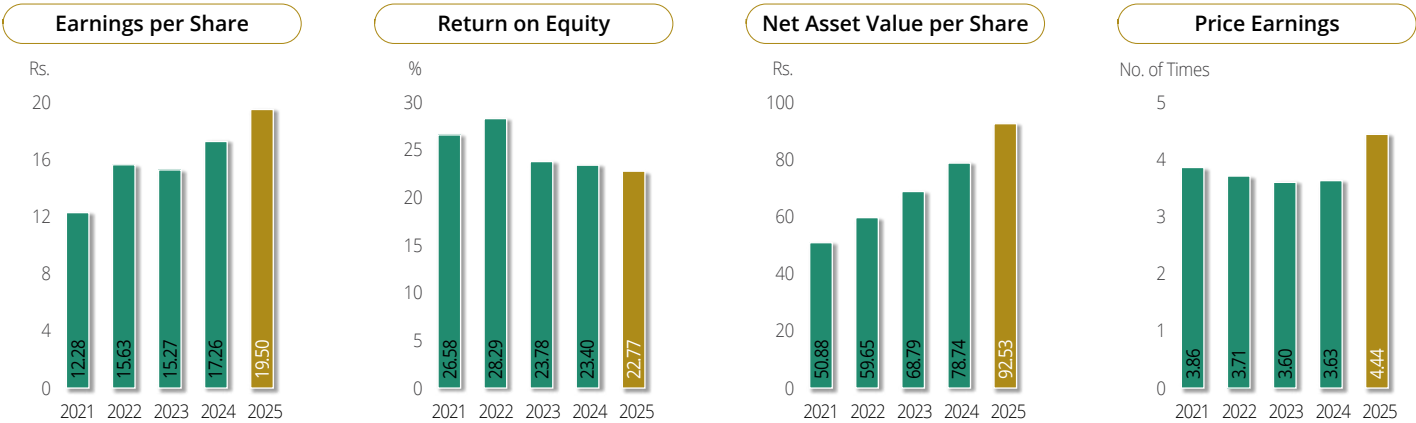
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INVESTOR INFORMATION

KEY INVESTOR INDICATORS



Dear Investor,

At LB Finance PLC, we place our investors at the heart of our operations, striving to maximize your wealth through prudent risk management and strategic decision making. Your expectations guide our long-term, sustainable growth. We are proud of the trust and loyalty of our investors and are committed to delivering timely, transparent information to support informed decision making. Despite economic challenges, we have consistently delivered steady returns and remain focused on fulfilling our commitments.

Insights from Shareholders to LB

Engagement with shareholders is a key priority. Our AGM, financial reports, media releases, and disclosures enable open dialogue and transparency. This engagement has strengthened investor confidence and supported active trading in LBF shares.

Colombo Stock Exchange (CSE)

During the financial year 2024/25, the Colombo Stock Exchange (CSE) experienced mixed results, marked by growing investor confidence amid broader economic concerns. All Share Price Index (ASPI) rose significantly by 37.48%, reaching 15,814.22 points by the end of March 2025, indicating a bullish trend. Similarly, the S&P SL20 index, tracking major blue-chip stocks,

climbed 42.23%, highlighting increased interest in fundamentally strong companies. This strong performance of key indices reflects a cautiously optimistic outlook among investors regarding Sri Lanka's economic trajectory and the resilience of leading domestic companies.

Dividends

LBF maintains a stable dividend policy, distributing one-third of earnings to shareholders while balancing capital needs. For FY 2024/25, an interim dividend of Rs. 2.25 per share was declared and a proposed final dividend of Rs. 4.25 per share for FY 2024/25 will be submitted for the approval of shareholders at the upcoming AGM to be held on 30 June 2025.

Performance of Diversified Financial Sector and LBF

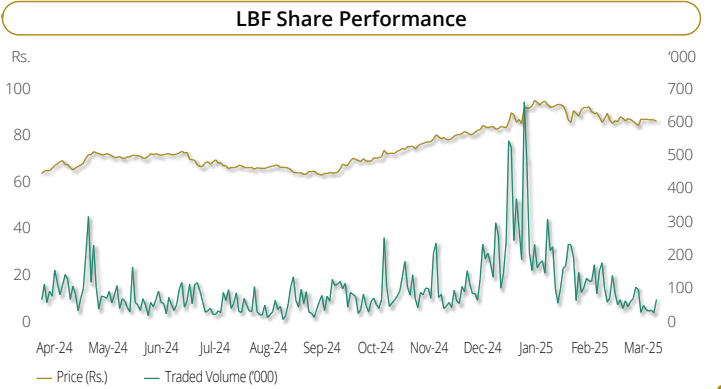
LBF's market turnover reflected overall market momentum, particularly aligning with ASPI and S&P SL 20 improvements in the final quarter. The diversified financial sector showed stronger investor sentiment, with its P/E and P/B ratios increasing to 6.91 and 0.92, respectively. The banking sector also saw a P/B recovery to 0.70, despite a slight decline in P/E to 4.44. Notably, LBF's beta value rose sharply from 0.42 to 1.17, indicating increased sensitivity to market movements and heightened investor interest.

As at 31 March	2025	2024
Diversified Financial Sector -P/E Ratio	6.91	5.70
Banking Sector – P/E Ratio	4.44	4.90
Diversified Financial Sector -P/B Ratio	0.92	0.81
Banking Sector – P/B Ratio	0.70	0.51
Beta Value against ASPI of LB Finance PLC	1.17	0.42



Useful references for Investors

Quarterly Financial Statements: Page 486 to 487
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Share Trading Information

For the period ended	Quarterly Performance				Annual Performance		
	Quarter 1	Quarter 2	Quarter 3	Quarter 4	2024/25	2023/24	2022/23
Share Price							
Highest (Rs.)	73.80	71.50	91.50	95.20	95.20	73.00	61.70
Lowest (Rs.)	62.50	62.00	68.00	80.60	62.00	49.90	36.30
Last Traded (Rs.)	72.70	68.90	89.50	86.50	86.50	62.80	55.00
Share Trading Details							
Number of Transactions	4,721	3,708	7,366	8,108	23,903	14,084	13,177
Number of Shares Traded	15,700,445	5,439,458	33,926,443	19,284,902	74,351,248	63,588,580	14,022,399
Value of Shares Traded (Rs.Mn)	1,102	358	2,635	1,731	5,826	3,852	647
Number of Days Traded	57	63	62	56	238	238	235
Average Daily Turnover (Rs.Mn)	19.33	5.69	42.51	30.91	24.48	65.88	2.75

Market Capitalisation

As at 31 March	2025	2024	2023
Number of Shares in Issue	554,057,136	554,057,136	554,057,136
Equity (Rs. Bn)	51.27	43.63	38.12
LFIN Market Capitalisation (Rs. Bn)	47.93	34.79	30.47
CSE Market Capitalisation (Rs. Bn)	5,606.37	4,534.65	3,903.54
LFIN Market Capitalisation as a Percentage of CSE Market Capitalisation (%)	0.85	0.77	0.78

Public Shareholding

As at 31 March	2025	2024	2023
Public Shareholding Percentage (%)	21.35	21.70	21.73
Number of Shareholders Representing above Percentage	5,337	4,930	5,119

Float Adjusted Market Capitalisation

The Float adjusted market capitalisation as at 31 March 2025 – Rs. 10,149,354,415.20

The Float adjusted market capitalization of the Company falls under Option 1 of Rule 7.13.1 (i) (a) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

INVESTOR INFORMATION**Largest Shareholders of the Company**

Name		As at 31 March 2025		As at 31 March 2024	
		No. of Shares	%	No. of Shares	%
1	Vallibel One PLC	286,729,600	51.751	286,729,600	51.751
2	Royal Ceramics Lanka PLC 125,708,928				
	Commercial Bank of Ceylon PLC /Royal Ceramics Lanka PLC 18,784,000	144,492,928	26.079	144,492,928	26.079
3	Hatton National Bank PLC/Esna Holdings (Pvt) Ltd	15,248,000	2.752	-	-
4	Seylan Bank PLC/JN Lanka Holdings Company (Pvt) Ltd	8,314,886	1.501	1,000,000	0.180
5	Mr W.G.D.C. Ranaweera	6,381,928	1.152	8,868,376	1.601
6	Mr. K.R.E.M.D.M.B.Jayasundara	5,000,000	0.902	5,956,152	1.075
7	Mr. K.D.A. Perera	4,289,735	0.774	4,289,735	0.774
8	DFCC Bank PLC/J N Lanka Holdings Company (Pvt) Ltd	3,000,000	0.541	-	-
9	Mr N. Udage	2,861,235	0.516	2,861,235	0.516
10	Hatton National Bank PLC/JN Lanka Holdings Com pany (Pvt) Ltd	2,720,745	0.491	1,000,000	0.180
11	DFCC Bank PLC A/C No .02	2,227,260	0.402	-	-
12	Mr F.N. Herft	1,970,973	0.356	1,751,100	0.316
13	Rosewood (Pvt) Limited-Account No.1	1,963,807	0.354	-	-
14	Janashakthi Insurance PLC - Shareholders	1,952,700	0.352	1,952,700	0.352
15	Mr. Y.S.H.R.S. Silva	1,881,500	0.340	125,000	0.023
16	J.B. Cocoshell (Pvt) Ltd	1,635,407	0.295	3,340,958	0.603
17	Mr. M. Keil	1,300,000	0.235	-	-
18	Mr M.A.T. Raaymakers	1,270,922	0.229	1,267,245	0.229
19	Mr A.A. Page	1,259,200	0.227	1,259,200	0.227
20	DFCC Bank PLC A/C 1	1,186,099	0.214	-	-
		495,686,925	89.465	464,894,229	83.907
	Others	58,370,211	10.535	89,162,907	16.093
	Total	554,057,136	100.000	554,057,136	100.000

Distribution of Shareholdings

From	To	As at 31 March 2025			As at 31 March 2024		
		No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1	1,000	3,237	803,609	0.15	2,853	756,611	0.14
1,001	10,000	1,418	5,299,034	0.96	1,487	5,817,375	1.05
10,001	100,000	560	16,766,330	3.03	568	17,529,395	3.16
100,001	1,000,000	110	33,194,103	5.99	95	31,658,947	5.71
Over 1,000,000		23	497,994,060	89.88	20	498,294,808	89.94
Total		5,348	554,057,136	100.00	5,023	554,057,136	100.00

Composition of Shareholders

Category	As at 31 March 2025			As at 31 March 2024		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Local	5,314	548,249,314	98.95	4,988	550,325,723	99.33
Foreign	34	5,807,822	1.05	35	3,731,413	0.67
Total	5,348	554,057,136	100.00	5,023	554,057,136	100.00
Individuals	5,106	66,172,006	11.94	4,781	68,172,282	12.30
Institutions	242	487,885,130	88.06	242	485,884,854	87.70
Total	5,348	554,057,136	100.00	5,023	554,057,136	100.00

Share Prices for the Year

Market Price per Share	2024/25	Date	2023/24	Date
Highest During the Period	95.20	16 January 2025	73.00	21 August 2023
Lowest During the Period	62.00	03 September 2024	49.90	02 May 2023
Last Traded During the Period	86.50	28 March 2025	62.80	28 March 2024

Directors' Shareholdings

Names of Directors	As at 31 March 2025		As at 31 March 2024	
	No. of Shares	As a % of Total Shares	No. of Shares	As a % of Total Shares
Mr. G A R D Prasanna	-	-	-	-
Mr. M A J W Jayasekara	-	-	-	-
Mr. J A S S Adhihetty	424,480	0.077	424,480	0.077
Mr. N Udage	2,861,235	0.516	2,861,235	0.516
Mr. B D A Perera	-	-	-	-
Mr. R S Yatawara	8,593	0.002	8,593	0.002
Mrs. Y Bhaskaran	-	-	-	-
Mrs. A Natesan	-	-	-	-
Mr. D Rangalle	-	-	-	-
Mrs. Y Amarasekera	-	-	-	-
Mr. P D Hennayake (w.e.f. 18 Nov 2024)	25,000	0.005	N/A	N/A
Mr. P B Talwatte (w.e.f. 18 Nov 2024)	-	-	N/A	N/A

Credit Ratings

The Company has been assigned A-(Ika) Stable by Fitch Ratings Lanka Limited

DECADE AT A GLANCE



Key Indicators		2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23	2023/24	2024/25
Operating Results											
Net Interest Margin (NIM)	%	12.17	10.91	11.15	11.87	11.96	12.15	13.28	11.88	13.72	12.22
Interest Spread	%	11.09	9.59	9.65	10.32	10.46	10.62	11.98	9.19	11.05	10.35
Cost to Income	%	35.89	39.01	37.37	34.22	33.44	30.56	29.28	32.42	31.13	32.58
Financial Position											
Total Assets to Equity	No. of times	8.07	8.21	7.87	7.40	6.26	4.99	4.97	4.78	4.63	4.70
Debt to Equity	No. of times	6.73	6.89	6.58	6.02	5.01	3.74	3.77	3.60	3.44	3.53
Equity to Deposits	%	19.63	20.71	21.04	22.14	25.77	32.83	37.07	33.43	35.52	37.02
Investor Information											
Return on Equity (ROE)	%	40.40	34.09	30.52	29.93	25.04	26.58	28.29	23.78	23.40	22.77
Return on Assets (ROA)	%	4.89	4.18	3.80	3.93	3.70	4.78	5.68	4.88	4.97	4.88
Equity to Assets	%	12.40	12.17	12.70	13.51	15.98	20.05	20.11	20.90	21.58	21.28
Net Assets Value per Share	Rs.	18.91	22.58	27.70	33.26	41.51	50.88	59.65	68.79	78.74	92.53
Earnings per Share (EPS)	Rs.	6.71	7.07	7.67	9.12	9.36	12.28	15.63	15.27	17.26	19.50
Dividend per Share (DPS)	Rs.	7.50	9.00	11.00	12.00	-	7.00	5.00	5.00	5.75	6.50
Dividend Cover	No. of times	3.58	3.14	2.79	3.04	-	1.75	3.13	3.05	3.00	3.00
Dividend Yield	%	7.07	7.60	9.25	9.99	-	14.77	8.62	9.09	9.16	7.51
Dividend Payout	%	27.94	31.82	35.84	32.88	-	57.01	31.98	32.74	33.31	33.33
Price Earning Ratio (PE)	No. of times	3.95	4.19	3.87	3.29	3.22	3.86	3.71	3.60	3.64	4.44
Price to Book Value (PBV)	No. of times	1.40	1.31	1.07	0.90	0.73	0.93	0.97	0.80	0.80	0.93
Market Price per Share	Rs.	106.10	118.40	118.90	120.10	120.50	47.40	58.00	55.00	62.80	86.50
Market Capitalisation	Rs. Million	14,696	16,400	16,469	16,636	16,691	26,262	32,135	30,473	34,795	47,926
Interest Cover	No. of times	1.92	1.72	1.56	1.60	1.56	1.81	2.35	1.57	1.71	1.98
Growth											
Income	%	5.81	23.76	29.35	16.90	6.64	(4.67)	1.32	41.77	15.14	(5.08)
Interest Income	%	5.42	24.13	30.62	16.97	6.57	(5.84)	0.19	44.10	15.70	(8.56)
Interest Expense	%	(2.96)	40.52	41.74	12.64	5.13	(15.37)	(23.23)	133.03	3.71	(21.95)
Net Interest Income	%	11.86	13.20	21.41	21.16	7.86	2.51	17.13	1.95	28.69	3.19
Profit before Taxation	%	59.81	10.33	10.26	19.50	(1.68)	22.29	27.98	(1.38)	29.23	7.65
Profit after Taxation	%	70.37	5.39	8.49	18.91	2.62	31.15	27.33	(2.33)	13.04	12.99
Total Assets	%	25.13	21.59	17.57	12.89	5.55	(2.35)	16.92	10.94	10.87	19.15
Lending Portfolio	%	27.87	24.59	14.80	10.85	4.78	(3.98)	17.75	8.03	11.09	22.61
Customer Deposits	%	17.50	13.16	20.76	14.08	7.26	(3.81)	3.82	27.90	7.72	12.78
Equity	%	32.20	19.37	22.70	20.06	24.81	22.56	17.23	15.34	14.46	17.51
Employee											
Profit before Tax per Employee	Rs. '000	1,940	1,823	1,883	2,139	2,110	2,631	3,116	3,298	3,674	3,708
Profit after Tax per Employee	Rs. '000	1,354	1,216	1,235	1,397	1,438	1,923	2,266	2,375	2,315	2,452
Total Assets per Employee	Rs. '000	30,800	31,904	35,112	37,697	39,923	39,755	43,005	51,192	48,929	54,661
No. of Branches		146	154	159	163	165	169	181	192	200	216
No. of Employees		2,744	3,221	3,441	3,618	3,606	3,536	3,822	3,562	4,132	4,407
Employees per Branch		19	21	22	22	22	21	21	19	21	20

Financial Statements - Company

	2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23	2023/24	2024/25
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Income Statement										
Income	15,646,467	19,363,429	25,046,202	29,278,024	31,222,860	29,766,124	30,159,476	42,756,458	49,230,095	46,730,955
Interest Income	14,428,729	17,909,935	23,394,115	27,363,768	29,160,292	27,457,741	27,510,530	39,643,934	45,729,853	41,815,458
Interest Expenses	5,773,255	8,112,337	11,498,408	12,951,323	13,615,391	11,522,802	8,846,608	20,615,585	21,379,499	16,687,381
Net Interest Income	8,655,474	9,797,599	11,895,707	14,412,445	15,544,901	15,934,939	18,663,922	19,028,349	24,350,354	25,128,077
Other Operating Income	1,217,737	1,453,493	1,652,087	1,914,256	2,062,567	2,308,383	2,648,946	3,112,524	3,500,242	4,915,496
Total Operating Income	9,873,212	11,251,092	13,547,795	16,326,701	17,607,469	18,243,322	21,312,868	22,140,873	27,850,596	30,043,574
Impairment Charges/(Reversals)	411,793	(40,064)	670,623	983,154	1,831,057	1,691,734	1,025,981	545,744	373,236	(256,236)
Total Operating Expenses	3,543,352	4,389,212	5,062,788	5,587,279	5,887,565	5,575,890	6,239,874	7,178,002	8,669,531	9,788,427
Tax on Financial Services	593,452	1,027,101	1,336,693	2,015,619	2,278,560	1,669,323	2,136,551	2,670,575	3,627,622	4,169,710
Profit before Taxation	5,324,615	5,874,843	6,477,691	7,740,649	7,610,287	9,306,375	11,910,462	11,746,552	15,180,207	16,341,673
Income Tax Expense	1,606,822	1,956,639	2,226,969	2,685,989	2,423,234	2,503,778	3,248,604	3,286,221	5,616,569	5,536,039
Profit for The Year	3,717,792	3,918,204	4,250,721	5,054,660	5,187,053	6,802,597	8,661,858	8,460,331	9,563,638	10,805,634
Statement of Financial Position										
Assets										
Cash and Cash Equivalents	6,051,898	2,895,085	5,874,375	4,040,586	6,162,637	6,187,300	14,458,986	3,980,376	7,406,083	9,024,016
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	10,645	10,068	9,683	6,866	4,648	10,862	13,208	554,309	1,923,016	718,402
Financial Assets at Amortised Cost - Loans and Receivables	71,554,005	89,149,742	102,345,084	113,445,454	118,865,924	114,137,823	134,395,603	145,189,174	161,291,486	197,766,691
Financial Assets Measured at Fair Value Through Other Comprehensive Income	138,411	118,021	121,624	89,710	59,141	77,789	86,102	117,388	118,587	165,024
Other Financial Assets	4,142,716	6,721,526	6,772,554	10,804,517	9,119,681	10,453,903	5,598,624	21,685,834	20,374,770	21,201,500
Other Non Financial Assets	538,898	305,047	815,808	1,067,360	967,469	920,406	454,711	474,347	430,651	439,475
Investment in Subsidiaries	-	-	152,915	318,999	521,162	521,162	921,162	921,998	698,935	521,162
Property, Plant and Equipment	2,045,295	3,514,356	4,680,619	6,577,379	8,221,248	8,241,259	8,421,741	8,633,347	8,984,363	9,725,513
Investment Properties	-	-	-	-	-	-	-	-	-	5,385
Intangible Assets	34,765	49,189	48,119	39,847	41,809	26,021	14,875	22,628	20,701	67,113
Deferred Tax Assets	-	-	-	-	-	-	-	767,186	927,914	1,255,960
Total Assets	84,516,636	102,763,035	120,820,780	136,390,718	143,963,719	140,576,525	164,365,012	182,346,587	202,176,506	240,890,241
Liabilities										
Due to Banks	14,577,233	23,778,147	22,838,038	24,633,508	22,771,085	16,467,179	26,858,737	19,369,784	21,702,012	37,411,682
Financial Liabilities at Amortised Cost - Due to Depositors	53,379,801	60,401,955	72,943,833	83,214,949	89,256,435	85,860,070	89,143,982	114,011,699	122,808,124	138,496,872
Debt Instruments Issued and Other Borrowed Funds	2,601,282	2,044,216	5,152,832	3,107,783	3,111,186	3,113,916	8,564,617	3,882,024	5,491,401	5,005,405
Other Financial Liabilities	1,869,940	2,007,402	1,761,418	1,974,490	2,766,410	3,043,526	3,305,112	3,255,862	3,757,776	4,303,422
Other Non Financial Liabilities	597,806	673,436	852,715	2,070,632	909,266	1,028,054	1,134,771	1,090,091	1,547,570	1,671,989
Current Tax Liabilities	741,251	691,091	633,058	1,395,971	766,752	1,872,154	1,882,242	2,255,830	2,770,496	2,182,738
Deferred Tax Liabilities	143,142	503,488	1,058,750	1,309,722	1,037,580	637,073	111,486	-	-	-
Post Employment Benefit Liability	126,858	153,621	231,240	256,512	345,456	365,265	316,973	365,557	473,058	552,135
Total Liabilities	74,037,317	90,253,356	105,471,884	117,963,567	120,964,170	112,387,237	131,317,920	144,230,847	158,550,437	189,624,243
Equity										
Stated Capital	838,282	838,282	838,282	838,282	838,282	838,282	838,282	838,282	838,282	838,282
Reserves	2,670,537	3,412,318	4,270,522	5,210,097	6,216,939	7,596,106	8,038,658	8,493,049	8,972,430	9,521,361
Retained Earnings	6,970,499	8,259,079	10,240,092	12,378,772	15,944,328	19,754,900	24,170,152	28,784,409	33,815,357	40,906,355
Total Equity	10,479,319	12,509,680	15,348,896	18,427,151	22,999,549	28,189,288	33,047,092	38,115,740	43,626,069	51,265,998
Total Liabilities and Equity	84,516,636	102,763,035	120,820,780	136,390,718	143,963,719	140,576,525	164,365,012	182,346,587	202,176,506	240,890,241

QUARTERLY FINANCIAL STATEMENTS



Income Statement - Company

For the 03 Months Ended	1st Quarter		2nd Quarter		3rd Quarter		4th Quarter	
	30.06.2024	30.06.2023	30.09.2024	30.09.2023	31.12.2024	31.12.2023	31.03.2025	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Income	11,109,025	12,437,998	11,743,681	12,410,733	11,693,722	12,516,224	12,184,527	11,865,140
Interest Income	10,210,023	11,797,051	10,571,311	11,598,692	10,577,284	11,608,719	10,456,840	10,725,391
Less: Interest Expenses	4,297,570	6,112,844	4,138,906	5,543,510	4,146,272	5,061,174	4,104,633	4,661,971
Net Interest Income	5,912,453	5,684,207	6,432,405	6,055,182	6,431,012	6,547,545	6,352,207	6,063,420
Fee and Commission Income	830,799	606,080	1,136,041	754,800	1,054,250	853,231	1,583,351	972,311
Net Trading Income	46,572	24,212	23,594	36,915	28,978	26,959	1,957	53,543
Other Operating Income	21,631	10,655	12,735	20,326	33,210	27,315	142,379	113,895
Total Operating Income	6,811,455	6,325,154	7,604,775	6,867,223	7,547,450	7,455,050	8,079,894	7,203,169
Less : Impairment Charges/(Reversals)	131,506	99,483	25,687	157,521	17,277	277,736	(430,707)	(161,504)
Net Operating Income	6,679,949	6,225,671	7,579,088	6,709,702	7,530,173	7,177,314	8,510,601	7,364,673
Less: Operating Expenses								
Personnel Expenses	1,192,487	1,009,917	1,272,369	1,112,020	1,286,553	1,144,864	1,394,848	1,109,673
Depreciation of Property, Plant and Equipment	233,799	210,050	241,951	215,441	247,788	217,344	256,415	223,513
Amortisation of Intangible Assets	1,964	2,157	3,155	2,032	3,872	2,037	4,137	2,189
Other Operating Expenses	869,921	793,842	958,593	790,551	922,650	926,534	897,925	907,368
Total Operating Expenses	2,298,171	2,015,966	2,476,068	2,120,044	2,460,863	2,290,779	2,553,325	2,242,743
Operating Profit before Tax on Financial Services	4,381,778	4,209,705	5,103,020	4,589,658	5,069,310	4,886,535	5,957,276	5,121,930
Less: Tax on Financial Services	871,907	840,810	1,065,858	902,531	1,057,636	946,149	1,174,308	938,131
Profit before Taxation	3,509,871	3,368,895	4,037,162	3,687,127	4,011,674	3,940,386	4,782,968	4,183,799
Less: Income Tax Expense	1,321,150	1,269,211	1,538,025	1,385,506	1,525,901	1,478,500	1,150,963	1,483,352
Profit for the Year	2,188,721	2,099,684	2,499,137	2,301,621	2,485,773	2,461,886	3,632,005	2,700,447

Quarterly Key Performance Indicators

Profitability								
Return on Equity	20.01%	22.23%	20.83%	22.61%	20.67%	22.79%	22.77%	23.40%
Return on Assets	4.26%	4.66%	4.54%	4.87%	4.55%	4.98%	4.88%	4.97%
Capital Adequacy								
Tier 1	28.90%	27.76%	27.83%	26.67%	25.79%	26.89%	30.45%	31.45%
Total	29.65%	28.40%	28.64%	27.31%	26.63%	27.52%	31.31%	32.19%
Asset Quality								
NPL Ratio - Gross	3.29%	6.69%	2.86%	6.39%	2.53%	4.53%	2.25%	3.54%
NPL Ratio - Net	-0.93%	1.37%	-1.19%	1.56%	-1.42%	-0.38%	-1.22%	-0.79%

Statement of Financial Position - Company

As at	1st Quarter		2nd Quarter		3rd Quarter		4th Quarter	
	30.06.2024 Rs. '000	30.06.2023 Rs. '000	30.09.2024 Rs. '000	30.09.2023 Rs. '000	31.12.2024 Rs. '000	31.12.2023 Rs. '000	31.03.2025 Rs. '000	31.03.2024 Rs. '000
Assets								
Cash and Cash Equivalents	11,101,443	6,804,892	6,324,223	5,115,760	5,138,336	8,093,438	9,024,016	7,406,083
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	1,953,991	1,023,521	819,467	24,578	1,117,445	939,475	718,402	1,923,016
Financial Assets at Amortised Cost - Loans and Receivables	169,782,705	143,481,784	178,411,375	146,654,223	185,713,608	152,284,625	197,766,691	161,291,486
Financial Assets Measured at Fair Value Through Other Comprehensive Income	164,503	112,496	161,296	109,282	200,682	98,767	165,024	118,587
Other Financial Assets	14,950,762	15,653,272	13,824,667	16,468,650	14,677,214	12,700,562	21,201,500	20,374,770
Other Non Financial Assets	457,008	574,524	597,951	653,132	574,039	582,118	439,475	430,651
Investment in Subsidiaries	698,935	921,998	521,162	921,998	521,162	921,998	521,162	698,935
Property, Plant and Equipment and Right-of-Use Assets	9,046,632	8,613,839	9,205,514	8,714,842	9,378,788	8,833,190	9,725,513	8,984,363
Investment Properties	-	-	5,050	-	5,050	-	5,385	-
Intangible Assets	19,605	20,472	56,126	18,424	52,701	22,859	67,113	20,701
Deferred Tax Assets	927,914	767,186	927,914	767,186	927,914	767,186	1,255,960	927,914
Total Assets	209,103,498	177,973,984	210,854,745	179,448,075	218,306,939	185,244,218	240,890,241	202,176,506
Liabilities								
Due to Banks	23,810,816	17,015,091	22,916,093	14,864,031	23,950,021	18,280,111	37,411,682	21,702,012
Financial Liabilities at Amortised Cost - Due to Depositors	125,269,286	111,999,687	127,609,664	114,836,202	132,294,577	115,404,940	138,496,872	122,808,124
Debt Instruments Issued and Other Borrowed Funds	5,821,261	2,616,962	5,993,023	2,704,739	5,301,303	1,509,076	5,005,405	5,491,401
Other Financial Liabilities	3,898,156	3,047,509	4,190,298	3,753,231	4,165,695	4,003,826	4,303,422	3,757,776
Other Non Financial Liabilities	3,428,999	3,255,709	1,679,496	1,554,352	1,546,322	1,546,557	1,671,989	1,547,570
Current Tax Liabilities	2,493,853	2,229,929	1,561,613	1,615,755	1,631,151	1,931,773	2,182,738	2,770,496
Post Employment Benefit Liability	497,408	368,852	524,911	381,113	513,065	377,910	552,135	473,058
Total Liabilities	165,219,779	140,533,739	164,475,098	139,709,423	169,402,134	143,054,193	189,624,243	158,550,437
Equity								
Stated Capital	838,282	838,282	838,282	838,282	838,282	838,282	838,282	838,282
Reserves	9,089,995	8,593,141	9,211,743	8,705,008	9,375,418	8,817,588	9,521,361	8,972,430
Retained Earnings	33,955,442	28,008,822	36,329,622	30,195,362	38,691,105	32,534,155	40,906,355	33,815,357
Total Equity Attributable to Equity Holders of the Company	43,883,719	37,440,245	46,379,647	39,738,652	48,904,805	42,190,025	51,265,998	43,626,069
Total Liabilities and Equity	209,103,498	177,973,984	210,854,745	179,448,075	218,306,939	185,244,218	240,890,241	202,176,506

FINANCIAL STATEMENTS IN USD



Following Income Statement, Statement of Comprehensive Income and Statement of Financial Position have been presented in USD purely for the information purpose of stakeholders.

Income Statement (USD)

Year ended 31 March	Company			Group		
	2025 USD '000	2024 USD '000	Change %	2025 USD '000	2024 USD '000	Change %
Income	157,876	166,319	(5)	159,313	167,688	(5)
Interest Income	141,269	154,494	(9)	142,574	155,752	(8)
Less: Interest Expenses	56,376	72,228	(22)	56,702	72,502	(22)
Net Interest Income	84,893	82,266	3	85,872	83,250	3
Fee and Commission Income	15,556	10,765	45	15,686	10,870	44
Net Trading Income	342	478	(29)	342	478	(29)
Other Operating Income	709	582	22	711	588	21
Total Operating Income	101,500	94,091	8	102,611	95,186	8
Less: Impairment Charges/(Reversals)	(866)	1,261	(>100)	(882)	912	(>100)
Net Operating Income	102,366	92,830	10	103,493	94,274	10
Less: Operating Expenses						
Personnel Expenses	17,386	14,785	18	17,797	15,214	17
Depreciation of Property, Plant and Equipment	3,311	2,927	13	3,335	2,982	12
Amortisation of Intangible Assets	44	28	56	48	38	28
Other Operating Expenses	12,328	11,548	7	12,731	11,971	6
Total Operating Expenses	33,069	29,288	13	33,911	30,205	12
Operating Profit before Tax on Financial Services	69,297	63,542	9	69,582	64,069	9
Less: Tax on Financial Services	14,087	12,255	15	14,133	12,264	15
Profit before Taxation	55,210	51,287	8	55,449	51,805	7
Less: Income Tax Expense	18,703	18,975	(1)	18,753	19,012	(1)
Profit for the Year	36,507	32,312	13	36,696	32,793	12
Profit Attributable to:						
Equity Holders of the Company	36,507	32,312	13	36,689	32,816	12
Non-Controlling Interest	-	-	-	7	(23)	>100
Profit for the Year	36,507	32,312	13	36,696	32,793	12
Earnings per Share: Basic/Diluted (USD)	0.07	0.06	13	0.07	0.06	12
Dividend per Share (USD)						
Dividend per Share : Gross (USD)	0.02*	0.02	13			
Dividend per Share : Net (USD)	0.02*	0.02	13			

*Dividend per share is calculated based on the interim dividend paid and the proposed final dividend which is to be approved at the Annual General Meeting.

A common exchange rate LKR 296 to 1 USD has been used on both current financial year and the previous financial year for the ease of comparison.

Statement of Profit or Loss and Comprehensive Income (USD)

Year ended 31 March	Company			Group		
	2025 USD '000	2024 USD '000	Change %	2025 USD '000	2024 USD '000	Change %
Profit for the Year	36,507	32,312	13	36,696	32,793	12
Other Comprehensive Income that will be Reclassified to Income Statement						
Gains/(Losses) from Translating the Financial Statements of the Foreign Operations	-	-	-	(45)	(247)	(82)
Less: Deferred Tax Charge/(Reversal) on above Items	-	-	-	-	-	-
Net Other Comprehensive Income that will be Reclassified to Income Statement	-	-	-	(45)	(247)	(82)
Other Comprehensive Income that will never be Reclassified to Income Statement						
Net Gains/(Losses) on Investment in Equity Instruments - Fair Value Through Other Comprehensive Income	29	4	>100	29	4	>100
Actuarial Gains/(Losses) on Defined Benefit Plans	55	(181)	>100	55	(184)	>100
Less: Deferred Tax Charge/(Reversal) on Actuarial Gains and Losses	17	(54)	>100	17	(54)	>100
Net Actuarial Gains/(Losses) on Defined Benefit Plans	38	(127)	>100	38	(128)	>100
Net Other Comprehensive Income that will never be Reclassified to Income Statement	67	(123)	>100	67	(124)	>100
Other Comprehensive Income for the Year, Net of Tax	67	(123)	>100	22	(371)	>100
Total Comprehensive Income for the Year, Net of Tax	36,574	32,189	14	36,718	32,422	13
Attributable to:						
Equity Holders of the Company	36,574	32,189	14	36,711	32,446	13
Non-Controlling Interest	-	-	-	7	(24)	>100
Total Comprehensive Income for the Year, Net of Tax	36,574	32,189	14	36,718	32,422	13

A common exchange rate LKR 296 to 1 USD has been used on both current financial year and the previous financial year for the ease of comparison.

Statement of Financial Position (USD)

As at 31 March	Company			Group		
	2025 USD '000	2024 USD '000	Change %	2025 USD '000	2024 USD '000	Change %
Assets						
Cash and Cash Equivalents	30,487	25,021	22	30,658	25,849	19
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	2,427	6,497	(63)	2,427	6,497	(63)
Financial Assets at Amortised Cost - Loans and Receivables	668,131	544,904	23	673,213	549,060	23
Financial Assets Measured at Fair Value Through Other Comprehensive Income	558	401	39	558	401	39
Other Financial Assets	71,627	68,834	4	71,583	69,066	4
Other Non Financial Assets	1,484	1,452	2	1,622	1,674	(3)
Investment in Subsidiaries	1,761	2,361	(25)	-	-	-
Property, Plant and Equipment and Right-of-Use Assets	32,856	30,353	8	32,945	30,521	8
Investment Properties	18	-	-	18	17	7
Intangible Assets	227	70	>100	227	76	>100
Deferred Tax Assets	4,243	3,135	35	4,265	3,150	35
Total Assets	813,819	683,028	19	817,516	686,311	19
Liabilities						
Due to Banks	126,391	73,318	72	127,702	74,175	72
Financial Liabilities at Amortised Cost - Due to Depositors	467,895	414,892	13	469,000	415,657	13
Debt Instruments Issued and Other Borrowed Funds	16,910	18,552	(9)	16,910	18,552	(9)
Other Financial Liabilities	14,539	12,695	15	14,545	12,892	13
Other Non Financial Liabilities	5,649	5,228	8	5,809	5,377	8
Current Tax Liabilities	7,374	9,360	(21)	7,394	9,377	(21)
Post Employment Benefit Liability	1,865	1,598	17	1,865	1,605	16
Total Liabilities	640,623	535,643	20	643,225	537,635	20
Equity						
Stated Capital	2,832	2,832	-	2,832	2,832	-
Reserves	32,167	30,312	6	32,544	30,735	6
Retained Earnings	138,197	114,241	21	138,915	114,782	21
Total Equity Attributable to Equity Holders of the Company	173,196	147,385	18	174,291	148,349	17
Non-Controlling Interest	-	-	-	-	327	-
Total Equity	173,196	147,385	18	174,291	148,676	17
Total Liabilities and Equity	813,819	683,028	19	817,516	686,311	19
Commitments and Contingencies	14,220	7,709	84	13,385	6,861	95
Net Asset Value per Share (USD)	0.31	0.27	18	0.31	0.27	17

A common exchange rate LKR 296 to 1 USD has been used on both current financial year and the previous financial year for the ease of comparison.

CORPORATE GOVERNANCE

COMPLIANCE WITH THE FINANCE BUSINESS ACT DIRECTION

Compliance with the Finance Business Act Direction No. 5 of 2021 Corporate Governance issued by Central Bank of Sri Lanka

Direction Reference	Governance Principal and Implementation	Compliance status
1	BOARD'S OVERALL RESPONSIBILITIES	
1.1	Overall responsibility and accountability The Board assumed overall responsibility and accountability for the Company's operations by setting the strategic direction, establishing a robust governance framework, and fostering a strong corporate culture. The Board actively ensured compliance with all applicable regulatory requirements while consistently promoting and reinforcing a sound governance culture. The availability and visible commitment of the Board has demonstrated through its continuous oversight, leadership engagement, and tone at the top to serve as a critical foundation in shaping ethical conduct, integrity, and accountability throughout the organization. The Board functions are listed in direction 1.2 to 1.7 on pages 491 to 494 and Corporate Governance Report on page 264.	Complied
1.2	Business Strategy and Governance Framework	
a)	Approving and overseeing the implementation of strategic objectives and overall business strategy The Board provides leadership, in approving and overseeing the implementation of strategic objectives and overall business strategy of the Company. The Board also ensures that the necessary financial and human resources are in place for the Company to meet its objectives. The Company's Vision and Mission have served as the foundation for developing Board-approved strategic objectives and corporate values, which have been effectively communicated across the organization. The Board is committed to ensuring that the Company fulfills its responsibilities to shareholders and other stakeholders by ensuring their expectations are comprehended and fulfilled. Amid rapidly evolving market conditions and ongoing developments in the business environment, the Board conducts an annual review of the Company's overall business strategy, ensuring it includes measurable goals. A strategic plan covering the period from 2023/24 to 2025/26 has been established and approved by the Board. This plan has been effectively communicated to all Directors and Senior Management personnel involved in the Company's various operations.	Complied
b)	Approving and implementing Governance Framework The company has implemented the Board approved Governance Framework which is in line with the Company's size, complexity, business strategy and regulatory requirements. The Governance Framework of the Company has been reviewed and approved by Board during the year.	Complied
c)	Periodic assessment of the effectiveness of Governance Framework A process is in place to periodically assess the effectiveness of the Governance Framework by the Board. Effectiveness of the governance process has been reviewed during the year and the results were presented to the Board for improvements.	Complied
d)	Appointing the Chairperson and the CEO and define the roles and responsibilities The Board has appointed the Chairman and MD/CEO and the role of LBF's Chairman is distinct and separate from the MD/CEO, with a clear division of responsibilities between the two. Board approved roles and responsibilities are available for Chairman and MD/CEO of the Company. A brief description of the roles and responsibilities of the Chairman and MD/CEO are given in Corporate Governance report on page 265.	Complied
1.3	Corporate Culture and Values	
a)	Sound corporate culture The Company has established a sound corporate culture which encourage ethical, prudent and professional behavior of employees of the Company. Various policies, procedures and processes such as HR Policy, Code of Conduct, Anti-Bribery and Corruption Policy, Whistleblowing Policy, Corporate Communication Policy, Share Trading Policy are in place by the Board to strengthen the corporate culture which encourage ethical, prudent and professional behaviors. Processes are in place to communicate the Company's corporate values and to effectively monitor compliance with them	Complied

CORPORATE GOVERNANCE

Direction Reference	Governance Principal and Implementation	Compliance status
b)	Establishing the corporate culture and values, code of conduct and managing conflicts of interest Board approved policy on Code of Conduct and policy on managing conflict of interest are in place to establish the corporate culture and values of the company. The Board believes that the establishment of a strong corporate culture, built on core values, is facilitated through the implementation of a comprehensive code of conduct. The Board approved Code of Conduct serves as a guiding framework for employees, outlining the expected behaviors and ethical standards that shape the Company's culture. The Company's Code of Conduct is reviewed and approved by the Board. Article 97 of Articles of Association on 'Restrictions on Voting' evidences the procedure for a Director to abstain from voting on any Board resolution when there is conflict of interest and he/ she is not to be counted in the quorum. The Company's Corporate Governance Framework and Board approved Policy on conflict of interest also clearly provide guidance on avoiding, managing and disclosing conflicts of interests. The Directors' interests are disclosed to the Board at the start of every meeting. If a Director has an interest in a particular matter, he/she abstains from voting at such meeting and he/she is not counted in the quorum.	Complied
c)	Promoting sustainable finance ESG factors are integrated into the Company's overall strategy, decision-making processes, and risk management. By considering ESG factors in decision-making processes, the Board ensures that the Company's actions contribute to sustainable growth and long-term value creation. Identifying the importance of promoting sustainable finance through appropriate ESG considerations, LBF has established a Board Sub-committee, Board Sustainability Committee to formulate a policy on sustainability and oversight the management committee functions. Refer Board Sustainability Committee report on page 302, Integrated Sustainability Report on page 98 for ESG initiatives executed by the Company during the period and Corporate Governance report on page 276.	Complied
d)	Approving the policy of communication A Board approved Corporate Communication Policy with all stakeholders including depositors, shareholders, borrowers and other creditors is in place. This policy has enabled effective communication with the public and regulators, contributing to the stability, growth and success of the Company. This policy is reviewed regularly in order to reflect the best practices in communications. The Company's Policy on Relations with Shareholders and Investors explicitly ensures effective and timely communication of material matters and performance updates to shareholders.	Complied
1.4	Risk Appetite, Risk Management and Internal Controls	
a)	Establishing and reviewing the Risk Appetite Statement (RAS) The Board is responsible for overseeing a strong risk management framework. The Board takes an active role in defining the risk appetite and ensuring its alignment with the Company's business strategy, Governance Framework and capital. A Board approved RAS is in place and regularly monitored through the Board Integrated Risk Management Committee (BIRMC). The risk management department submits a monthly report to the Board comparing the actual position against the risk appetites, highlighting breaches and near breaches along with respective justifications and action plans The RAS last reviewed and approved by the Board in January 2025.	Complied
b)	Implementation of systems and controls to identify, mitigate and manage risks The Board oversees the company's overall risk management process. The Board has appointed the BIRMC to review and recommend the company's risk policies and procedures defining the risk appetites, identifying principal risks, setting governance structures and implementing policies and systems in line with the Integrated Risk Management Framework to identify, manage and mitigate the principal risks of the company. Risk management policies, procedures and frameworks are reviewed and recommended by the BIRMC to the Board based on the internal and external regulations and industry best practices. The BIRMC submits a Risk Assessment Report to the Board within seven days of each meeting. The Integrated Risk Management Report on pages 311 provides further insight in this regard.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
c)	Adequacy and Effectiveness of the internal control systems and Management Information Systems (MIS) The Board ensures that the management maintains a sound system of internal controls to safeguard shareholders' investments and the Company's assets. Internal Controls are designed, among other things to ensure that, each key operations have a policy, process or other measures as well as a control to ensure that such policy, process or other measure is being applied and works as intended. The Board Audit Committee (BAC) has been delegated to regularly review the Company's internal control systems and Management Information Systems (MIS). The BAC has put a process in place to periodically ensure the adoption of sound internal control systems and MIS. The Chief Internal Auditor provides independent assurance to the BAC on the integrity of the Internal Control Systems and the MIS through their annual review of Control Assessment Forms and routine internal audit engagements. Related reports were tabled at the monthly BAC meetings. System and observations were monitored by the Board through BAC, which confirmed that the internal control system and the Management Information System provide a reasonable assurance.	Complied
d)	Approving and overseeing Business Continuity Plan and Disaster Recovery Plan The Board approved Business Continuity management policies are in place for business continuity planning and disaster recovery planning. The Business Continuity Management Committee (BCMC) is appointed to provide strategic direction and support in establishing, implementing, operating, monitoring, reviewing and improving the business continuity management systems of the Company. A frequent BCM drills are conducted covering core business units of the organization to ensure the effectiveness of the Company's business continuity and disaster recovery planning. Board approved business continuity plan and disaster recovery plan is in place and regularly reviewed by the Board to ensure stability, financial strength, and preserve critical operations and services under unforeseen circumstances.	Complied
1.5	Board Commitment and Competency	
a)	Devoting sufficient time on matters relating to affairs of the Company The Board of Directors devote sufficient time on dealing with the matters relating to affairs of the Company. The Board meets on monthly intervals and Board Sub Committees meet monthly, every other month or quarterly intervals as stipulated in the respective Terms of Reference of each Sub Committee.	Complied
b)	Qualifications, skills, knowledge, and experience of Board of Directors Appointments to the Board are recommended by the Board Nomination and Governance Committee (BNGC). The Directors including Non-Executive Directors possess necessary qualifications, adequate skills, knowledge and experience to discharge their duties. Refer the detailed profiles of the Board of Directors on pages 254 to 259.	Complied
c)	Training and development needs of the Board of Directors A process is in place to provide an appropriate induction and ongoing training to every Director of the Board. The Board reviews the training and development needs through Board's annual performance evaluation. The details of the training provided to Board members are stated in the corporate governance report on page 273.	Complied
d)	Self-assessment of the Directors, Sub Committees and the Board Annual self-assessments are performed at the end of each financial year which cover individual performance of each Director and performance of Board as a whole and of Board Sub Committees. The self-evaluation of the Board and Sub-Committees are minuted by respective Secretaries and such records are maintained for effective usage of self-assessment process. The process followed to perform the self-evaluation of the Board members are detailed in the corporate governance report on page 275.	Complied
e)	External independent professional advice A Board approved procedure is in place in this regard. Governance Framework of the Company includes provisions in obtaining independent professional advice to the Board of Directors as and when necessary at Company's expenses to discharge their duties. However, no such instances have occurred during the year when discharging their duties effectively	Complied

CORPORATE GOVERNANCE

Direction Reference	Governance Principal and Implementation	Compliance status
1.6	Oversight of Senior Management	
a)	Identifying and designating Senior Management The positions that can be significantly influenced the Company's policies, direct activities, exercise control over business operations and risk management, have been identified by the Board and designated as Senior Management of the Company. Refer Company's organization chart on page 544.	Complied
b)	Areas of authority and key responsibilities for the Senior Management Accountability and responsibility are delegated to Senior Management officers through the implementation of various policies, procedures, and Job Descriptions (JD). Board approved areas of authority and key responsibilities are available for Senior Management.	Complied
c)	Qualifications, skills, experience and knowledge of Senior Management The Company adopts a stringent procedure in recruiting all Senior Management positions as described in the HR Policy. Predefined qualifications, skills, knowledge and experience are stated in the respective JDs. Independent functions related recruitments are referred to the respective Sub Committee for their inputs. The approval for Key Responsible Persons (KRPs) are obtained from CBSL. All the Senior Management personnel possess necessary qualifications, skill, experience and knowledge to perform their assigned functions. Refer the profiles of Senior Management on corporate website	Complied
d)	Oversight of the affairs of the Company by Senior Management Oversight of the affairs of the Company by its Senior Management takes place at the regular Board meetings and Sub-Committee meetings. Senior Management personnel make regular presentations to the Board on matters under their purview.	Complied
e)	Succession plan for Senior Management A Board approved one to one succession plan is available for Senior Management personnel including MD and Executive Directors. A process is in place to regularly review and update the plan with Board approval.	Complied
f)	Regular meetings with Senior Management The Senior Management are regularly invited to make presentations and participate in discussions on their areas of responsibility at the Board and its Sub Committee meetings and progress towards corporate strategic objectives is a regular agenda item for the Board where Senior Management Personnel are involved regularly.	Complied
1.7	Adherence to the Existing Legal Framework	
a)	Protecting the Interests of Depositors, Shareholders, and Stakeholders Well-established systems and controls are in place for the Board to ensure that Company carries out its activities to the best interest of and obligations to depositors, Shareholders and other stakeholders The Board affirms that the Company has not acted in a manner that is detrimental to the interest of and obligations to any stakeholder.	Complied
b)	Compliance with relevant laws, regulations, directions and ethical standards. Fully fledged Compliance department is established to ensure whether company carries out its activities in adherence to the relevant laws, regulations, directions and ethical standards. The compliance officer report periodically to BIRMC and BAC on status of the compliance. The Board Audit Committee obtains periodic independent assurance from the internal audit department when discharging their duties. Procedures are in place to obtain periodic assurance by the Board and the Board affirms that the Company adheres to relevant laws, regulations, directions and ethical standards to the best of their knowledge.	Complied
c)	Acting with due care and prudence, and with integrity and avoid potential civil and criminal liabilities that may arise from Board's failure to discharge the duties diligently The Board of Directors act with due care, prudence and with integrity to drive the company for a sustainable growth.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
2	GOVERNANCE FRAMEWORK	
2.1	Development of a Governance Framework The Board has developed and implemented comprehensive Governance Framework including, but not limited, to the following key aspects of good governance. The governance framework was last reviewed and approved by the Board in March 2025 a. Roles and responsibilities of the Board on page 264 b. Matters assigned for the Board on page 264 c. Delegation of authority on page 273 d. Board Composition on page 253 e. Board independence on page 253 f. Nomination, election, appointment of Directors and Senior Management on page 271 g. Management of conflict of interest on page 273 h. Access to information and obtaining independent advice on pages 269 and 270 i. Capacity building of Board members on page 277 j. Board's performance evaluation on page 274 k. Role and responsibilities of Chairman and CEO/MD on page 265 l. Role of Company Secretary on page 266 m. Board's Sub-Committees, their role and performance evaluation on pages 266 and 274 n. Limits on related party transactions on pages 274, 299 and 506	Complied
3	COMPOSITION OF THE BOARD	
3.1	Ensuring the Board composition appropriate for the size, complexity and risk profile of the company Appointments to the Board are recommended by the BNGC. Before recommending to the Board, the nominations to the Board are evaluated by the BNGC providing due reference to the size, complexity and current risk profile of the Company. The Directors including Non-Executive Directors are eminent persons with necessary qualifications, adequate skills and knowledge, expertise and experience to bring an independent judgment and their detailed profiles are on pages 256 to 259.	Complied
3.2	Number of Directors on the Board As at 31 March 2025, the Board of Directors comprised twelve (12) members which is within the statutory limit required by the direction. The objective of the Company is to maintain a healthy balance between Executive, Non-Executive and Independent Directors.	Complied
3.3/ 3.4	Service period of Non-Executive Directors The service period of all Non-Executive Directors has not exceeded nine years, except for Ms. Yogadinusha Bhaskaran, a Non-Executive Director representing a shareholder holding more than 10% of the voting rights in the Company. Ms. Bhaskaran has completed nine-year term during the financial year and an extension was granted to her by the Director of the Department of Supervision of Non-Bank Financial Institutions, under the provisions of Section 3.4 Service period of all Directors are disclosed on page 269.	Complied
3.5	Executive Directors	
a)	Criteria for Executive Directors The responsibility of nominating, electing and appointing of Executive Director to the Board was delegated to the BNGC. Four (4) out of the twelve (12) Directors are Executive Directors as at 31.03.2025.	Complied
b)	Shareholding of Executive Directors and Senior Management Executive Directors or Senior Management does not hold more than 10% of the voting rights of the Company.	Complied
c)	Appointment of an Executive Director as MD/CEO Mr. Sumith Adhietty is an Executive Director and is designated as MD/ CEO of the Company.	Complied
d)	Availability of Functional reporting lines of Executive Directors All four (4) Executive Directors are assigned to specific functional areas in the Company where there are clear functional reporting lines. Refer the organization chart on page 544 for more details.	Complied

CORPORATE GOVERNANCE

Direction Reference	Governance Principal and Implementation	Compliance status
e)	Reporting lines of Executive Directors to Board of Directors The Deputy Managing Director and two (2) Executive Directors are reported to the Board of Directors through the MD/CEO of the Company. Refer the organization chart on page 544 for more details	Complied
f)	Holding Executive Directorships and Senior Management positions by Executive Directors. All the Executive Directors including MD has declared that they do not hold any Executive Directorships or Senior Management positions in any other entity.	Complied
3.6	Non-Executive Directors	
a)	Skills, experience and credible track records of Non- Executive Directors All appointments to the Board are recommended by the BNGC. Directors including Non-Executive Directors are eminent persons who possess credible track records and have necessary knowledge, skills, expertise and experience to bring an independent judgment on the issues of strategy, performance, resources and standards of business conducts. All Non-Executive Directors are actively engaged in providing their independent judgment on various matters under discussion through Board Sub-committees. Refer detailed profiles of the Board on pages 256 to 259.	Complied
b)	Separation of Roles Between Executive and Non-Executive Directors An Executive Director functions as the MD/CEO of the Company. No Non-Executive Director has been appointed or functioned as MD/ CEO or Executive Director of the Company.	Complied
3.7	Independent Directors	
a)	Minimum number of Independent Directors Four (4) out of twelve (12) Directors are Independent Directors.	Complied
b)	Qualifications and experience of Independent Directors The Independent Non-Executive Directors of the Company bring a diverse range of skills and experience to the Board, contributing to effective governance and decision-making. Their collective expertise encompasses various fields, including finance, risk management, legal, regulatory compliance, technology, strategy, and industry knowledge. This diverse skill set enables them to provide valuable insights, independent judgment, and constructive challenge to executive management. The Independent Non-Executive Directors' extensive professional backgrounds and experience in different sectors strengthen the Board's ability to navigate complex challenges, anticipate emerging trends, and drive the Company's long-term success while upholding the highest standards of Corporate Governance. The Board's detailed profiles are on pages 256 to 259 and collective expertises are given in Corporate Governance Report on page 272.	Complied
c)	Independent criteria of Independent Directors The Board annually evaluates the independence of the Directors based on the Directors' self-declarations. The independence of each Non-Executive Director is assessed with reference to the criteria set out in this direction, along with applicable regulatory requirements and code of best practices on corporate governance issued by CASL. As at 31.03.2025, the Board determined five (5) out of eight (8) Non-Executive Directors are as independent.	Complied
d)	Determining any other factors affecting to the independence of the Directors The BNGC and the Board assess whether there are any circumstances or relationships, beyond those specified in the direction, that could potentially influence the independence of a director or create a perception that their independence may be compromised at the annual evaluation process. However, no such incidents were occurred during the year.	Complied
e)	Immediate disclosure of circumstances that affect the independence of the Directors A process is in place to disclose immediately to the Board on any change in circumstance that may affect the independence of an Independent Non-Executive Director. No such changes in the status of the independence were reported to the Board during the year.	Complied
3.8	Alternate Directors	
a,b,c,d	Appointment of Alternate Directors No Alternate Directors were appointed by the Directors during the year. No Director on the Board was unable to perform their duties as a result of illness, nor did any Director miss three consecutive Board meetings due to being overseas.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
e)	Independent requirement for Alternate Director appointed for an Independent Director When Alternate Director is appointed for Independent Non-Executive Director, the Board ensures that the person so appointed shall meet the criteria that apply to an Independent Director. However, there were no Alternate Directors appointed during the year 2024/25.	Complied
3.9	Cooling off Periods	
a)	Cooling off period for Directors BNGC monitors the requirement of cooling off period as per this direction. However, no such appointments were made during the year 2024/25.	Complied
b)	Cooling off period for Independent Directors BNGC and the Board monitor the requirement of cooling off period as per this direction. However, no such appointments were made during the year 2024/25.	Complied
3.10	Appointment of a Director or a Senior Management of the Company as a Director of another LFC No Director or member of Senior Management has been nominated, elected or appointed as a Director of another LFC during the financial year.	Complied
3.11	Limit on holding Directorships by a Director of the Company No Director hold Directorships or any equivalent positions in more than 20 companies/societies, bodies including Subsidiaries of the Company. Directorships hold by Board Members are disclosed in Profiles of the Board of Directors in pages 256 to 259	Complied
4	ASSESSMENT OF FIT AND PROPER CRITERIA	
4.1	Fitness and Propriety of Directors Fitness and Propriety of Directors are assessed annually in terms of the requirements of the Finance Business Act Direction no. 6 of 2021- Assessment of Fitness and Propriety of Key Responsible Persons.	Complied
4.2	Maximum age of new Directors The Age of the MD/CEO has exceeded 70 years and necessary approvals were obtained from Central Bank of Sri Lanka for such appointment in compliance with section no. 4.3 of this direction.	Complied
4.3	Maximum age of existing Directors The Age of the MD/CEO has exceeded 70 years and necessary approvals were obtained from Central Bank of Sri Lanka for such appointment as per this direction.	Complied
5	APPOINTMENT AND RESIGNATION OF DIRECTORS AND SENIOR MANAGEMENT	
5.1	The appointments, resignations or removals of Directors and Senior Management All the appointments and resignations to the Board and Senior Management positions were made in accordance with the Finance Business Act direction no. 6 of 2021- Assessment of Fitness and Propriety of Key Responsible Person. All Board members have completed their fitness and propriety assessments during the year.	Complied
6	THE CHAIRPERSON AND THE CHIEF EXECUTIVE OFFICER	
6.1	Clear division of responsibilities between the Chairperson and CEO Board approved Governance Framework provide clear division of responsibilities between the Chairperson and the MD. Refer Corporate Governance report on page no. 265 for more details.	Complied
6.2/6.3	Independence of Chairperson and Appointment of a Senior Director The Chairman is a Non-Independent non-executive Director. Independent Non-Executive Director, Mr. Ashane Jayasekara was appointed as Senior Director with the Board approved TOR to ensure a greater independent element in the Board. Non-executive Directors and Senior Director assess the Chairman's performance annually.	Complied
6.4	Responsibilities of the Chairperson	
a)-j)	Responsibilities of Chairperson The Chairman is responsible to provide leadership, guidance, and oversight to the Board, ensuring that it operates effectively, fulfills its responsibilities, and acts in the best interests of the organization and its stakeholders. Board approved Governance Framework includes the comprehensive set of responsibilities of the Chairman including the responsibilities set out in this direction. Refer page 265 for more details on the Chairman's responsibilities	Complied

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Direction Reference	Governance Principal and Implementation	Compliance status
6.5	Responsibilities of the MD/ CEO	
a)-g)	Responsibilities of the MD/CEO In terms of duties and responsibilities of the MD/CEO, he is the apex executive who is responsible for day-to-day operations of the Company with the assistance of Deputy Managing Director, Executive Directors and members of the Senior Management and is accountable to the Board to recommend the Company's strategy implementation and ensure appropriate internal controls are in place to assess and manage risks. Board approved Governance Framework includes a comprehensive set of responsibilities of the MD / CEO including the responsibilities stated in this direction. Refer page 265 for more details on the MD/ CEO's responsibilities.	Complied
7	Meetings of the Board	
7.1	Regular Board meetings The Board meets regularly approximately at monthly intervals and special Board meetings are convened whenever necessary. The Board met on twelve (12) occasions during the year 2024/25. The consent of the Board is usually obtained at meetings with due notice given with Board papers. Consent obtained by circulation has been kept at minimal.	Complied
7.2	Directors to include matters and proposals in the agenda The Board approved process is in place which enable equal opportunities for all the Directors to include matters and proposals in the agenda for regular Board meetings. Monthly meetings are scheduled and informed to the Board at the beginning of each calendar year to enable submission of proposals to the agenda.	Complied
7.3	A notice of Board Meetings Board meeting dates were agreed by the Board members in advance for the calendar year. Agenda and all Board papers are uploaded through a secured link to iPad for Directors to remotely access seven (7) days prior to the Board meetings.	Complied
7.4	Directors to devote sufficient time to prepare and attend to Board meetings The agenda and Board papers are uploaded through a secured link to iPad in advance and Directors have sufficient time to prepare for the meetings. All the Directors actively contribute at the Board meetings by providing views and suggestions to the best interest of the Company.	Complied
7.5	Quorum of the Board meetings All Board meetings held during the financial year were duly constituted with one half (1/2) of the number of Directors present and one fourth (1/4) of the number of Directors constituting the quorum being Independent Directors.	Complied
7.6	Board meetings without the presence of Executive Directors Two (2) meetings were held by the Chairperson without the presence of the Executive Directors to facilitate effective communication, engagement, and collaboration within the Board. This process supports the smooth functioning of the Board and enhance the overall Governance and decision-making processes.	Complied
7.7	Director abstain from voting relating to matters of relating to him Board approved conflict of interest Policy is in place where a Director is required to abstain from voting in relation to a matter in which such Director or his/her relatives or a concern in which he/she has substantial interest.	Complied
7.8	Attendance of Directors at Board meetings All Directors have attended at least two-third (2/3) of the meetings held during the year and no Director has been absent from three consecutive regular Board meetings during the financial year 2024/25. Refer page 269 for details of individual Directors' attendance at Board meetings	Complied
7.9	Scheduled Board Meetings and Ad Hoc Board Meetings Participation in person is encouraged for all scheduled Board Meetings. All twelve (12) Board meetings were held physically. Directors attendance details of the Board meetings are disclosed on page 269.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
8	COMPANY SECRETARY	
8.1	a) appointment of a Company Secretary In house company secretary was appointed who is in the Senior Management grade to handle the secretarial services to the Board and shareholder meetings, other functions specified in the statutes and other regulations.	Complied
	b) Qualifications of Company Secretary The Company Secretary is an employee of the Company and holds the qualifications prescribed under Section 222 of the Companies Act, No. 07 of 2007.	Complied
8.2	Access to advice and services of the Company Secretary A Board-approved Governance Framework is in place enabling all Directors to access the Company Secretary with a view to ensuring that Board procedures and all applicable laws, directions, rules and regulations are followed. Directors have separate and independent access to the Company Secretary.	Complied
8.3	Delegating responsibilities to the Company Secretary Preparation of the agenda is delegated to the Company Secretary and is approved by the Chairman.	Complied
8.4	Maintaining minutes of the Board The Company Secretary maintains meeting minutes and circulates them to all Board members which shall be open for inspection at any reasonable time to any Director. Additionally, the Directors have access to past Board papers and minutes through a secure electronic link. The Company Secretary maintains minutes with all submissions for a minimum period of six (6) years.	Complied
8.5	Maintenance of Board minutes in an orderly manner The Company Secretary maintains meeting minutes in an orderly manner and in accordance with the procedures outlined in the Company's Articles of Association.	Complied
8.6	Recording minutes of Board meetings with sufficient details The Company Secretary maintains Board minutes with sufficient details. The Board meeting minutes included the minimum of the following to assess whether the Board has acted with due care and prudence in performing its duties; a) Data and information used by the Board in its deliberations, b) Matters considered by the Board, c) Fact-finding discussions and issue of contentions or dissent including contribution of each Director, d) Explanations and confirmations from relevant parties on compliance of strategies, policies, laws, regulations and directions, e) Board's understanding and knowledge on company related risks and risk management measures adopted, f) Decisions and Board resolutions.	Complied
8.7	Inspection of minutes The Board approved Governance Framework includes provisions to inspect Board minutes by Directors.	Complied
9	DELEGATION OF FUNCTIONS BY THE BOARD	
9.1	Delegation of authority The Board approved Policy on Delegation of Authority is in place to give clear directions to the Senior Management, as to the matters that can be approved by the Board before decisions are made by the Senior Management, on behalf of the Company.	Complied
9.2	Absence of Board Sub Committees All the required Sub Committees are in place with Board approved TOR as required by the direction.	Complied
9.3	Senior Management Committees The Board has established management level committees such as ALCO, Credit Committee, ITSSC, Sustainability Committee, Business Continuity Management Steering Committee, Operational Risk Management Committee to assist Board in effective decision making. Refer Management Committees, related tasks and composition on page 267.	Complied

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Direction Reference	Governance Principal and Implementation	Compliance status
9.4	Delegation of matters to Sub Committees, Executive Directors or Senior Management Board approved Governance Framework includes key areas assigned for the Board which cannot be delegated to Board Sub Committees, Executive Directors or Senior Management. Refer the Corporate Governance report on page 264 for details.	Complied
9.5	Periodic review of authority delegation process Delegation arrangements are reviewed periodically to ensure that they remain relevant to the needs of the Company. The Policy on delegation of authority was last reviewed and approved by Board in January 2024.	Complied
10	BOARD SUB-COMMITTEES	
10.1	Board Sub-Committees on asset base	
	FCs with asset base of more than Rs. 20 bn	
a)	Establishment of Board Sub Committees Sub-committees The Following Sub Committees have been appointed by the Board and each such committee is required to report to the Board. 1. Board Audit Committee on page 289 2. Board Integrated Risk Management Committee on page 294 3. Board Nomination and Governance Committee on page 297 4. Board Human Resource and Remuneration Committee on page 298 5. Board Related Party Transactions Review Committee on page 299 6. Board Information Security Committee on page 301 7. Board Sustainability Committee on page 303 Recommendations of these committees are addressed directly to the Board and minutes of meetings are tabled and discussed at the Board meeting. Meetings Meetings are held as defined in the direction or more frequently as per the respective TOR of the Sub-Committee. BAC meetings are held on monthly basis and BIRMC meetings are held on every other month. All other committees met more frequently than mandated in this direction.	Complied
b)	Terms of reference Board Approved TOR is available for each Board Sub Committee which clearly specified its authorities and duties.	Complied
c)	Report on performance of duties and functions of Sub Committees The Company has presented reports on the performance, duties and functions of each Board sub committee in the Annual report for the financial year 2024/25 Refer respective Board Sub-Committee reports for more details on pages 289 to 303	Complied
d)	Appointment of a Secretary to Sub Committees Company Secretary functions as the Secretary for the Board Sub Committees except for BAC and BIRMC where Chief Internal Auditor and AGM – Risk Management function as the secretary to the committees respectively. Meetings for each committee are scheduled and informed to the committee members at the beginning of each calendar year. The minutes and submissions are maintained by the secretary under the supervision of the chairperson of each committee.	Complied
e)	Minimum number of Directors of each Sub Committee Each Committee comprises at least three (3) Board members who possess skills, knowledge and experience relevant to the responsibilities of the Board Sub Committees. Composition of the Board Sub Committees are disclosed in the page 267 of the annual report.	Complied
f)	Occasional rotation of members Occasional rotation of members and Chairpersons of the Board Sub Committees are considered as and when required.	Complied
10.2	Board Audit Committee	
a)	The Chairperson of the Board Audit Committee The Committee is chaired by an Independent Non-Executive Director who is a fellow of the Institute of Chartered Accountants of Sri Lanka (CASL) and the Chartered Institute of Management Accountants (CIMA), UK, with over 20 years of experience in diverse areas including accounting and auditing.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
b)	Composition of BAC All three (3) members of the Committee are Non-Executive Directors out of which two (2) of them are Independent. All committee members carry necessary qualifications and experience relevant to the scope of BAC. Refer profiles of the board of directors on page 256 to 259.	Complied
c)	Secretary of the Board Audit Committee Chief Internal Auditor functions as the Secretary to the Committee.	Complied
d)	External Audit Function	
I)	Appointment of the External Auditor The BAC has recommended the appointment of M/S KPMG Sri Lanka, Chartered Accountants as External Auditor for audit services for the period of 2024/25 subject to the provisions stipulated in this direction. The BAC made recommendations on matters relating to the application of accounting standards in consultation with the Chief Financial Officer and External Auditors, the service period, audit fees, resignation or dismissal of an auditor, re-engaging the audit partner in line with the regulatory requirements.	Complied
II)	Service period of the External Audit firm and audit partner Engagement period of the External Audit firm and audit partner commenced from the current financial year.	Complied
III)	The External Audit Partner Audit Partner is not a Director or employee and does not hold any Senior Management position of the Company. A declaration has been obtained confirming that the audit partner does not hold any shares of the Company.	Complied
IV)	Independence and objectivity of External Auditor and effectiveness of the audit process The External Auditor has provided a confirmation on their independence in compliance with the guidelines for appointment of auditors of listed companies. Also, self-declaration was provided by the auditor on their independence at before commencement and after completion of the audit. In order to safeguard the objectivity and independence of the External Auditor, the BAC reviewed the nature and scope taking in to account of the applicable regulations, guidelines and best practices	Complied
V)	Provision of non-audit services by the External Auditor The BAC with the approval of the Board of Directors developed and implemented a policy for engagement of external auditors to provide non-audit services in order to ensure that the non-audit services do not impair the independence and objectivity of the External Auditor. The said policy addresses the skills and experience of the auditor, treatments to independence, objectivity and fee for the non-audit services was last reviewed and approved by the Board in August 2024.	Complied
VI)	Determine the nature and scope of the audit The Auditors make a presentation at the BAC meeting with details of the proposed audit plan and the scope including assessment of company's compliance with regulatory requirements and internal controls over financial reporting, preparation of financial statements in conformity with relevant accounting principles and reporting obligations, and co-ordination between the other Auditor of the group. Members of the BAC obtain clarifications in respect of the contents of the presentation, if deemed necessary.	Complied
VII)	Review of financial information of the company by the Board Audit committee Annual and quarterly financial statements are circulated well in advance to the BAC. A detailed discussion focused on major judgement areas, changes in accounting policies and practices, significant audit judgements in the financial statements, going concern assumptions and compliance with accounting standards and other legal requirements takes place and required clarifications are obtained in respect of all areas before being recommended for Board approval.	Complied
VIII)	Meetings with External Auditor without Senior Management being present The BAC met the External Auditors without the presence of the Executive Directors and Senior Management in two (2) times during the financial year 2024/25 to discuss issue, problems and reservations arose during the audit.	Complied
IX)	Review of external Auditor's management letter and management response The BAC has reviewed the management letter for year 2023/24 and Senior management responses thereto at very next BAC monthly meeting, but not later than three months of its submission, and reported to the Board.	Complied
e)	Review of effectiveness of the system of internal controls A process is in place to obtain self-declaration from the respective process owners on the internal controls put in place to mitigate the potential risks. Risk management department reviews the control assessment forms prepared by each process owner, and the BAC through Internal Audit Department validated the compliance and effectiveness of the Internal control system of the Company. A report of such review is included in the pages 306 to 307 in the annual report of the Company.	Complied

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Direction Reference	Governance Principal and Implementation	Compliance status
f)	Senior Management taking necessary corrective actions on findings made by auditors and supervisory bodies The Committee continuously follows up the Management letter and other reports issued by the regulatory bodies, internal and external auditors to ensure that necessary corrective actions are taken to address any internal control weaknesses, non-compliance with policies, laws and regulations.	Complied
g)	Internal Audit function:	
i)	Establishment of an independent Internal Audit function A fully-fledged Internal Audit Department (IAD) is in place to provide independent assurance to the committee on the quality and effectiveness of the existing internal control systems of the Company, risk management, governance practices and processes.	Complied
ii)	Mandate, independence and reporting line of Internal Audit Function The Chief Internal Auditor directly reports to the BAC. Internal Audit function have a clear mandate to carry out its functions within the Company. The BAC reviews and ensures that Internal Audit function has sufficient expertise and authority to carry out its work independently, effectively and objectively. A Board approved Internal Audit procedure manual is in place for effective discharging of its duties. The Internal Audit procedure manual was last reviewed and approved by the Board in June 2024.	Complied
iii)	Review of internal audit function The BAC has reviewed the information provided in the risk- based audit plan and concluded that scope, functions, skills and resources of the Internal Audit Department (IAD) are sufficient to carry out its functions. The Committee ensured that the internal audit function is independent of the activities it audits and provided necessary authority to perform its duties effectively and objectively. The BAC has reviewed and approved the Internal Audit Plan for the Financial Year. The Committee meets at monthly intervals to effectively discharge its duties. The Committee reviewed and discussed the Internal Audit programmes and reports tabled by the Chief Internal Auditor and ensured that appropriate action is taken by the management on the Internal Audit recommendations. Relevant Senior Management personnel are invited for such discussions. The Committee follows up through the IAD until the matters are being remediated as per the action plan. BAC has evaluated the performance of Chief Internal Auditor and senior staff members who are one level below Chief Internal Auditor during the year. The BAC ensured the independence of the Internal Audit function from the activities it audits and ensured that audits are conducted with impartiality, proficiency, and due professional care and confidentiality was maintained throughout the audit process. The Internal Audit Department staff reports directly to the Chief Internal Auditor, who in turn reports directly to the BAC. All these aspects are clearly covered in the Internal Audit Procedure manual to establish uniformity in all engagements. The IAD team conducts periodic reviews of regulatory reporting submitted to authorities such as the CBSL, FIU, and IRD. The annual audit plan also included a review of the Compliance function during the year. Whenever a need arises, the BAC and Senior Management assign special internal investigations on certain matters to the Internal Audit Department and reviews major findings with the management responses thereto and ensures that the recommendations are implemented.	Complied
h)	Review of statutory examination reports of CBSL The progress of implementing the time-bound action plan on statutory investigation report issued by CBSL (on-site investigation report) has been reviewed at its monthly meetings by BAC and ensured whether corrective actions are taken in a timely and effective manner	Complied
i)	Meetings of the Committee	
i)	Meetings of the Board Audit Committee The BAC meeting dates were agreed to by Committee members in advance for the calendar year. The Committee meets regularly, at least monthly, and the agenda, minutes and all other Committee papers are uploaded through a secure link to iPad for Committee members to access seven days prior to the BAC meetings Chief Internal Auditor functions as the Secretary to the committee. All matters discussed are duly recorded in detail including the conclusions made in discharging Committees duties and responsibilities The Committee met thirteen (13) times during the year and the attendance at those meetings is set out on page 269 in the Board attendance report.	Complied
ii)	Participants of the Board Audit Committee meetings In addition to the Members of the BAC, MD/ CEO, DMD, Executive Directors, Chief Internal Auditor and Chief Financial Officer attended to the meetings by invitation. Other Senior Management personnel are attended to the meeting by invitation, as when a related matter is taken up for discussion.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
III)	Private Meetings with the External auditor Two (2) meetings were held with the External Auditors during the year without the presence of any other Directors, Senior Management or employees.	Complied
10.3	Board Integrated Risk Management Committee (BIRMC)	
a)	Composition of Board Integrated Risk Management committee The Chairman of the Committee is an Independent Non-Executive Director. The Committee consists of three (3) Non-Executive Directors with sufficient knowledge and experience in banking, finance, risk management and practices. Majority of the Committee members are Independent Non-Executive Directors. The CEO/MD, DMD, Executive Directors, Assistant General Manager – Risk Management (AGM-RM) and relevant Senior Management personnel attend by invitation. The Committee closely work with Senior Management personnel and makes decisions on behalf of the Board within the Board approved Terms of Reference of the Committee.	Complied
b)	Secretary of the Board Integrated Risk Management Committee AGM-RM functions as the Secretary to the Committee.	Complied
c)	Risk Assessment The Committee has Board approved policies on key risk types including credit risk management, operational risk management, liquidity risk management, technology risk management and overall enterprise risk management which provide a framework for management and assessment of risk. Reports on quantitative as well as qualitative risks are presented on every other month to the Board through BIRMC incorporating appropriate risk indicators, management information and make recommendations on risk strategies and risk appetites. Refer the BIRMC report on page 294 for more details.	Complied
d)	Development of a Risk Appetite Statement Board approved RAS is in place which identifies the risk tolerance limits of the Company. RAS includes quantitative measures in relation to earnings, capital, liquidity etc. The RAS defined the boundaries and business considerations which the Company expected to operate. Risk appetite is monitored by the AGM-RM regularly and reports to the BIRMC any identified risks. A dedicated Compliance Officer is in place at Senior Management level to provide assurance to the Board through BIRMC on statutory, regulatory and other compliance related matters.	Complied
e)	Review of Risk policies and Risk Appetite statement Risk policies and RAS are reviewed by the BIRMC on an annual basis. All risk related policies including RAS recommended by BIRMC have been reviewed and approved by the Board during the year.	Complied
f)	Review the adequacy and effectiveness of Senior Management level Committees The Committee reviews the adequacy and effectiveness of Senior Management level committees to address specific risks and manage those risks within quantitative and qualitative risk limits as specified by the committee. Refer Senior Management level Committees and its' scope and composition on page 268.	Complied
g)	Assessing of all aspects of risk management including business continuity and disaster recovery plans The Committee has reviewed all risk management aspects of the Business Continuity Plan and Disaster Recovery Plan during the year. Refer BIRMC Report on page 294 for more details.	Complied
h)	Assessment of performance of Compliance Officer and Chief Risk Officer The Committee assessed the performance of the Compliance Officer and AGM - RM during the year.	Complied
i)	Compliance function	
l)	Independent Compliance function Independent Compliance function is in place with adequate resources to assess the Compliance with laws, regulations, rules, directions, regulatory guidelines and Board approved policies on the Business operations.	Complied
II)	Appointment of a dedicated Compliance Officer (LFCs with assets base more than Rs. 20 Bn) A Senior Management Officer with appropriate seniority has been designated as the Company's Compliance Officer. This Compliance Officer reports directly to the BIRMC and does not engage in any management, operational activities, or income-generating functions while fulfilling his role as the Compliance Officer. The Board approved Compliance Policy is in place to govern the Compliance function of the Company.	Complied

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Direction Reference	Governance Principal and Implementation	Compliance status
III)	Appointment of a dedicated Compliance Officer (LFCs with assets base less than Rs. 20 Bn) Not applicable	Not applicable
IV)	Responsibilities of the Compliance Officer The Job Description (JD) of the Compliance Officer has been reviewed by the BIRMC in Compliance with in this direction and best practices. The Compliance Officer's JD and Compliance Policy cover mainly, but not limited to the following: - Minimizing the regulatory risk by developing and implementing policies and procedures. - Establishing Compliance culture through proper communication - Regular reviews on regulatory rules and internal Compliance standards - Applying new legal and regulatory developments applicable to the Company - Early involvement in ensuring conformity with regulatory, internal Compliance and ethical standard requirements when designing new products or systems. - Addressing serious or persistent compliance issues within acceptable timeline, in concurrence with the management - Maintaining good working relationship with the regulators.	Complied
j)	Risk management function	
I)	Establishment of an independent risk management function The BIRMC has established an independent risk management function for managing risk-taking activities across the Company.	Complied
II)	Risk Management department and dedicated Chief Risk Officer Separate risk management department is established with a dedicated AGM – RM to carry out risk management function and reports to the BIRMC directly.	Complied
III)	Implementing the risk management policies and processes including RAS The AGM – RM of the Company has taken measures to implement the Risk management policies and monitor the Risk Appetite based on the Board approved RAS. The AGM – RM ensures that Company's risk management function is robust and effective to support the strategic objectives to fulfill stakeholder objectives.	Complied
IV)	Developing and implementing a Board approved integrated risk management framework The Committee has a Board approved Integrated Risk Management Framework, which provides guidance for the management and assessment of all material risks, that the company is exposed to. Accordingly, regular reports on quantitative as well as qualitative risks are being reviewed by the Committee in discharging its responsibilities as per the terms of reference. The risk management framework covers: potential risks and frauds, possible sources of such risks and frauds, process of identifying, assessing, monitoring and reporting such risks, controls and mitigating factors and accountabilities. The BIRMC reviews and updates the framework at least on annual basis.	Complied
V)	AGM – RM participating in decision making related to capital and liquidity planning and new product/service development The AGM – RM actively participates in ALCO meetings where key decisions on capital and liquidity planning are made. Additionally, a structured process exists for the development and implementation of new products and services, with the AGM – RM playing a key role in risk identification and mitigation.	Complied
VI)	Maintaining an updated risk register The updated risk register is submitted to the BIRMC on each BIRMC meeting which will be held on every other month.	Complied
VII)	Submission of risk assessment report by BIRMC to the Board meeting. The Committee had kept the Board informed of their risk assessment of the Company by forwarding a risk report for upcoming Board meeting seeking Board's views and directions.	Complied
10.4	Board Nomination Committee (BNC)	
a)	Composition of the BNC The Board has established Board Nomination and Governance Committee (BNGC) which comprised three (3) Non-Executive Directors out of whom majority are independent. Independent Non-Executive Director was appointed as the Chairman of the Committee. The CEO/MD attended the meeting by invitation.	Complied
b)	Secretary of the BNC The Company Secretary functions as the Secretary to the BNGC	Complied
c)	Formal and transparent procedure to select/appoint new Directors and Senior Management. A formal and transparent procedure to select/appoint new Directors and Senior Management is in place. The Senior Management are appointed with the recommendation of relevant Executive Directors and the CEO/MD, except CIA, AGM – RM and Compliance Officer.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
d)	Fitness and propriety of Directors and Senior Management Fitness and propriety for Board of Directors are evaluated on an annual basis and for Senior Management fitness and propriety is evaluated at the time of appointment, promotion, renewal of contracts or on lateral moves. Process of reviewing fit and propriety of Directors and Senior Management are closely monitored by the BNGC.	Complied
e)	The selection process of Directors The criteria set out in this direction are duly considered during the selection and recommendation process of Directors by the BNGC and the Board, including: (i) possession of the necessary knowledge, skills, experience, independence, and objectivity to fulfill the responsibilities of the role; (ii) integrity and good repute; and (iii) the ability to dedicate sufficient time to effectively carry out the assigned duties.	Complied
f)	Board composition is not dominated by any individual or a small group of individuals The Committee regularly reviewed and ensured that the composition of the Board does not dominate by any individual or a group of individuals in a manner that is detrimental to the interest of the stakeholders of the Company.	Complied
g)	Setting off of criteria on qualification, experience and key attributes required to be appointed to the post of CEO and Senior Management Qualifications, experience and key attributes required for eligibility for the appointment to the post of MD/CEO and Senior Management positions are in place.	Complied
h)	Disclosures to shareholder upon the appointment of a new Director During the year, the Company appointed two (2) Independent Non-Executive Directors to the Board. Immediate market announcements were made for each appointment, providing the following information, i. A brief resume ii. Nature of expertise in relevant functional areas iii. Names of the companies in which the Director holds directorship iv. Confirmation of independence of the Directors	Complied
i)	Re-election of current Directors The Committee makes recommendations to the Board considering that the combined knowledge of the Board existed, performance towards strategic demand faced by the Company and contribution made by each Director towards discharge of Board's overall responsibilities.	Complied
j)	Additional/new expertise and the succession arrangements for retiring Directors and Senior Management Board approved succession plan for MD/CEO, Executive Directors and Senior Management is in place. The committee periodically reviews and updates plan where necessary.	Complied
k)	Participating in decision making relating to own appointment/reappointment The members of the BNGC do not participate in decision making relating to own appointments or reappointments. Further, Chairman of the Board abstains from the meeting when matters related to his successor is discussed.	Complied
10.5	Board Human Resources and Remuneration Committee:	
a)	Composition of the Board Human Resources and Remuneration Committee (BHRRC) The Board has established BHRRC of which all the three (3) members are Non-Executive Directors and two (2) out of three committee members are Independent Directors. The Committee is chaired by an Independent Non-Executive Director.	Complied
b)	Secretary of the BHRRC The Company Secretary functions as the Secretary to the Committee.	Complied
c)	Remuneration policy for Directors and Senior Management The Committee determines the remuneration policy relating to Executive Directors and Senior Management. Fees and allowances of Non-Executive Directors are decided by the Board of Directors as a whole. Refer BHRRC Report on page 298 for more details on the remuneration policy of the Company	Complied
d)	Formal and transparent procedure in developing the remuneration policy. The remuneration policy has been developed to achieve fair and equitable benefits with transparent guidelines. The policy was recommended by the Human resource and remuneration committee and approved by the Board of Directors. Refer BHRRC Report on page 298 for more details.	Complied

CORPORATE GOVERNANCE

Direction Reference	Governance Principal and Implementation	Compliance status
e)	Remuneration policy for employees of the Company The Remuneration Policy is reviewed periodically and recommended by the Committee for the approval of the Board on paying salaries, allowances and other financial incentives for employees of the Company.	Complied
f)	Remuneration structure to be in line with the business strategy, objectives, values, long-term interests and cost structure of the Company The remuneration structure is in line with the business strategy, objectives, values, Long-term interests and cost structure of the Company and it also incorporated measures to avoid conflict of interest. The Committee is mindful to abstain from incentivizing employees for taking excessive risks or act in self-interests.	Complied
g)	Review of performance of Senior Management The Committee review the performance of the Senior Management (excluding CIA, Compliance Officer and AGM - RM) against the set targets and goals and recommend the basis for revising remuneration and other performance-based benefits for the Senior Management.	Complied
h)	Senior Management abstain from attending meetings when matters related to them are being discussed Respective Senior Management Personnel shall abstain from attending meetings, when matters related to them are discussed. The Committee reviewed and ensured the Compliance of such requirement.	Complied
11	INTERNAL CONTROLS	
11.1	Adoption of well-established internal control system Well established internal control system is in place which includes Board approved organization structure and segregation of duties, clear reporting lines for management and operational procedures and policies for all the required areas of the Company in order to mitigate the operational risks. A process is in place to ensure the effectiveness of the Company's internal control system. Refer the Directors' Statement on Internal Control on page 306. Refer the organisation structure on page 544 for further details.	Complied
11.2	Outcomes of a strong internal control system The Board has established a comprehensive internal control system which ensured the promoting effective and efficient operation, providing reliable financial information, safeguarding the company's assets, minimizing the operational risks, ensuring effective risk management system and ensuring compliance with laws, regulations, directions and internal policies and procedures. The Board ensured the effectiveness and compliance of the internal control mechanism through various processes as discussed in Directors' Statement on Internal Control on page 306 and the External Auditor has provided an independent assurance on the Directors' Statement on Internal Control over Financial Reporting on page 308 in the Annual Report.	Complied
11.3	Responsibilities of employees on internal control All employees were made accountable and responsible for internal controls as part of their routine functions through the various policies and procedures of the Company. Adherence to the Board established internal controls are monitored by the BAC through IAD.	Complied
12	RELATED PARTY TRANSACTIONS	
12.1	Policy and procedures for Related Party Transactions A Board approved policy for Related Party Transactions is available for govern the related party transactions.	Complied
a)	Composition of the Board Related Party transactions review committee (BRPTRC) The Board has appointed a BRPTRC in conformity with the direction. The Committee comprised of three (3) Non-Executive Directors of which majority are Independent. The Committee is also chaired by an Independent Non-Executive Director.	Complied
b)	Prior review and approval of related party transactions The Board approved policy is in place to govern the Related Party Transactions. As defined in the Policy, all Related Party Transactions are prior reviewed and recommended by BRPTRC.	Complied
c)	Types of related party transactions Board approved RPT Policy outlines the transactions that can be carried out by the Company to avoid any non-compliance and conflicts of interest. The RPT policy includes a comprehensive list of transaction types including the type of transactions listed in this direction.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status
12.2	Avoiding conflicts of interest with list of identified related parties The BRPTRC ensures that the transactions with Related Parties are in accordance with best practices. The RPT Policy is in place which describes the related parties, types of related party transactions and stipulates that no Director shall participate in any discussion of a proposed related party transaction for which he or she is a related party, provided however he or she may participate in discussion to express, propose and providing information concerning to Related Party Transaction to the committee. A system for monitoring and reporting of data pertaining to such transactions has been established and through that system, the Company ensures that no favorable transaction has been entered in to with such parties. All transactions carried out with Related Parties are reviewed by the committee and ensured that they are in the ordinary course of business (Recurrent transactions). Such transactions are disclosed in the financial statements on 'Related Party Disclosures' under Note 3.1 on page 445. The BRPTRC has identified a list of related parties in compliance with this direction and periodic reviews are conducted as and when need arises.	Complied
12.3	Refrain from conducting related party transactions under preferential terms The Board-approved Related Party Transactions Review Policy contains provisions to ensure compliance and the BRPTRC ensures that all the transactions with related parties are on arm's length basis. The Company has developed a separate system to monitor related party transactions to ensure that related party transactions are not entered into on more favorable terms than those offered to others, and approvals of the BRPTRC/ Board are obtained for all transactions before entering in to the transactions.	Complied
13	GROUP GOVERNANCE	
13.1	Responsibilities of the FC as a Holding Company	
a)	Exercising adequate oversight over subsidiaries and associates The Group consist one subsidiary company, LB Microfinance Myanmar Company Limited. The Board approved Governance Framework provide guidelines on the responsibilities of the Company to oversight the affairs of Subsidiary Company. Adequate oversight in place to ensure the compliance with independent legal, regulatory and governance responsibilities applicable to them.	Complied
b)	Responsibility of Board of the LBF as Parent Company	
I)	Group Governance Framework The Board approved Governance Framework clearly defines the roles and responsibilities for the oversight and implementation of group-wide policies.	Complied
II)	Content of the group Governance Framework The differences in the operating environment including geographical, legal and regulatory requirements of the Subsidiary Company are properly understood by the Board and included in the Group Governance framework.	Complied
III)	Reporting arrangements that promote the understanding and management of material risks and developments The reporting arrangement that promote the understanding and management of material risks and developments are included in the Group Governance Framework.	Complied
IV)	Group internal control framework The Board assessed whether the internal control framework of the group has adequately addressed the risks across the group including intra-group transactions. Group IAD ensures the compliance of policies and procedures established across the group.	Complied
V)	Adequate resources are allocated to effectively monitor compliance at the group The compliance team of the parent company overlooks the effectiveness and the compliance of legal and regulatory requirements in both parent and subsidiary companies.	Complied
c)	Group Structure Oversight and Risk Governance As apex entity, the LBF ensured that group structure does not undermine the ability to exercise effective oversight. The Board has established clearly defined process through group governance framework to effectively discharge this direction.	Complied
d)	Alignment of Group Objectives Strategies, policies and Governance Framework with Regulatory Obligations The Board approved objectives, strategies, policies and governance framework are fully consistent with the regulatory obligations of the Company. Further, through the BIRMC, the Board ensure that company specific risks are identified and addressed adequately	Complied
e)	Avoiding setting up complicated structures The Company has not set up complicated group structure that lack economic substance or business purpose that can considerably increase the complexity of the operations.	Complied

CORPORATE GOVERNANCE

Direction Reference	Governance Principal and Implementation	Compliance status
13.2	Responsibilities as a Subsidiary Company is not a subsidiary of another financial institution	Not applicable
14	CORPORATE CULTURE	
14.1	Code of Conduct Board approved Code of Conduct and Policy on Managing Conflict of Interest are in place which include guidelines on appropriate conduct on confidentiality, conflict of interest, integrity of reporting, protection and proper use of Company assets and fair treatment of customers.	Complied
14.2	Records of breaches of code of conduct The Company maintains records of any reported breaches of the Code of Conduct	Complied
14.3	Whistleblowing Policy The Company has a Board-approved Whistleblowing Policy whereby employees of the Company are entitled to raise concerns in confidence about the malpractices in the Company. The BAC ensures that a proper process is in place in line with the Board approved policy for a fair and independent investigation and appropriate follow-up action on such matters. The Compliance Officer reports confidentially on quarterly basis to the BAC on incidents reported together with action taken. The Whistleblowing Policy has been reviewed and revised by the Board on September 2024 and communicated to the staff in all three languages.	Complied
15	CONFLICTS OF INTEREST	
15.1	Avoiding conflict of interest	
a)	Avoiding conflicts of interest by Directors A Board approved Policy on Managing conflict of interest is in place that covers the stipulated requirements. Article 97 of Articles of Association on 'Restrictions on Voting' evidences the procedure for a Director to abstain from voting on any Board resolution when there is conflict of interest and he/ she is not to be counted in the quorum. The Company Secretaries obtained disclosure of interest from Directors at every Board meeting and conflict of interest (if any) is managed based on this statement. Directors abstain from voting in such a situation and they are not counted in the quorum.	Complied
b)	Conflict of Interest Policy A Board approved Policy on Managing conflict of Interest is in place covering all aspects of this directions and best practices.	Complied
16	DISCLOSURES	
16.1	Preparation and publishing of periodic financial statements Annual audited financial statements and periodical financial statements are prepared and published in accordance with the formats prescribed by the regulatory and supervisory authorities and applicable accounting standards. Further, such statements are published in the newspapers in Sinhala, Tamil and English. Minimum disclosures in the Annual Report of the Company	Complied
I)	Financial statements Compliance with applicable accounting standards and regulatory requirements have been reported under the Annual Report of the Board of Directors on the Affairs of the Company on page 282 and Statement of Directors' Responsibility for Financial Reporting on page 305.	Complied
II)	Chairperson, CEO and Board related disclosures Details of the Directors are given in the profiles of the Board of Directors on pages 256 to 259. Details of the Senior Director is stated on page 256 Attendance of Board Meetings and Sub-Committee meetings are given on page 269.	Complied

Direction Reference	Governance Principal and Implementation	Compliance status																																							
III)	Appraisal of Board performance The performance evaluations of the Board and the Sub-Committees have been completed based on the pre-agreed objectives. Details on performance evaluation of Board and Sub-Committees are disclosed in Corporate Governance report on page 274.	Complied																																							
IV)	Remuneration policy A statement on remuneration policy has been disclosed in BHRRC Report appeared on page 298 of the Annual report. Aggregate remuneration paid to Directors and Senior Management <table><tr><td></td><td>2024/25</td></tr><tr><td>Directors</td><td>746,676,287</td></tr><tr><td>Senior Management</td><td>173,158,030</td></tr></table>		2024/25	Directors	746,676,287	Senior Management	173,158,030	Complied																																	
	2024/25																																								
Directors	746,676,287																																								
Senior Management	173,158,030																																								
V)	Related Party Transaction Nature of any relationship between chairman and MD/CEO and the relationships among the members of the Board Refer the Annual report of the Board of Directors on the affairs of the Company on page 282. Net accommodations granted to related parties <table><tr><th rowspan="2">Category of related party transactions</th><th colspan="3">2024/25 (Rs.'000)</th></tr><tr><th>Net Accommodation granted</th><th>Net accommodation outstanding as at 31 March 2025</th><th>Percentage of the core capital</th></tr><tr><td>1. Directors and Senior Management</td><td>4,052</td><td>9,331</td><td>0.01</td></tr><tr><td>2. Shareholders who directly or indirectly holds more than 10% of the voting rights of the Company</td><td>-</td><td>-</td><td></td></tr><tr><td>3. Subsidiaries, Associates, Affiliates, Holding Company, Ultimate parent Company and any other party that Company exert control over or vice versa</td><td>-</td><td>-</td><td></td></tr><tr><td>4. Directors and Senior Management of legal persons above 2 &3</td><td>-</td><td>-</td><td></td></tr><tr><td>5. Relatives of a natural person described in 1, 2 and 4</td><td>3,592</td><td>3,579</td><td>0.007</td></tr><tr><td>6. Any concern in which any of the Director, Senior Management or a relative of any of the company's director or senior management or any of its shareholders who has a shareholding directly or indirectly more than 10% of the voting rights has a substantial interest</td><td>6,000</td><td>6,031</td><td>0.01</td></tr></table> Aggregate value of transactions with Senior Management <table><tr><td></td><td>2024/2025 Rs. '000</td></tr><tr><td>For the year ended</td><td></td></tr><tr><td>Accommodations granted</td><td>13,644</td></tr><tr><td>Deposits/investments made</td><td>150,470</td></tr></table>	Category of related party transactions	2024/25 (Rs.'000)			Net Accommodation granted	Net accommodation outstanding as at 31 March 2025	Percentage of the core capital	1. Directors and Senior Management	4,052	9,331	0.01	2. Shareholders who directly or indirectly holds more than 10% of the voting rights of the Company	-	-		3. Subsidiaries, Associates, Affiliates, Holding Company, Ultimate parent Company and any other party that Company exert control over or vice versa	-	-		4. Directors and Senior Management of legal persons above 2 &3	-	-		5. Relatives of a natural person described in 1, 2 and 4	3,592	3,579	0.007	6. Any concern in which any of the Director, Senior Management or a relative of any of the company's director or senior management or any of its shareholders who has a shareholding directly or indirectly more than 10% of the voting rights has a substantial interest	6,000	6,031	0.01		2024/2025 Rs. '000	For the year ended		Accommodations granted	13,644	Deposits/investments made	150,470	Complied
Category of related party transactions	2024/25 (Rs.'000)																																								
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1. Directors and Senior Management	4,052	9,331	0.01																																						
2. Shareholders who directly or indirectly holds more than 10% of the voting rights of the Company	-	-																																							
3. Subsidiaries, Associates, Affiliates, Holding Company, Ultimate parent Company and any other party that Company exert control over or vice versa	-	-																																							
4. Directors and Senior Management of legal persons above 2 &3	-	-																																							
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CORPORATE GOVERNANCE

Direction Reference	Governance Principal and Implementation	Compliance status
VI)	Board appointed Committees Details of Chairperson, members and the attendance of the below mentioned Board Sub-Committees are stated in respective Sub-Committee reports as follows. Board Audit Committee Report – page 289 Board Integrated Risk Management Committee Report – page 294 Board Nomination and Governance Committee Report – page 297 Board Human Resources and Remuneration Committee Report – page 298 Board Related Party Transaction Review Committee Report – page 299 Board Information Security Committee Report – page 301 Board Sustainability Committee Report – page 303	Complied
VII)	Group structure The Group Structure of the Company is stated on page 31. The Group Governance Framework is disclosed in Corporate Governance report on page 282 of the annual report.	Complied
VIII)	Director's report Refer Annual Report of the Board of Directors on the Affairs of the Company on pages 282 to 288 for the following disclosures; • Declaration on not engaging in any activity, which contravenes laws and regulations • Director's declaration on all RPT with the Company and abstained voting • Fair treatments to all stakeholders, in particular the depositors • Going concern supporting assumptions • Review of internal controls covering material risks to the Company and have obtained reasonable assurance	Complied
IX)	Statement on Internal Control Report by the Board on internal control mechanism of the Company that confirms the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting – Directors' Statement on Internal Control on page 306. External Auditor's Assurance statement on effectiveness of the internal control mechanism – Independent Assurance Report to the Board of Directors on page 308. Report on compliance with prudential requirements, regulations, laws and internal controls – Directors' Statement on Internal Control on page 306 A statement on regulatory and supervisory concerns – Directors' Statement on Internal Control on page 306	Complied
X)	Corporate Governance report The Corporate Governance Report is set out on pages 246 to 281 of the Annual Report of the Company. The Company has obtained an independent assurance report from the External Auditors over compliance with Finance Business Act Direction No. 05 of 2021 on Corporate Governance	Complied
XI)	Code of Conduct A Board approved Code of Conduct for Directors and for all employees are in place. Refer Corporate Governance Report on page 279 for more details. There were no violations of any of the provisions of this code by the Company. Refer "Chairman's statement" on pages 46 to 48 for details.	Complied
XII)	Management report Refer "Management Discussion and Analysis" on page 56 of this annual report.	Complied
XIII)	Communication with shareholders – The Policy and methodology for communication with shareholders / The contact person for such communication. A Board approved Communication Policy is in place which covers all stakeholders including Depositors, Creditors, Shareholders, and Borrowers. The Board of Directors, officers, and employees comply with the policy in order to ensure effective communication for the best interests of all stakeholders through CSE. The Company Secretary communicates with the shareholders through the Annual report, Quarterly Reports, and by notices issued to the shareholders. More details on communications with shareholders are stated Corporate Governance Report on page 276.	Complied

COMPLIANCE WITH CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE

Compliance with the Code of Best Practice on Corporate Governance 2023 (Code) issued by The Institute of Chartered Accountants of Sri Lanka

Code Ref.	Governance Principal and Implementation	Compliance status
SECTION I THE COMPANY		
A	DIRECTORS	
A.1	The Board The Board comprised twelve (12) Directors as at 31st March 2025, eight (8) of whom functioned in Non-Executive capacity, having the required professional competence, skills and experience in the fields of entrepreneurship, banking, finance, legal, IT, economics and marketing to lead and control the Company. The Board gives leadership in setting the strategic direction and implement sound control environment for the successful functioning of the Company. Directors are elected by shareholders at the AGMs with the exception of the Executive Directors who are appointed by the Board and remain as Executive Directors until retirement, resignation or termination of such appointment. The Board has appointed several Sub Committees to assist in discharging Board's collective responsibilities.	Complied
A.1.1	Board Meetings The Board meets at monthly intervals and special Board Meetings are convened whenever necessary. The Board met twelve (12) times during the year. The frequency of Board Meetings, along with the structure and process for submitting information, is formally agreed and documented. Attendance at meetings is summarised on page 269.	Complied
A.1.2	Role & Responsibilities of the Board The Board of Directors of the Company operates under a clearly defined governance framework, which outlines their roles, responsibilities, and powers. This includes following that ensures clarity in governance and decision-making, A well-defined strategy of the Company provides a clear vision and direction for the business and enabled to align the efforts and work towards common goals. The Board engages in providing direction in formulating a sound business strategy and closely monitors the implementation of the strategy effectively. A strategic plan has been developed covering three years from 2024/25 to 2026/27 and was approved by the Board. Mr. Ashane Jayasekara, Independent Non-Executive Director functions as the Senior Independent Director and provides strong leadership to the independent element of the Board. BHRC ensures that the MD/CEO and the Key Management Personnel (KMP) have the required skills, experience and knowledge to implement and sustain the strategy. An effective succession plan has been reviewed and approved by the Board during the year. To enable the effective discharge of its stewardship, except matters explicitly reserved, the Board has delegated its authorities to Sub Committees to overlook the specific responsibilities under the pre-agreed terms of references and operational responsibilities have been delegated to Senior Management led by MD/CEO within preapproved limits. The Board ensures the availability of effective systems to secure integrity of information, internal controls, business continuity planning, risk management, cybersecurity and compliance with laws, regulations and ethical standards. The Board is mindful about the all stakeholder interests and corporate values of the LBF when corporate decisions are made.	
	The Corporate Strategy, decisions and activities are aligned recognising the sustainable business development and ESG related risks and opportunities. Refer following reports for further insights in this regard. The Directors Statement on Internal Controls over Financial Reporting - page 305 The Corporate Governance Report - page 248 The Integrated Risk Management Report - page 311 The Board Audit Committee Report - page 289 The Board Sustainability Committee Report - page 303 Integrated Sustainability Report - page 98	Complied

CORPORATE GOVERNANCE

Code Ref.	Governance Principal and Implementation	Compliance status
A.1.3	Act in accordance with laws and seek professional advice The Board collectively and Directors individually, recognize their duty to comply with laws, regulations and guidelines issued by different regulators, and best practices. The Board of Directors ensures that procedures and processes are in place to ensure that the LBF complies with all applicable laws and regulations. In order to preserve the independence of the Board and to strengthen the decision-making, the Board seeks independent professional advice when deemed necessary. The Governance Framework outline the procedure to be followed in obtaining independent professional advice.	Complied
A.1.4	Access to advice and services of Company Secretary The Company Secretary functions independently of the Company's day-to-day business activities, ensuring an objective and impartial approach to Governance matters. This independence allows the Company Secretary to effectively support the Board. All Directors have access to the Company Secretary. Services of the Company Secretary are available to all Directors and she advises the Board on Corporate Governance matters, Board procedures and applicable rules and regulations.	Complied
A.1.5	Independent Judgement All Directors are responsible for bringing independent judgment on issues of strategy, performance, resource allocation, risk management, statutory and regulatory compliance and standard of business conduct. Non-Executive Directors also provide independent judgment on the proposals made by the MD/CEO and Executive Directors.	Complied
A.1.6	Dedicate adequate time and effort Every Director has dedicated, adequate time and effort to the meetings of the Board and Sub Committee meetings to ensure that the duties and responsibilities are satisfactorily discharged. All the Board papers are uploaded through a secured link to the iPad at least seven days prior to the Board meetings for the Directors to access prior to the Board Meeting. Additional information and clarification requirements are made through the Company Secretary and all matters that require follow ups are discussed at the immediately succeeding Board meeting. The current process facilitates adequate time to familiarise with Business Operations, Risks and controls.	Complied
A.1.7	Calling of a resolution by 1/3 (one third) of the Directors If necessary, in the best interest of the Company, one-third (1/3) of the Directors can call for a resolution to be presented to the Board. However, Necessity did not arise during the year.	Complied
A.1.8	Board induction and training Every Director was given appropriate induction when first appointed to the Board with regard to the affairs of the Company and laws and regulations applicable to the Company. The Board regularly reviews and agrees on the training and development needs of the Directors, to effectively discharge their duties. The Senior Management and external experts make presentations with regard to the business environment to update the knowledge. Further strengthening the knowledge in discharging the responsibilities of board members' comprehensive knowledge sharing sessions have been conducted as referred in page 273 of the annual report. Due consideration is given for the newly appointed Directors on responsibilities of the role, ability to commit time, any existing or potential conflict of interest and required competencies.	Complied
A.2/ A.2.1	Chairman and Chief Executive Officer The positions of Chairman and MD/CEO have been separated in line with the best practices and there is a clear division of responsibilities between two designations to ensure a balance of power and authority, such that no one individual has unfettered powers of decision. The Chairman of the Company is a Non-Independent Non-Executive Director and Independent Non-Executive Director, Mr. Ashane Jayasekara was appointed as Senior Independent Director with documented TOR to ensure a greater independent element in the Board.	Complied

Code Ref.	Governance Principal and Implementation	Compliance status
A.3/ A.3.1	Chairman's Role in Preserving Good Corporate Governance The Chairman provides leadership to the Board, ensures that the Board works effectively and discharges its responsibilities and ensures that all key and appropriate issues are discussed by the Board in a timely and effective manner. The Chairman, in consultation with the MD/CEO, Directors, and Company Secretary, approves the detailed agenda for each meeting and facilitates effective participation and a balanced distribution of power between Executive and Non-Executive Directors to enable their fullest contribution for the benefit of the Company. All Directors are encouraged to seek information considered necessary to discuss matters on the agenda of the meetings. The views of the Directors on issues under consideration are ascertained and a record of such deliberations reflected in the minutes. Further, the Board is in complete control of the LBF's affairs and mindful of their obligations towards all stakeholders including shareholders.	Complied
A.4	Availability of Financial Acumen The Chairman of the BAC is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and CIMA (UK), possessing extensive experience in finance and audit. Additionally, one of the BAC members is also a Fellow Member of CIMA (UK) with a strong background in finance. Further, an Executive Director is also a qualified finance professional with experience in finance and management. The remaining members of the Board comprise individuals with expertise in finance and banking. Thus, there is sufficient financial acumen and knowledge within the Board to offer guidance on matters of finance. The profiles of the Board of Directors are given on page 256 to 259.	Complied
A.5	Board Balance LBF set up a Board which has a balance of Executive and Non-Executive Directors that no individual or small group of individuals can dominate its decision making.	Complied
A.5.1	Balance of Executive and Non-Executive Directors in the Board The Board includes a strong presence of Non-Executive Directors of sufficient calibre. During the financial year under review, the Board comprised eight (8) Non-Executive Directors and four (4) Executive Directors, With Non-Executive Directors constituting the majority, the Board maintained the required balance in its composition.	Complied
A.5.2	Strong independent element in the Board The Board has determined five (5) out of eight (8) Non-Executive Directors are independent as at 31.03.2025 as per this Code.	Complied
A.5.3	Evaluating independence of Directors The Board evaluates the independence yearly using annual declarations submitted by the Directors according to the criteria detailed in this Code. This process ensures whether such Directors are independent of the management and free of any business or other relationship that could interfere with the exercise of their unfettered and independent judgment.	Complied
A.5.4	Signed declaration of independence by the Non-Executive Directors All NEDs Directors provided the signed declarations of independence for the Financial Year 2024/25 as per Schedule C of the Code. Based on the annual declarations submitted by the Directors, there are eight (8) Non-Executive Directors and out of them, five (5) are independent as at 31 March 2025.	Complied
A.5.5	Determination of the Independence and Non-Independence of each Non-Executive Director annually Independence of each NED has been reviewed by the Board during the year 2024/25 and has determined that the submission of the declaration by the NEDs, as to their independence is a fair representation. The process of evaluating the independence of NED has considered all criteria set out in the code and this will continue as an annual event.	Complied
A.5.6	Appointing an Alternate Director No Alternate Directors were appointed during the year.	Complied
A.5.7	Appointing Senior Independent Director (SID) and confidential discussion with other Directors by the SID The roles of the Chairman and the CEO are held by two different individuals. Independent Non-Executive Director, Mr. Ashane Jayasekara was appointed as a Senior Independent Director since Chairman of the Board is a Non-Independent Non-Executive Director. Board approved TOR is available for the Senior Independent Director. SID met Non-Executive and Executive Directors at the Sub-Committee meetings and discussed matters related to Governance Framework of the Company and updated the Chairman on the outcome of the discussions.	Complied

CORPORATE GOVERNANCE

Code Ref.	Governance Principal and Implementation	Compliance status
A.5.8	Availability of SID for confidential discussion with other Directors The SID makes himself available for confidential discussions with other Directors who may have concerns which they believed have not been properly considered by the Board as a whole. Also, the SID participates in all meetings with majority, significant and minority shareholders as and when necessary. However, no such incidents were occurred during the year. Refer the report of Senior Independent Director on page 247 of this annual report.	Complied
A.5.9	Meetings held by the Chairman with Non-Executive Directors, without the Executive Directors being present The Chairman held two (2) meetings with NEDs without the Executive Directors being present.	Complied
A.5.10	Recording of concerns of Directors in Board minutes where they cannot be unanimously resolved There were no instances where the Directors could not unanimously resolve matters and accordingly no such matters were recorded in the minutes.	Not applicable
A.6	Provision of Appropriate and Timely Information The Company provides timely and appropriate information to the Board enabling them in discharging their duties.	Complied
A.6.1	Effective Board Communication and Information Flow Timely and accurate information is provided by the Management to the Board generally seven days prior to the Board meetings. The members of Senior Management make presentations to the Directors on important issues relating to the financial performance, strategy, risk, systems and procedures, corporate governance matters, information technology developments, cybersecurity measures, legal and regulatory compliance. The Directors make further inquiries from management team, where necessary, to obtain further clarity on matters scheduled for discussions. Requested clarifications are obtained prior to the Board meetings to make effective decision making. The Chairman ensures that all Directors are properly briefed on matters arising at the Board Meetings.	Complied
A.6.2	The minutes, agenda and papers required for a Board meeting should be provided before seven (7) days The minutes of the previous Board meeting, agenda and Board papers are uploaded through a secured link to the iPad, for the Directors, to access seven (7) days prior to the Board meeting.	Complied
A.7	Appointments to the Board The Board has established a formal and transparent procedure for the appointment of new Directors to the Board.	Complied
A.7.1	Nomination Committee The BNGC makes recommendations to the Board on all new appointments to the Board. The Committee was set up in compliance with the requirements set out in this code and terms of reference of the committee is reviewed and approved by the Board. The Committee comprised 3 Non-Executive Directors of whom majority are independent. The Senior Independent Director serves as Chairman of the Committee. The BNGC composition and the activities performed during the year are discussed in the report of the Board Nomination and Governance Committee is given on page 297 of the Annual Report.	Complied
A.7.2	Assessment of Board composition by the Nomination Committee A process is in place to assess the existing Board composition against pre-defined criteria of skills, diversity and knowledge to ensure that Board appointees are fit and proper. The Committee has actively prioritised diversity in Board composition, taking into account gender, age and any other factors that are relevant to the Finance Industry. The Committee reviewed the new appointments and re-elections to the Board with strategic direction of the Company to attract and retain Board members with relevant experience and qualifications and to ensure that Board appointees are fit and proper. The Committee complied with all the requirements stipulated in the section A.7.2 of this code.	Complied
A.7.3	Succession Plan Board approved succession plan is in place for CEO/MD and all KMPs. Necessary training and development requirements are identified for successors.	Complied
A.7.4	Disclosure requirements when appointing of new Directors to the Board During the year two (2) Independent Non-Executive Directors, Mr. Piyal Hennayake and Mr. Priyantha Talwatte were appointed to the Board. Details of these Directors were disclosed to the shareholders at the time of their appointment by way of announcements made to the CSE as well as in this Annual Report. Prior approval for appointments of new directors was obtained from the Director of Department of Supervision of Non-Bank Financial Institutions of Central Bank of Sri Lanka.	Complied

Code Ref.	Governance Principal and Implementation	Compliance status
A.7.5	Report of the Nomination Committee in the Annual Report Requirements stipulated in this code are disclosed in the "Report of the Board Nomination and Governance Committee in page 297 of this annual report.	Complied
A.7.6	Terms of Reference of Nomination Committee A Board approved Terms of Reference is in place for BNGC.	Complied
A.8	Re-election of Directors A process is in place requiring all NEDs to submit themselves for re-election at regular intervals and at least once in every three years.	Complied
A.8.1	Appointment and re-election of Non-Executive Directors Non-Executive Directors are appointed for a specified term subject to re-election and to the provisions in the Companies Act in relation to the removal of a Director. Their Re-appointment is not automatic; at each AGM, one-third of the NEDs due for retirement are re-elected by the shareholders.	Complied
A.8.2	Re-election of Chairman and other Directors The provisions of the Company's Articles of Association also require directors appointed by the Board to hold office until the next AGM and seek appointment by the shareholders at that meeting. When the Chairman and other Directors submit themselves for re-election or reappointment, minimal disclosures as defined in this code are made to all shareholders to make informed decisions on their election. The fitness and propriety of each Director are reviewed by the BNGC and make recommendations for re-election.	Complied
A.8.3	Resignation A process is in place, if a Director who wish to resign prior to completion of appointed term. However, there were no such resignations during the year.	Complied
A.9	Appraisal of Board & Sub Committees' Performance A process is in place for Board and Sub Committees to appraise their own performance through annual self-evaluation process in order to ensure that Board responsibilities are satisfactorily discharged.	Complied
A.9.1	Appraisal of Board Performance The Board and Board appointed Sub-Committees annually appraise their own performance to ensure that they are discharging their responsibilities satisfactorily. This process requires each Director to fill Board performance evaluation forms in line with the key responsibilities assigned to the Board in this code. The responses are reviewed by the Company Secretary who collates them and submits it to the Chairman for necessary action as appropriate as decided by the Board.	Complied
A.9.2	Annual Self-Evaluation by the Board A formal process is in place for the Board and its Sub-Committees to carry out self-evaluations to determine the effectiveness of their performance. The Board as a whole performed an annual self-assessment to evaluate the overall effectiveness of the Board according to the criteria set out alongside. The feedback from Directors is collated and reviewed by the Board and BNGC and conveyed to the Chairman of the Board for discussion at the Board meeting. All Sub-Committees have performed self-evaluations of their performance during 2024/25 and areas identified for improvements are also discussed at their respective meetings and updated the Board by respective Chairperson.	Complied
A.9.3	Review of each Director at the time of Re-election The Board has a process to review the participation, contribution and engagement of each Director at the time of re-election.	Complied
A.9.4	Disclosure in the Annual Report about the Board's performance evaluation methodology Board approved procedure is in place to evaluate the performance of Chairman, CEO/MD and other members of the Board and its Sub-Committees. The process adopted by the LBF is detailed on page 274 of this report.	Complied
A.10	Annual Report to Disclose Specified Information Regarding Directors Shareholders are kept informed about the relevant details in respect of Directors.	Complied
A.10.1	Annual Report disclosure in respect of Directors Profiles of the Board of Directors are given on pages 256 to 259 including other Directorships held by the Directors and memberships of Board Committees. Directors' attendance on Board and Sub-Committee meetings is disclosed on page 269.	Complied
A.11	Appraisal of CEO/MD As required in this code, the Board assesses the performance of CEO/MD at least annually.	Complied

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Code Ref.	Governance Principal and Implementation	Compliance status
A.11.1/ A.11.2	Targets for CEO at the commencement of each financial year and Performance Evaluation CEO/MD's performance targets are aligned with business strategies of the Company. Financial and non-financial targets are set at the beginning of every financial year by the Board which is in line with the short- medium- and long-term objectives of the Company. At the end of each financial year the Board evaluates the set targets and the actual performance.	Complied
B	DIRECTORS' REMUNERATION	
B.1	Remuneration Procedure The Company established a formal and transparent procedure for developing policy on executive remuneration and for fixing the remuneration packages of individual Directors. No Directors involved in deciding his/her own remuneration.	Complied
B.2	Remuneration Committee The remuneration levels for both Executive and Non-Executive Directors are adequate to attract and retain the necessary talent to run the Company successfully. Proportion of the Executive Director's remuneration is designed to link rewards to corporate and individual performance, ensuring a balanced consideration of short, medium, and long-term performance outcomes.	Complied
B.2.1	Setting up of Remuneration Committee The Board has established a BHRRC, in accordance with the agreed terms of reference, to oversee the Company's remuneration framework for Executive and Non-Executive Directors, as well as to ensure fair and transparent procedures for remunerating Senior Management, including post-employment and terminal benefits. No Director is involved in setting his/her own remuneration.	Complied
B.2.2	Composition of Remuneration Committee Composition of BHRRC is in line with the code. This Committee consists of 3 NEDs of whom 2 are independent in accordance with the code. Independent NED has been appointed as Chairperson of the Committee.	Complied
B.2.3	Consultation and Advisory Responsibilities of BHRRC The Committee consults the Chairman and MD/CEO when recommending the remuneration of other EDs and Senior Management. Further, the Committee has the access to professional advice when deemed necessary.	Complied
B.2.4	Competitive and Responsible Executive Compensation A process is in place to offer packages that attract, retain and motivate MD/CEO, EDs and Senior Management. The BHRRC reviews the information relating to competitors and due care is taken to ensure that remuneration is on par with industry standards and the relative performance.	Complied
B.2.5	Performance-Oriented Remuneration for Executive Directors MD/CEO and ED's remunerations are designed to link rewards to corporate and individual performance, ensuring a balanced consideration of short, medium, and long-term performance of the Company.	Complied
B.2.6	Remuneration packages in line with industry practices The BHRRC reviews the information relating to comparable competitors and due care is taken to ensure that remuneration is on par with industry standards and the relative performance. The committee is mindful of the risk that they can result in an increase of remuneration with no corresponding improvements in performance.	Complied
B.2.7	Remuneration packages in line with other Companies in the Group Size and scale of the Company's operations are not comparable with other Companies of the Group and therefore guidance could not be drawn from them.	Complied
B.2.8	Performance-related payments to MD/CEO and EDs A transparent, stretching and rigorously applied performance-related elements of remuneration is available for MD/CEO and EDs with the objective of providing appropriate incentives to those Directors to perform at the highest level. The committee annually reviews the performance of MD/CEO and EDs against the set targets approved by the Board. Further, the Committee ensures that the fair and transparent procedure recommended by the Board are followed when evaluating the performance of Senior Management.	Complied
B.2.9	Executive Share Option There are no share option schemes offered by the Company.	Not applicable
B.2.10	Designing Schemes of Performance related Remuneration In deciding the remuneration of the MD/CEO, EDs and Senior Management, the Company takes note of the provisions set out in Schedule G of this code.	Complied

Code Ref.	Governance Principal and Implementation	Compliance status
B.2.11/ B.2.12	Early Termination of Service of Directors Consideration of termination of service of the MD/CEO and EDs will be in accordance with their contract of service. Further, the committee takes in to consideration the provisions stipulated in section B.2.11 and B.2.12 of this code.	Complied
B.2.13/ B.2.14	Remuneration of Non-Executive Directors The Board as a whole determines the remuneration of NEDs including the members of BHRRRC considering the time commitment, responsibilities of the role and the market practices which are reviewed periodically. The Company has not offered any Share Option Plans to either EDs or NEDs.	Complied
B.2.15	Chairman and Members of the BHRRRC Details of the Chairperson and members of the Committee are disclosed in the report of the Board Human Resource and Remuneration Committee on page 298 of this annual report.	Complied
B.2.16	TOR of the BHRRRC A Board approved TOR is in place to govern the BHRRRC. Refer the report of the Board Human Resource and Remuneration Committee on page 298 of this annual report.	Complied
B.3	Disclosure of Remuneration Annual Report of the Company contains a statement of Remuneration Policy and details of remuneration of the Board as a whole.	Complied
B.3.1	Disclosure of Remuneration Committee Composition and Policies in the Annual Report Report of the Board Human Resource and Remuneration Committee is given on page 298 which sets out the details on the composition, scope, number of meetings held by the committee and the remuneration policy. The aggregate remuneration paid to the EDs and NEDs are disclosed in Note 3.1 to the Financial Statements on page 445.	Complied
B.3.2	Aggregate remuneration paid to Senior Management The aggregate remuneration paid to the Senior Management who directly reporting to MD/CEO and EDs are disclosed in Note 3.1 to the Financial Statements on page 445.	Complied
C.	RELATIONS WITH SHAREHOLDERS	
C.1	Constructive use of the AGM & Other General Meetings The Company uses AGM to communicate with Shareholders and encourages their participation.	Complied
C.1.1	Notice for the AGM to the shareholders The Annual Report including Financial Statements and the Notice of the Meeting are sent to shareholders 15 working days prior to the date of the AGM as stipulated by the Companies Act.	Complied
C.1.2	Separate Resolutions for Substantially Separate Issues Separate resolutions are placed before Shareholders for each substantial matters that require approval of Shareholders at the Annual General Meetings (AGM). LBF propose a separate resolution for the adoption of Company's Annual Report and accounts during the AGM. It is treated as a distinct agenda item, giving the shareholders a dedicated opportunity to review and evaluate the contents of the report. Proxy appointment forms are provided to shareholders with the option to direct their proxy to vote either "for" or "against" any resolution or to withhold their vote.	Complied
C.1.3	Use of Proxy Votes The Company has recorded and counted all proxy votes for each resolution prior to the General Meeting. For each resolution where a vote has been taken on a show hands, the Company ensures the requirements stipulated in this code are complied with.	Complied
C.1.4	Availability of all Board Sub-Committee Chairpersons and SID at the AGM The Chairman of the Board ensures the presence of the Chairpersons of all Sub Committees; the BAC, BHRRRC, BNGC, BIRMC, BRPTRC, BISC, BSC and Senior Independent Director, during the AGM. This arrangement allows the Chairpersons to be available and ready to address any inquiries or concerns raised by the Shareholders.	Complied

CORPORATE GOVERNANCE

Code Ref.	Governance Principal and Implementation	Compliance status
C.1.5	Procedures of Voting at General Meetings Company circulate along with every notice of AGM and a summary of procedures governing voting at general meetings to all shareholders prior to 15 working days as stipulated in the Companies Act no. 7 of 2007. Shareholders right to appoint a proxy for voting at AGM appears on Notice of Meeting and on the Form of Proxy. Voting procedures at general meetings appear on the Form of Proxy.	Complied
C.2	Communication with Shareholders The Board has implemented processes for effective communication with Shareholders.	Complied
C.2.1	Channel to reach all shareholders to disseminate timely information The Company engages with shareholders through multiple communication channels, including press releases, notices, and mandatory disclosures published on the CSE website. Quarterly financial statements are submitted to the CSE within 45 days, except for the final quarter, which is allowed up to 60 days for publication. Half-yearly financial statements are published in daily newspapers in all three languages in accordance with Finance Companies Guidelines No. 2 of 2006. The Notice of the AGM, along with the Annual Report and Accounts, is circulated to shareholders and includes details of any special business. Extraordinary General Meetings are held as needed with due statutory notice. The AGM serves as a forum for shareholders to discuss and clarify Company activities.	Complied
C.2.2	Policy and Methodology of Communicating The Company provides fair disclosure with emphasis on the integrity, accuracy, timeliness and relevance of the information provided. The Company has implemented a Policy on Relations with Shareholders & investors and Corporate Communication Policy that outlines various communication channels aimed at reaching all shareholders of the LBF effectively. These policies ensure the timely dissemination of important information to shareholders, utilizing multiple channels of communication. Refer Stakeholder engagement on pages 62 to 72 in the Annual Report for further details.	Complied
C.2.3	Implementation of the Communication Policy and Methodology Shareholders receive the Annual Report from the Company either by way of digital means or in hard copy form. Shareholders may at any time elect to receive the Annual Report from the Company in printed form without any charge. The Company's methodology for shareholder communication is outlined in the Policy on Relations with Shareholders, which is publicly available on the Company's corporate website. Refer Stakeholder engagement on pages 62 to 73 in the Annual Report for further details.	Complied
C.2.4	Disclosure of the contact person as per Communication Policy Shareholders have the freedom to raise questions, request publicly available information, and provide comments and suggestions to the Directors or Senior Management of the Company at any time. To facilitate this, they are encouraged to direct their inquiries, requests, and comments to the Company Secretary, who will ensure that they are appropriately addressed. Key spokespersons are discussed in details in the Corporate Communication Policy which was reviewed and approved by the Board.	Complied
C.2.5	Awareness of Directors on Major Issues and Concerns of Shareholders Process to make all Directors aware on major issues and concerns of shareholders has been established through the Corporate Communication Policy. The Company Secretary maintains a record of all correspondence received and will deliver as soon as practicable such correspondence, which require Board attention to the Board or individual Director/s as applicable.	Complied
C.2.6	Contact Person for Shareholders in relation to Shareholders' matters Company Secretary can be contacted for any queries of shareholders.	Complied
C.2.7	Process for responding to Shareholders Process has been formulated through a Board approved Policy in responding shareholder matters. The Corporate Communication Policy and Policy on Relations with Shareholders were reviewed and approved regularly by the Board.	Complied
C.3	Major and Material Transactions Directors disclose all proposed corporate transactions which would materially alter/vary the net asset base of the Company or the Group.	Complied
C.3.1	Disclosure of Major and Material Related Party Transactions During the year, the Company did not engage in or commit any major related party transactions which materially affected the Company's/Group's net asset base.	Complied

Code Ref.	Governance Principal and Implementation	Compliance status
C.3.2	Disclosure of Major Transactions in Terms of Companies Act No. 7 of 2007 During the year, the Company did not engage in or commit any major transactions as stipulated in section 185 (1), (2), and (3) of the Companies Act.	Complied
C.3.3	Disclosure to SEC and CSE The Company did not engage in or commit any major and material related party transactions during the year which materially affected the Company's/Group's net asset base to make a disclosure to SEC and CSE.	Complied
D	ACCOUNTABILITY AND AUDIT	
D.1	Financial and Business Reporting (The Annual Report) The Board presents a balanced and an understandable assessment of the Company's financial position and prospects.	Complied
D.1.1/ D.1.2/ D.1.3	Presenting true, fair, balanced and understandable Annual Report with financial statements in conformity with relevant laws and regulations The Company has reported a true and fair view of its financial position and performance for the year ended on 31st March 2025 and at the end of each quarter, the financial year and all price sensitive information has been disclosed in a timely manner. The Board obtained declarations from CEO and CFO that Company's interim and annual financial statements are prepared in conformity with applicable accounting standards, relevant laws and regulations and gives true and fair view of the financial position and performance, risk management and effectiveness of the internal controls.	Complied
D.1.4	Directors' Report in the Annual Report Annual Report of the Board of Directors on the Affairs of the Company is given on page 282 covering all areas of this section.	Complied
D.1.5	Annual Report disclosure stating Board's and Auditors' responsibility Statement of Directors' Responsibility for Financial Reporting is given on page 305 and Auditors Reporting Responsibility is given in the Independent Auditor's Report on page 351 respectively.	Complied
D.1.6	Management discussion and analysis Management discussion and analysis is given on page 56 Business model on page 54 Industry structure and developments on page 56 Opportunities and threats on pages 222 to 240 Risks and concerns - Risk Management report on page 311 Internal control systems and their adequacy on page 306 Corporate and enterprise governance on page 246 Stakeholder relationships on page 62 Social and environmental protection activities carried out by the Company on pages 99 to 122 Financial performance on page 124 Investment in physical and intellectual capital on page 172 Human Resource Management on page 159 Prospects for the future on page 96	Complied
D.1.7	Serious Loss of Net Assets The probability of such an event occurring is highly unlikely. Nonetheless, in the event that such a situation does arise, an EGM will be promptly scheduled, and Shareholders will receive timely notifications regarding the meeting.	Not applicable
D.1.8	Disclosure of Related Party Transactions A detailed Board-approved documented process is available in the Company for monitoring and reporting of Related Party Transactions. The Company Secretary makes necessary disclosures of any Related Party Transactions which require disclosure as per this Code. All related party transactions as defined in Sri Lanka Accounting Standard -24 (LKAS 24) on 'Related Party Transactions' are disclosed in Note 3.1 to the Financial Statements on pages 445. The Company maintains a comprehensive record of related parties and related party transactions. This record is designed to capture the necessary information to ensure compliance with the related party disclosure requirements mandated by regulatory bodies such as CBSL, SEC, SLAASMB and other relevant regulations Refer the CBSL CG table on page 506 for more details on the process adopted.	Complied

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Code Ref.	Governance Principal and Implementation	Compliance status
D.2	Risk Management and Internal Control The Board has set up processes for risk management and internal control systems to safeguard shareholder investments and assets of the Company.	Complied
D.2.1	Risk Management Framework Board approved integrated risk management framework is in place to identify, assess, monitor and managing the risks with clear accountabilities to ensure the achievement of strategic, operational and financial objectives of the Company.	Complied
D.2.1.1	Robust Assessment of Principal Risks A fully fledged risk management department which reports to the Board through BIRMC is established by the Company. AGM-RM periodically carries out robust risk assessment of the principal risks facing by the Company which may impact Company's business model, future performance, solvency and liquidity.	Complied
D.2.1.2	Disclosure of risk management framework in Annual report The risk management framework, processes and responsibilities are disclosed in the Report of the Board Integrated Risk Management Committee on page 294 of this annual report.	Complied
D.2.1.3/ D.2.1.4	Establishment of Risk Management Committee The Board has established BIRMC to oversee the risk management function and a Board approved TOR is in place to govern the Committee functions. Refer the Report of the Board Integrated Risk Management Committee on page 294 of this annual report.	Complied
D.2.1.5	Composition of the BIRMC The Committee comprised 3 NEDs of whom majority are independent. The Chairperson of the Committee is an Independent Non-Executive Director.	Complied
D.2.1.6	TOR of the BIRMC A Board approved TOR is in place which governs the functions of the BIRMC. The TOR was last reviewed and approved by the Board on September 2024.	Complied
D.2.1.7/ D.2.1.8	Report of the BIRMC The composition, scope, roles and responsibilities of the BIRMC determined in conformity with relevant laws and regulations applicable and detail report of the committee is disclosed in the annual report. Refer the Report of the Board Integrated Risk Management Committee on page 294 of this annual report.	Complied
D.2.2	Design of the internal control system The Board has set up a process to ensure that the internal controls are designed, implemented and monitored, to provide reasonable assurance on reliability of financial reporting, effectiveness and efficiency of operations, compliance with applicable laws and regulations.	Complied
D.2.2.1/ D.2.2.2/ D.2.2.3	Effectiveness of the internal control system A process has been setup to provide reasonable assurance on reliability of internal controls over financial reporting, operational and compliance system, processes and practices. A fully fledged Internal Audit department is in place to ensure the effectiveness of Governance, internal control and risk management practices of the Company. The BAC annually reviews the effectiveness of internal controls and risk management process through IAD to ensure effective discharge of their duties.	Complied
D.2.2.4	Sound system of internal control Processes are in place to maintain the sound and effective system of internal control to achieve the corporate objectives of the Company. Refer the "Directors Statement on Internal Control" on page 305 of this annual report for more details.	Complied
D.3	Board Audit Committee The Board has established a formal and transparent arrangements for considering how they should select and apply accounting policies for financial reporting, determining structures and content of corporate reporting, internal control and risk management principles, compliance with laws and regulations and maintaining an appropriate relationship with the Company's Auditors.	Complied

Code Ref.	Governance Principal and Implementation	Compliance status
D.3.1	Composition of the Board Audit Committee The BAC comprises with three NEDs of whom majority are independent. The Chairman of the Committee is an Independent Non-Executive Director who is also a member of a professional accounting body. The composition, scope and profiles of the BAC members are stated in Board Audit Committee report on page 289. The Board is satisfied that the members of the Committee has recent and relevant experience in financial reporting and internal controls.	Complied
D.3.2	The TOR of the Committee The Board approved TOR is in place which covered the minimum requirements stipulated in this Code. The Committee acts according to the TOR and assists Board in discharging its duties. The Committee responsibilities and activities performed during the period are given in Board Audit Committee report on page 289.	Complied
D.3.3	Disclosures made in the Annual Report about BAC Refer the Board Audit Committee report given on page 289 of the Annual Report.	Complied
D.4	Risk Committee The Board has established a procedure for risk management including how they determine, risk culture, risk appetite, risk identification and classification, rating and management of risk.	Complied
D.4.1	Composition of BIRMC Board has established BIRMC which comprised 3 NEDs of whom majority are independent. The Chairperson of the Committee is an Independent Non-Executive Director. MD/CEO, EDs, CFO, CIO and heads of strategic business units are invited to attend BIRMC meetings where necessary. The AGM - Risk Management functions as the Secretary to BIRMC.	Complied
D.4.2	The TOR of the Committee The Board approved TOR is in place which covered the minimum requirements stipulated in this code. The Committee acts according to the TOR and assists Board in discharging its duties. The Committee responsibilities and activities performed during the period are given in Report of BIRMC on page 294	Complied
D.4.3	BIRMC Meetings The Committee met 6 times during the financial year as stipulated in the TOR. The AGM - Risk Management functions as the Secretary to BIRMC.	Complied
D.4.4	Seeking External Professional Advice The Committee sought external professional advice as and when required.	Complied
D.4.5	Disclosures made in the Annual Report about BIRMC Refer the Board Integrated Risk Management Committee Report given on page 294 of the Annual Report	Complied
D.5	Related Party Transactions Review Committee A Board approved policy and procedure are in place to ensure that the Company does not engage in transactions with related parties in a manner that would grant "more favourable treatment" to such parties.	Complied
D.5.1	Related Parties and Related Party Transactions All related party transactions as defined in Sri Lanka Accounting Standard -24 (LKAS 24) on 'Related Party Transactions' are disclosed in Note 3.1 to the Financial Statements on pages 445. Refer D.1.8 on page 519 of this code for more details.	Complied
D.5.2	Composition of BRPTRC Board has established BRPTRC which comprised 3 NEDs of whom majority are independent. The Chairperson of the committee is an Independent Non-Executive Director. MD/CEO, EDs and heads of strategic business units are invited to attend BRPTRC meetings where necessary. The Committee met 5 times during the financial year.	Complied
D.5.3	The TOR of the Committee The Board approved TOR is in place which covered the minimum requirements stipulated in this Code. The Committee acts according to the TOR and assists Board in discharging its duties. The Committee responsibilities and activities performed during the period are given in BRPTRC report on page 299	Complied

CORPORATE GOVERNANCE

Code Ref.	Governance Principal and Implementation	Compliance status
D.6	Code of Business Conduct and Ethics The Board has adopted a Code of Conduct for Directors, KMPs and other Employees including but not limited to dealing with shares of the Company, compliance with listing rules, bribery and corruption, confidentiality, reporting of any illegal, fraudulent and unethical behaviours.	Complied
D.6.1	Code of Conducts / Whistleblowing Policy / Anti-Bribery and Corruption policy (ABC) The Board approved policies on Code of Conduct, whistleblowing and ABC for Directors, KMPs and all staff members are in place covering the major areas of; conflict of interest, bribery and corruption, entertainments and gifts, accurate accounting and record keeping fair and transparent procurement practices, corporate opportunities, confidentiality, fair dealing, protection and proper use of Company assets, sexual harassment, discrimination and abuse, compliance with laws, rules and regulations and encouraged to report of any illegal, fraudulent and unethical behaviour.	Complied
D.6.2	Reporting of Material and Price Sensitive Information A process in place to ensure that material and price sensitive information is promptly identified and reported to the CSE.	Complied
D.6.3	Policy on trading of shares by Directors, KMPs and Employees A Board approved Share Trading Policy is in place to govern the process for monitoring and disclosure of shares by Directors, KMPs or any other employee involved in financial reporting. The said policy is regularly reviewed and approved by the Board.	Complied
D.6.4	Whistleblowing arrangements A Board approved Whistleblowing Policy is in place to establish a procedure to deal with complaints received from Employees, Customers, Suppliers or any other parties in relation to non-compliance with Company's Code of Conduct. The BAC follows up the incidents reported in quarterly basis through the Compliance Officer.	Complied
D.6.5	Training on Code of Conducts All new employees are provided with a comprehensive training on the Code of conduct of the Company at the orientation. Periodic trainings are conducted and confirmations on awareness and compliance on Company's Code of Conduct are obtained from all Employees.	Complied
D.6.6	Dissemination of the Policy A process is in place to report to the Board on regular basis about the dissemination of the policy among the staff in all 3 languages, training arrangements, violation/ non-compliances with respective action taken. No any waivers or exceptions are allowed in deviating code of business conduct and ethics.	Complied
D.6.7	Chairman's confirmation on implementing Code of Conduct and Ethics. The Chairman and the Board affirm that all Directors and KMPs have declared compliance with this Code and the Chairman is not aware of any violation of any of the provisions in these Codes.	Complied
D.7	Corporate Governance Disclosures The Board has disclosed on the extent of compliance with good corporate governance principles and practices.	Complied
D.7.1	Disclosure of Corporate Governance Compliance The requirement is met with the presentation of this Corporate Governance Report from pages 246 to 281 of the Annual Report.	Complied
SECTION II	SHAREHOLDERS	
E	INSTITUTIONAL INVESTORS	
E.1	Shareholder Voting Institutional shareholders who invested directly in shares of the Company are encouraged to perform adequate analysis on governance arrangements, Board structure, composition in addition to the other financial factors. All investors are encouraged to ensure their voting intentions are translated into practice.	Complied
E.1.1	Regular and structured dialogues with Shareholders The Company has 5,348 ordinary voting shareholders of which above 88% are institutional shareholders. The Company conducts regular structured dialogue with the large institutional shareholders and any concerns of these institutional shareholders expressed at the meetings is communicated to the Board as a whole.	Complied
E.2	Evaluation of Governance Disclosure The Company encourages all institutional investors to give due weight on the Company's governance arrangements and practices particularly relating Board structure and composition when evaluating the Company.	Complied

Code Ref.	Governance Principal and Implementation	Compliance status
F	OTHER INVESTORS	
F.1	Investing / Divesting Decisions Individual shareholders are encouraged to carry out comprehensive analysis or seek independent advice in investing or divesting decisions.	Complied
F.2	Shareholder Voting Individual shareholders are encouraged to participate in General Meetings of the Company and exercise their voting rights. Company circulate along with every notice of AGM and a summary of procedures governing voting at general meetings to all shareholders prior to 15 working days to make informed decisions.	Complied
SECTION III	OTHER MATTERS	
G	INTERNET OF THINGS & CYBERSECURITY	
G.1	Identify connectivity and related cyber risks A process is in place to identify how in the Company's business model, IT devices within and outside the organisation can connect to the organisation's network to send and receive information and the consequent cybersecurity risks that may affect the business. The risk management department and Chief Information Security Officer (CISO) continuously monitor the potential risks and the mitigation factors to minimize the cyber security risks. Refer Intellectual Capital in page 172 of this annual report for more details.	Complied
G.2	Appoint a CISO and allocate budget to implement a Cybersecurity Policy A dedicated CISO with sufficient skills and authority is appointed to oversee the implementation of Information Security Policy which was approved by the Board. Information Security Policy which was reviewed and approved in July 2024 included all aspects stipulated in this code. Refer page - 280 - IT Governance	Complied
G.3	Include Cyber Risk Management on Board agenda The BISC oversee the Information and cybersecurity risk management process to mitigate any potential risks. At the BISC meetings extensive discussions are carried out on matters relating to potential cybersecurity risks to the business model, CISO's security strategies and status of current projects, compliance with regulations. A comprehensive update is given to the Board by the Chairperson at the next Board meeting. Refer the report of Board Information Security Committee on page 301 of this annual report.	Complied
G.4	Obtain periodic assurance to review effectiveness of cybersecurity risk management Effectiveness of the cybersecurity risk management process is reviewed in regular intervals through independent expertise to identify and address potential threats. Outcomes of the reviews together with the action plans are updated to the Board through BISC. Refer page - 281 - Information Security Governance.	Complied
G.5	Disclosures in Annual Report The process followed to identify and manage the information and cybersecurity risk are disclosed in report of the Board Information Security Committee on page 301 of this annual report.	Complied
H	SUSTAINABILITY : ESG RISK AND OPPORTUNITIES	
H.1	ESG Risk and Opportunities The Board has considered the ESG risks and opportunities within LBF's business model, operations, short- and medium-term planning, and long-term strategy to ensure Company's resilience and ability to deliver sustainable value over the short, medium, and long term. This approach is aimed at maintaining the confidence and continued engagement of shareholders and all significant stakeholders. Refer sustainability related risks and opportunities on page 337 of this annual report.	Complied
H.1.1	Impact of ESG Risks and Opportunities The BSC oversees the impact of sustainability related risks and opportunities. The impact of ESG risks and opportunities of the Company's business plans and strategic plans are submitted to the Board through BSC on a regular basis. Refer the Report of BSC on page 303 of this annual report and Integrated Risk Management Report on page 311 of this annual report.	Complied

CORPORATE GOVERNANCE

Code Ref.	Governance Principal and Implementation	Compliance status
H.2	Views of Stakeholders The Board and Key Management Personnel have engaged with stakeholders and considered their views to understand and manage LBF's ESG risks and opportunities, given the increasing expectations regarding environmental protection and other ESG issues. Refer the Report of BSC on page 303 of this Annual Report and Integrated Sustainability report on page 98 of this annual report.	Complied
H.2.1	Process to recognise significant stakeholders The Company has a process in place to recognise significant stakeholders and material matters relating to significant stakeholders and a method of engagement relevant to their level of interest and influence. Refer the Report of BSC on page 303 of this Annual Report and Integrated Sustainability report on page 98 of this annual report.	Complied
H.3	Governance Framework The Board has established a governance framework and structure through BSC which includes conformance, performance and ESG factors. Refer the Report of BSC on page 303 of this Annual Report and Integrated Sustainability report on page 98 of this annual report.	Complied
H.3.1	Sustainability Factors The Board has addressed sustainability factors through an environmental, social and governance framework. Refer the Report of BSC on page 303 of this Annual Report and Integrated Sustainability report on page 98 of this annual report.	Complied
H.3.1.1	Environmental Governance The Company has adopted an integrated approach in relation to Environmental Governance which takes into account the direct and indirect economic, social, health and environmental implications on business strategies, plans, decisions and operations. Refer the Report of BSC on page 303 of this Annual Report and Integrated Sustainability report on page 98 of this annual report.	Complied
H.3.1.2	Social Governance The Company has implemented an integrated approach to Social Governance to engage with community representatives, customers, employees, suppliers, outsourced providers, and other parties that could influence the business model in areas crucial to the Company's sustainable growth. Relationship with community The Company has adopted an integrated strategy for building community relationships to promote sustainable development. Relationship with Customers The Company has adopted an integrated approach in building relations with the customers. The Company has a policy in place for customer feedback through engagement, efficient service delivery, standards for product responsibility and product recall and other matters that are material and relevant to the Company's business model and customer experience. Labour Practice Governance The Company's labour practice related governance encompasses all policies and practices in relation to work performed by or on behalf of the Company. The governance also contains policies and practices such as health and safety, equal opportunity, gender balance, career development and training, reward and recognition, conditions of work, work life balance and industrial relations. Suppliers and Outsourced Providers The Company has policies and procedures in place to ensure that suppliers and outsourced providers comply with social and governance norms of the Company.	Complied
H.4	Establishment of a Governance Structure to Support ESG Factors The Board has established a governance structure to support ESG factors.	Complied
H.4.1	Recognition of Key Resources/Capital The Board has recognised its key resources/ capital deployed in its business and stakeholders.	Complied
H.4.2	Process in Ascertaining, Assessing and Managing ESG Factors The Board has implemented a process to ascertain, assess and manage ESG factors which has an impact on the sustainability of the Company.	Complied

Code Ref.	Governance Principal and Implementation	Compliance status
H.4.3	Establishment of Financial and Non-Financial Measures The Board has established financial and non-financial measures in respect of all material matters relating to significant stakeholders, environmental and social factors.	Complied
H.5	Disclose ESG Risks and Opportunities The Board has disclosed how all its ESG risks and opportunities are recognised, managed, measured and reported in the annual report. Refer Integrated Risk Management report on page 311 of this annual report.	Complied
H.5.1 - H.5.4	ESG Reporting The Board has implemented ESG policies and practices into the Company's strategy, business model, governance and risk management and reports on its likely impacts and implications. The Board has disclosed on how the Company has complied with the mandatory and voluntary codes of corporate governance. The Company's leadership structure, organisational culture, code of conduct and business model supports the sustainability of the Company in the short, medium and long term. Refer pages 98 to 122 for more information on the Company's Commitment to Sustainability.	Complied
I	SPECIAL CONSIDERATIONS FOR LISTED ENTITIES	
I.1	Establishment and Maintenance of Policies and Other Requirements Company establishes and maintains policies relating to its governance and discloses the details relating to the implementation of such policies.	Complied
I.1.1 - I.1.4	Establishment of Policies Being a listed entity, the Company is cognizant of the requirement to establish and maintain the 12 mandatory policies and disclosing its existence in the Company's website.	Complied
I.2	Policy on Matters Relating to the Board of Directors The Board has established and maintained of formal policy governing matters relating to Board of Directors.	Complied
I.2.1 – I.2.2	Establishing Policies Relating to the Board of Directors The Company's existing Corporate Governance Code enshrines good governance principles in relation to the Board and is supported by the Articles of Association and several other governance related policies adopted by the Board of Directors. Noting that this requirement arises under the Listing Rules as well, a review and revision of the existing policies will be carried out to ensure compliance with the Listing Rules within the timelines stipulated therein.	Complied

CORPORATE GOVERNANCE

COMPLIANCE WITH LISTING RULES

Compliance with the Rule 7.6 of Listing Rule – Section 7 (Continuing Listing Requirements) issued by the Colombo Stock Exchange.

Section	Governance Principle	Compliance Status	Page Reference
7.6	CONTENTS OF ANNUAL REPORT		
7.6 (i)	Names of persons who were Directors of the Company during the financial year	Complied	269
7.6 (ii)	Principal activities of the Company and its subsidiaries during the year	Complied	282
7.6 (iii)	Information on 20 largest shareholders at the end of the year	Complied	482
7.6 (iv)	The public holding percentage	Complied	481
7.6 (v)	Directors' and Chief Executive Officer's holding in shares	Complied	483
7.6 (vi)	Information pertaining to material foreseeable risk factors	Complied	287
7.6 (vii)	Details of material issues pertaining to employees and industrial relations	Complied	287
7.6 (viii)	Information on buildings/land holdings and investment properties as at the end of the year	Complied	424
7.6 (ix)	Number of shares representing the stated capital as at the end of the year	Complied	286
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities and related information	Complied	482
7.6 (xi)	Ratios and market price information on equity, debt, change in credit rating	Complied	483
7.6 (xii)	Significant changes in the Company's or Subsidiaries' fixed assets	Complied	287
7.6 (xiii)	Details of funds raised through a public issue, Rights Issue and a Private Placement during the year There were no share issues, rights issues or private placements during the year	Complied	N/A
7.6 (xiv)	Information in respect of Employee Share Ownership or Stock Option schemes The Company does not have any Employee Share Ownership or Stock Option Schemes at present.	Complied	N/A
7.6 (xv)	Disclosure pertaining to Corporate Governance practice in terms of Section 9 of the Listing Rules	Complied	527
7.6 (xvi)	Related party transactions exceeding 10% of the Equity or 5% of the total assets of the entity - The Company did not have any Related Party Transactions exceeding this threshold during the year.	Complied	N/A

COMPLIANCE WITH LISTING RULES

Compliance with the Rule No. 9 of Listing Rules – issued by the Colombo Stock Exchange.

Section	Governance Principal and Implementation	Compliance status
9.1	Applicability of Corporate Governance Rules	
9.1.1/ 9.1.2	Applicability The company is complied with the rules set out in section 9.2 to 9.16 on continuous basis.	Complied
9.1.3	Publishing a statement confirming extent of compliance with these Corporate Governance Rules The disclosures given in this annexure fulfill this requirement.	Complied
9.2	Policies	
9.2.1	Establish and maintain policies mandated in this rule and disclose them on the company website, Following board approved policies are implemented and published in the official website of the Company, - Policy on the matters relating to the Board of Directors - Policy on Board Committees - Policy on Corporate Governance, Nominations and Re-election - Policy on Remuneration - Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities - Policy on Risk management and Internal controls - Policy on Relations with Shareholders and Investors - Policy on Environmental, Social and Governance Sustainability - Policy on Control and Management of Company Assets and Shareholder Investments - Policy on Corporate Disclosures - Policy on Whistleblowing - Policy on Anti-Bribery and Corruption	Complied
9.2.2	Waivers or exemptions for Internal Code of Business Conduct and ethics The Company has fully complied with the Internal Code of Business Conduct and ethics and no waivers/ exemptions were granted	Complied
9.2.3	(i) List of policies that are in place with the reference to its website (ii) Any changes to policies adopted As specified in rule no. 9.2.1 the board approved policies have been disclosed in the company website and no changes have been made to the policies adopted during the year.	Complied
9.2.4	Policies available to shareholder upon request A process is in place to make available all policies referred in section 9.2.1, to the Shareholders upon making a written request to the company.	Complied
9.3	Board Committees	
9.3.1	Establish minimum of following Board committees (a) Nominations and Governance Committee (b) Remuneration Committee (c) Audit Committee (d) Related Party Transactions Review Committee The board has established seven (7) board sub-committees including above four (4) Committees and Board Integrated Risk Management Committee (BIRMC), Board Information Security committee (BISC) and Board Sustainability committee (BSC) to overlook risk function, information security and sustainability function respectively. Refer Governance Structure in page 250 of this Annual Report.	Complied
9.3.2	Compliance with the composition, responsibilities and disclosure requirements The composition, responsibilities, and disclosures required in respect of the above-Board committees have been disclosed in Section 9.11, 9.12, 9.13, 9.14 of this report on pages 530, 531 and 532. Refer respective committee reports on pages 297, 298, 289 and 299 of this annual report.	Complied

CORPORATE GOVERNANCE

Section	Governance Principal and Implementation	Compliance status
9.3.3	The Chairperson of the Board cannot also serve as the Chairperson of Board Committees. The Chairperson of the Board of Directors does not hold the position of Chairperson for any Board Committees mentioned in Rule 9.3.1 above. Refer respective committee reports on pages 297, 298, 289 and 299 of this annual report.	Complied
9.4	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders	
9.4.1	Maintain records of all resolutions and other information stipulated in section 9.4.1 of the listing rules and provide copies at the request of SEC/CSE. Company Secretary maintains all records of resolutions and information upon a resolution being considered at a general Meeting including valid appointment of proxy and their votes, votes in favour, against and abstained for the resolutions. A process in place to provide copies of above information to SEC or exchange upon request.	Complied
9.4.2	Communication and relations with shareholders and investors (a) The company has established a corporate communication policy and policy on relations with shareholders and investors to effectively communicate and maintain relationships with shareholders and investors, which is outlined in both the annual report and on the website. (b) The company secretary is designated as the contact person for communication purposes. The policy ensures that all Directors are informed of any significant concerns or issues raised by shareholders and these concerns are transparently addressed and communicated where necessary. (c) Furthermore, this process has been disclosed in Financial Capital of this annual report on page 124 and on the company website. (d) The company has not conducted any shareholder meetings through virtual or hybrid means.	Complied
9.5	Policy on matters relating to the Board of Directors	
9.5.1	Policy on governing matters relating to the Board of Directors The requirements stipulated in section 9.5.1 of the listing rule were captured in Board approved Policy on matters relating to the Board of Directors and Governance Framework of the Company.	Complied
9.5.2	Compliance Confirmation with Section 9.5.1 requirements The Board-approved policy on matters relating to the Board of Directors incorporates all requirements outlined in Section 9.5.1 and is published on the corporate website.	Complied
9.6	Chairperson and CEO	
9.6.1	The Chairperson of the Company shall be a Non-Executive Director. Consequently, the position of Chairperson and CEO shall not be held by the same individual. Chairperson of the company is Non-Executive Director. The roles of Chairperson and CEO/MD are held by separate individuals, ensuring a clear separation of responsibilities. Refer the Page 250 of this Annual report.	Complied
9.6.2	Immediate market disclosure in the case of non-compliance with section 9.6.1 of the listing rules. The Chairperson of the company is a non-executive director and the positions of Chairperson and MD/CEO are not held by the same person.	Not applicable
9.6.3	The requirement for Senior Independent Director (SID) The requirement for SID does not arise as the positions of Chairperson and MD/CEO are not held by the same person and Chairperson and MD/CEO are not close family members or related parties. The Chairman of the Board is a Non-Independent Director. In accordance with Finance Business Act Direction 5 of 2021 on Corporate Governance, issued by the Central Bank of Sri Lanka, a Senior Independent Director was designated in conformity with regulatory requirements. Refer the report of the Senior Independent Director given on page 247 for further details	Not applicable
9.6.4	Annual report disclosure to explain the reasons for non-Compliance with Section 9.6.1 of the Listing rules. The Chairperson of the company is Non-Executive Director. The positions of Chairperson and CEO are not held by the same person.	Not applicable
9.7	Fitness of Directors and CEOs	
9.7.1	Fit and proper assessments of Directors and MD/CEO. The Board has established a formal and transparent process for evaluating the fitness and propriety of Directors and the CEO/MD.	Complied
9.7.2	Recommendations by the Nominations and Governance Committee as Directors are fit and proper A process is in place to obtain a declaration from persons whose names are recommended by the Board Nomination and Governance Committee as directors confirming they are complied with the fit and proper criteria set out in the section 9.7.3 of the listing rules.	Complied

Section	Governance Principal and Implementation	Compliance status
9.7.3	Fit and proper assessment criteria All Directors and the CEO/Managing Director have confirmed their compliance with the fit and proper criteria outlined in Section 9.7.3 of the Listing Rules, which include: a) Honesty, integrity, and reputation; b) Competence and capability; and c) Financial soundness.	Complied
9.7.4	Fit and proper declarations from directors and MD/CEO Annual declarations were obtained from all Directors and the CEO/Managing Director, confirming their continuous compliance with the fit and proper assessment criteria stipulated in the CSE Listing Rules as at 31.03.2025.	Complied
9.7.5	Disclosures in the annual report on Fit and proper Refer the “annual report of the board of directors on the affairs of the company” in page 282 in this Annual report.	Complied
9.8	Board Composition	
9.8.1	Minimum number of directors on the board The Board of Directors of the Company consist of 12 Directors.	Complied
9.8.2	Minimum Number of Independent Directors: As at 31 March 2025, the Company's Board of Directors comprised five (5) Independent Non-Executive Directors, representing more than one-third of the total Board membership.	Complied
9.8.3/ 9.8.4	Criteria for determining independence The Company determines the independence of Directors by considering the criteria set out in the revised CSE Listing Rules, Direction No. 5 of 2021 on Corporate Governance issued under the Finance Business Act by the CBSL and the Code of Best Practice on Corporate Governance issued by CA Sri Lanka (2023). All the Independent Non-Executive Directors of the company fulfilled the independent criteria stipulated as at 31.03.2025.	Complied
9.8.5	Annual declaration of independence of the directors / disclosure of independence of the directors Signed declaration is obtained from all the independent directors of the company confirming their independence. The annual declarations and other available information were reviewed by Board to verify the adherence to the criteria for assessing independence During the year the board has not identified any director whose independence is impaired against the criteria set out in the section 9.8.3 of the listing rules.	Complied
9.9	Alternate Directors None of the Directors of the Board has appointed alternate director during the year	Complied
9.10	Disclosures relating to Directors	
9.10.1	Maximum number of directorships As per the Policy on matters relating to the Board of Directors and Governance framework of the Company, the maximum number of directorships a director can hold is twenty (20). Accordingly, No Directors hold Directorships of more than twenty (20) companies, entities, institutions inclusive of Subsidiary Company of the LBF.	Complied
9.10.2	Appointment of a new director to the board The BNGC reviews and recommends all new appointments to the Board. During the year, the Company appointed two (2) Independent Non-Executive Directors to the Board. Immediate market announcements were made for each appointment, providing the following information, i. A brief resume ii. Capacity of directorship; and, iii. Statement indicating the review performed by the Nominations and Governance Committee	Complied
9.10.3	Market Announcement on changes to the composition of the board sub committees. During the year under review the company reconstituted several board sub committees and necessary market announcements were made with the relevant information.	Complied
9.10.4	Disclosure of information relating to directors Refer the board profiles in page 256 of this Annual report. Refer Board and sub-committee attendance in page 269 of this Annual report Refer sub-committee reports in pages 289 to 304 in this Annual report. Refer Board Meeting attendance in page 269 of this annual report. Refer Terms of Reference of Senior Independent Director in page 266 of this annual report.	Complied

CORPORATE GOVERNANCE

Section	Governance Principal and Implementation	Compliance status
9.11	Nominations and Governance Committee (BNGC)	
9.11.1	Availability of Nomination and Governance committee The board has appointed a BNGC that conforms the requirements set out in rule 9.11 of listing rules. Refer Board Nomination and Governance Committee report on page 297 in this annual report.	Complied
9.11.2	Board appointments through Nomination and Governance Committee A formal process is in place for the appointment of new Directors and re-election to the Board through the BNGC.	Complied
9.11.3	Terms of reference of Nominations and Governance Committee Board approved Terms of Reference for BNGC is available that define scope, authority, duties and matters pertaining to the quorum of meetings. Refer Report of the BNGC on page 297 of this annual report.	Complied
9.11.4	Composition of the Board Nomination and Governance Committee (1) The committee consists of 3 non-executive directors out of which 2 of them are independent. (2) The Chairperson of the Committee is an Independent Non-Executive Director. (3) Refer Report of the BNGC on page 297 of this Annual report.	Complied
9.11.5	Functions of the Board Nomination and Governance Committee Refer the report of BNGC report in the page 297 of this annual report.	Complied
9.11.6	Disclosures in Annual Report Refer the report of Board Nomination and Governance Committee report in the page 297 of this annual report.	Complied
9.12	Remuneration Committee (BHRRC)	
9.12.1/ 9.12.2	Availability of Remuneration Committee The board has appointed a BHRRC that conforms the requirements set out in rule 9.12 of listing rules. Refer Board Remuneration Committee report on page 298 in this annual report.	Complied
9.12.3	Remuneration Policy for Executive Directors A formal and transparent procedure is in place for fixing the remuneration of individual Executive Directors. Refer the report of the BHRRC report in the page 298 of this annual report.	Complied
9.12.4	Remuneration Policy for Non-Executive Directors A policy which adopts the principle of non-discriminatory pay practices is in place in determining the remuneration of Non-Executive Directors to ensure that their independence is not impaired. Refer the Report of the BHRRC in page 298 of this annual report.	Complied
9.12.5	Terms of Reference of Remuneration Committee Board approved Terms of Reference for Remuneration committee is available that define scope, authority, duties and matters pertaining to the quorum of meetings. Refer the Report of the BHRRC in page 298 of this annual report.	Complied
9.12.6	Composition of the Remuneration Committee The Committee consists of 3 Non-Executive Directors out of which 2 of them are independent. The Chairperson of the Committee is an Independent Non-Executive Director. Refer the Report of the BHRRC in page 298 of this annual report.	Complied
9.12.7	Functions of Remuneration Committee Board approved Terms of Reference of BHRRC covers the functions highlighted in section 9.12.7 of the listing rules. Refer the Report of the BHRRC in page 298 of this annual report.	Complied
9.12.8	Disclosures in the Annual report. Refer the report of BHRRC on page 298 of this annual report. The aggregate remuneration of the Executive and Non-Executive Directors are disclosed in Page 445 of this annual report.	Complied
9.13	Board Audit Committee (BAC)	
9.13.1	Availability of Committee to perform audit and risk function The audit functions specified in section 9.13.4 are performed by BAC while a separate committee, BIRMC has been formed to perform risk function of the company including risk related functions specified in section 9.13.4. Refer Report of the BAC on page 289 and report of BIRMC on page 294 of this annual report.	Complied

Section	Governance Principal and Implementation	Compliance status
9.13.2	Terms of Reference of Board Audit Committee Board approved Terms of Reference for BAC is available that define scope, authority, duties and matters pertaining to the quorum of meetings. Refer Report of the Board Audit Committee on page 289 of this annual report.	Complied
9.13.3.	Composition of the Board Audit Committee (1) The Committee comprise 3 NEDs out of which 2 of them are independent. Further, the committee does not comprise ED. (2) As per the TOR of the BAC, Quorum for a meeting require that the majority of attendees shall be Independent Directors. (3) The BAC meets at least on monthly intervals. which is in compliance with the requirements. (4) The Company does not have any listed subsidiaries (5) Independent NED functions as a Chairman of the committee. (6) The MD/CEO and CFO of the Company attend the BAC/BIRMC meetings by invitation. (7) The Chairman of the BAC is a fellow Member of "The Institute of Chartered Accountants of Sri Lanka and The Chartered Institute of Management Accountants of UK" and also possesses sufficient experience in finance and banking industry. Refer the BAC report on page 289 of this annual report.	Complied
9.13.4	The functions of the Audit Committee A Board approved Terms of reference of BAC includes the audit related functions specified in section 9.13.4 of the listing rules. The risk related functions specified in section 9.13.4 are included in the Terms of Reference of BIRMC. Refer Report of the BAC on page 289 and Report of BIRMC on page 294 of this annual report	Complied
9.13.5	Disclosures in Annual Report Refer Report of the BAC on page 289 of this annual report.	Complied
9.14	Board Related Party Transactions Review Committee (BRPTRC)	
9.14.1	Availability of Board Related Party Transactions Review Committee The board has appointed a BRPTRC that conforms the requirements set out in rule 9.14 of listing rules. Refer BRPTRC report on page 299 in this annual report.	Complied
9.14.2	Composition of Board Related Party Transactions Review Committee The committee comprise of Three (3) non-executive Directors of which 2 of them are independent. Executive Directors are invited to the meetings as and when required. The chairperson of the committee is an independent director. Refer the report of BRPTRC on page 299 of this annual report.	Complied
9.14.3	Functions of the Board Related Party Transactions Review Committee Board approved Terms of Reference of BRPTRC covers the functions highlighted in section 9.14.3 of the listing rules. Refer the Report of BRPTRC on page 299 of this annual report.	Complied
9.14.4	General Requirements of Board Related Party Transactions Review Committee (1) The committee met 5 times during the year. Refer the report of BRPTRC on page 299 of this annual report. (2) The members of the BRPTRC have enough knowledge and expertise to assess all aspects of proposed Related Party Transactions. Where necessary, Committee obtain appropriate professional and expert advice from an appropriately qualified person. (3) The Committee requests the Board of Directors to approve the Related Party Transactions which are under review by the Committee. In such instances, the approval of the Board of Directors obtained prior to entering into the relevant Related Party Transaction. No such instances occurred during the year Refer the report of the BRPTRC on page 299 of this annual report. (4) As stipulated the RPT policy, no director has participated or voted in any discussion of a proposed related party transaction for which he or she is a related party. Refer the report of the BRPTRC on page 299 of this annual report.	Complied

CORPORATE GOVERNANCE

Section	Governance Principal and Implementation	Compliance status
9.14.5	Review of Board Related Party Transactions by the Board Related Party Transactions Review Committee (1) All proposed related Party transactions are reviewed and recommended prior to entering in to transactions by BRPTRC. (2) In the event of any material changes to a previously reviewed Related Party Transaction in terms of Rule 9.14.5 (1) such proposed material changes are also reviewed by the BRPTRC to the completion of the transaction. (3) LBF Senior Management provides all the facts and circumstances of the proposed Related party transactions to the BRPTRC to facilitate the review of such Related Party transactions. (4) In determining whether to obtain the approval of the Board of directors for a related party transaction, the BRPTRC takes into account the factors stipulated in section 9.14.5 (4) of the listing rules. (5) No Director shall participate in any discussion of a proposed related party transaction in which he or she is a related party, except that the Director, at the request of the committee, may participate in discussions for the express purpose of providing information concerning the BRPTRC. (6) Processes are in place where all proposed related Party transactions are reviewed and recommended by the Related Party Transaction review committee prior to entering in to transactions.	Complied
9.14.6	Shareholder Approval (1)/(2)/(3) A process is in place to obtain shareholder approval by way of a special resolution for RPTs stipulated in section 9.14.6 (1) of the listing rules. However, there were no such transactions occurred during the year.	Complied
9.14.7	The Company shall make an immediate Market Announcement to the Exchange for Related Party Transactions listed in Section 9.14.7 (a) and (b) The RPT policy of the company include provisions to make immediate market announcements with regard to the related party transactions listed in section 9.14.7 of the listing rules. There were no transactions which required immediate market announcements as set out in section 9.14.7 of the listing rules.	Complied
9.14.8	Disclosures in the Annual Report (1) There were no non recurrent related party transactions which exceed 10% of the equity or 5% of the total assets of the company whichever is lower which required to be disclosed in the annual report as required by section 9.14.8 of the listing rules. Refer the RPT Note No. 3.1 to the Financial Statements in page 445 of this annual report. (2) There were no recurrent related party transactions which exceed aggregate value 10% of gross revenue/income or 5% of the total assets of the company whichever is lower which required to be disclosed in the annual report as required by section 9.14.8 of the listing rules. (3) Refer the BRPTRC on page 299 of this annual report. (4) Refer Annual report of the board of directors on the affairs of the company on page 282 of this annual report.	Complied
9.14.9	Acquisition and disposal of Assets from / to Related Parties During the year there were no acquisition or disposals of substantial assets from / to related parties.	Complied
9.14.10	Exempted Related Party Transactions Exemptions mentioned in this section has not been considered as all the related party transactions are reviewed and recommended by the Related Party Transactions Review committee.	Complied
9.16	Additional Disclosures Additional disclosures stipulated in the section 9.16 are declared by the Board of Directors in Annual report of the affair Refer Annual report of the board of directors on the affairs of the company on page 282 of this annual report.	Complied

GRI CONTENT INDEX

Statement of use - LBF PLC has reported in accordance with the GRI Standards for the period 01st of April 2024 to 31st of March 2025.

GRI Standard	Disclosure	Page	Explanation
GRI 1	GRI 1: Foundation 2021		
GRI 2	General Disclosures 2021		
2-1	Organisational details	5, 14	
2-2	Entities included in the organisation's sustainability reporting	16	
2-3	Reporting period, frequency and contact point	19, 22	
2-4	Restatements of information	19	
2-5	External assurance	19	
2-6	Activities, value chain and other business relationships	222-223	
2-7	Employees	170-171	
2-8	Workers who are not employees	171	
2-9	Governance structure and composition	253	
2-10	Nomination and selection of the highest governance body	271	
2-11	Chair of the highest governance body	264	
2-12	Role of the highest governance body in overseeing the management of impacts	273	
2-13	Delegation of responsibility for managing impacts	273	
2-14	Role of the highest governance body in sustainability reporting	273, 277	
2-15	Conflicts of interest	273	
2-16	Communication of critical concerns	273	
2-17	Collective knowledge of the highest governance body	272	
2-18	Evaluation of the performance of the highest governance body	274-275	
2-19	Remuneration policies	275	
2-20	Process to determine remuneration	170, 298	
2-21	Annual total compensation ratio		Does not disclose due to confidential reasons
2-22	Statement on sustainable development strategy	84	
2-23	Policy commitments	62, 81, 124-221	
2-24	Embedding policy commitments	62, 81	
2-25	Processes to remediate negative impacts	167	
2-26	Mechanisms for seeking advice and raising concerns	197, 541-543	
2-27	Compliance with laws and regulations	18	
2-28	Membership associations	549	
2-29	Approach to stakeholder engagement	62-63	
2-30	Collective bargaining agreements		N/A
GRI 3	Material Topics 2021		
3-1	Process to determine material topics	74	
3-2	List of material topics	75-80	
3-3	Management of material topics	124-221	
GRI 200	ECONOMIC		
GRI 201	Economic Performance 2016		

GRI CONTENT INDEX

201-1	Direct economic value generated and distributed	35, 40	
201-2	Financial implications and other risks and opportunities due to climate change	341-344	
201-3	Defined benefit plan obligations and other retirement plans	158	
201-4	Financial assistance received from government		None
GRI 202 Market Presence 2016			
202-1	Ratios of standard entry level wage by gender compared to local minimum wage LBF pays above minimum wages as stipulated by law or applicable collective agreements (There is no gender differences). According to legislation to be presented in Parliament of Sri Lanka, the national minimum monthly wage for all workers in any industry or service will be Rs. 10,000/- while the national minimum daily wage of a worker will be Rs. 400/-		
202-2	Proportion of senior management hired from the local community		Locally hired
GRI 203 Indirect Economic Impacts 2016			
203-2	Significant indirect economic impacts	33-36	
GRI 205 Anti-Corruption 2016			
205-1	Operations assessed for risks related to corruption	541-543	
205-2	Communication and training about anti-corruption policies and procedures	541-543	
205-3	Confirmed incidents of corruption and actions taken		No incident was reported
GRI 206 Anti-competitive Behavior 2016			
206-1	Legal actions for anti-competitive behavior, anti-trust, and monopoly practices		No incident was reported
GRI 207 Tax 2019			
207-1	Approach to tax	380-381, 432	
207-2	Tax governance, control, and risk management	380-381	
207-3	Stakeholder engagement and management of concerns related to tax	380-381, 432	
207-4	Country-by-country reporting	363	
GRI 300 ENVIRONMENT			
GRI 305	Emissions 2016		
305-1	Direct (Scope 1) GHG emissions	110	
305-2	Energy indirect (Scope 2) GHG emissions	110	
305-3	Other indirect (Scope 3) GHG emissions	110	
305-4	GHG emissions intensity	40, 109	
305-6	Emissions of ozone-depleting substances (ODS)		N/A
305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	111	

GRI 400	SOCIAL		
GRI 401	Employment 2016		
401-1	New employee hires and employee turnover	170	
401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	159	
401-3	Parental leave	160	
GRI 403	Occupational Health and Safety 2018		
403-1	Occupational health and safety management system	161	
GRI 404	Training and Education 2016		
404-1	Average hours of training per year per employee	171	
404-2	Programmes for upgrading employee skills and transition assistance programmes	171	
404-3	Percentage of employees receiving regular performance and career development reviews	157	
GRI 405	Diversity and Equal Opportunity 2016		
405-1	Diversity of governance bodies and employees	171	
405-2	Ratio of basic salary and remuneration of women to men	160, 170	
GRI 406	GRI 406: Non-discrimination 2016		
406-1	Incidents of discrimination and corrective actions taken		No incident was reported
GRI 413	Local Communities 2016		
413-1	Operations with local community engagement, impact assessments, and development programmes	200-204, 214-219	
413-2	Operations with significant actual and potential negative impacts on local communities		No incident was reported
GRI 418	Customer Privacy 2016		
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data		No incident was reported

INTEGRATED REPORTING - CONTENT INDEX

IR Reference	Paragraph Reference	Description	Page No. / Explanation
1. Using the <IR> Framework			
1A	1.2	An integrated report should be prepared in accordance with the <IR> Framework	18
1C	1.7	The primary purpose of an integrated report	15
1D	1.11	Quantitative and qualitative information	17
1G	1.2	An integrated report should include a statement from those charged with governance	20
2. Fundamental Concepts			
2A	2.3	An integrated report aims to provide insight about external environment, resources and the relationships used and affected by the organisation and how the organisation interacts with the external environment and the capitals to create	56, 124-221
2B	2.4	Value created, preserved or eroded by an organisation over time manifests	128, 144, 152, 174, 186, 210
2C	2.17 - 2.19	Categories and descriptions of the capitals	124-221
2D	2.23	Business model, which draws on various capitals as inputs and, through its business activities, converts them to outputs	54
3. Guiding Principles			
3A	3.3	Strategic focus and future orientation	81-95, 96
3B	3.6	Connectivity of information - An integrated report should show a holistic picture	Maintained throughout the report
3C	3.10	Stakeholder relationships	62-73
3D	3.17	Materiality	74-80
3E	3.37	An integrated report includes sufficient context to understand organisation's strategy, governance, performance and prospects without being burden with less relevant information	81-95, 246-281, 124-221
3F	3F	Reliability and completeness	540
4. Content Elements			
4A	4.4, 4.5, 4.6, 4.7	Organisational overview and external environment	24-32, 56-61
4B	4.8, 4.9	Governance	246-281
4C	4.10, 4.11, 4.12, 4.13, 4.14, 4.15, 4.16, 4.17, 4.18, 4.19	Business model	54
4D	4.24, 4.25, 4.26	Risks and opportunities	311-345
4E	4.28, 4.29	Strategy and resource allocation	81-95
4F	4.31, 4.32, 4.33	Performance	38-41, 484-485
4G	4.35, 4.36, 4.37, 4.38, 4.39	Outlook	46-48, 50-53, 96
4H	4.41, 4.42, 4.43, 4.44, 4.45, 4.46, 4.47	Basis of preparation and presentation	16-18, 74-80

SLFRS S1 AND S2 DISCLOSURES CONTENT INDEX

Section	SLFRS S1 & S2 Reference	Summary of Requirements	Page Reference
Governance	S1: 26–27, S2: 5–6	Disclosures on governance is to enable users of general purpose financial reports to understand the governance processes, controls and procedures an entity uses to monitor, manage and oversee sustainability-related risks and opportunities and Climate related risk and opportunities.	276-277
Strategy	S1: 28–42, S2: 8–23	Disclosures on how sustainability-related and climate-related risks and opportunities impact the business model, strategy, and financial planning over the short, medium, and long term, including: • Identification of risks and opportunities • Impact on business model and value chain • Effects on strategy and decision-making • Effect on financial performance, position, and cash flows • Resilience - Disclose a qualitative and quantitative assessment of the resilience of its strategy and business model • Climate transition plan	83-94
Risk Management	S1: 43–44, S2: 24–26	Disclose the processes used to identify, assess, prioritize, and monitor sustainability-related and climate-related risks and opportunities, including integration with the overall risk management process	336-345
Metrics and Targets	S1: 45–53, S2: 27–28	Disclose the metrics and targets used to assess performance in relation to sustainability-related and climate-related risks and opportunities, including progress toward targets entity has set and level of achievement	105-111, 141, 149, 169, 183, 206, 221
GHG Emissions & Climate Metrics	S2: 29	Disclose Scope 1, 2, and 3 greenhouse gas (GHG) emissions, including methodologies, assumptions, and intensity ratios used. Should align with GHG Protocol.	105-111
Scenario Analysis & Climate Resilience	S2: 22	Disclose the resilience of strategy and business model to climate-related changes and uncertainties, considering defined climate-related risks and opportunities. Scenario analysis should be applied	345 (Non-financial content)
Materiality*	S1: 17–18	Disclose material sustainability-related and climate-related risks and opportunities that could influence the assessments and decisions of primary users of financial reports	76

Quantitative disclosures were not provided to be in-line with the transitional provision of SLFRS S1 paragraph 34 (b), that quantitative information need not be provided in the first year of adoption of the Standard.

The Company did not receive any information after the end of the reporting period, but before the date on which the sustainability-related financial disclosures were authorised for issue that required an update to the disclosures in respect of conditions that existed at the end of the reporting period.

*Based on the sustainability-related risks and opportunities identified in accordance with SLFRS S1:35(a), the Company has not identified any risks or opportunities that give rise to a significant risk of a material adjustment to the carrying amounts of assets or liabilities reported in the financial statements within the next annual reporting period.

DISCLOSURES RELATING TO SUSTAINABILITY ACCOUNTING STANDARD BOARD (SASB) FOR CONSUMER FINANCE

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE	CODE	DISCLOSURE/ PAGE REFERENCE
Customer Privacy	Number of account holders whose information is used for secondary purposes 1	Quantitative	Number	FN-CF-220a.1	No such incidents were reported
	Total amount of monetary losses as a result of legal proceedings associated with customer privacy 2	Quantitative	Presentation currency	FN-CF-220a.2	No such incidents were reported
Data Security	Number of data breaches, percentage that are personal data breaches, (3) number of account holders affected 3	Quantitative	Number, Percentage (%)	FN-CF-230a.1	No such incidents were reported
	Card-related fraud losses from (1) card- not-present fraud and (2) card-present and other fraud	Quantitative	Presentation currency	FN-CF-230a.2	No such incidents were reported
	Description of approach to identifying and addressing data security risks	Discussion and Analysis	n/a	FN-CF-230a.3	Intellectual Capital Page 179-180
Selling Practices	Percentage of total remuneration for covered employees that is variable and linked to the amount of products and services sold 4	Quantitative	Percentage (%)	FN-CF-270a.1	
	In the dynamic world of LBF, a vibrant performance-based culture fuels the drive for excellence. Here, marketing officers navigate their roles with clear, ambitious targets, both individually tailored and collectively embraced by their teams. Each goal set is a beacon guiding their efforts, promising lucrative incentives for those who reach the summit. This system transforms targets into motivational milestones, sparking a competitive yet collaborative spirit. However, the stakes are high—missing a target means the incentive remains an unclaimed reward, a constant reminder of the relentless pursuit of success that defines LBF's ethos.				
	Approval rate for (1) credit and (2) pre- paid products for applicants 5	Quantitative	Percentage (%)	FN-CF-270a.2	N/A
	Average fees from add-on products, average APR of credit products, average age of credit products, average number of credit accounts, and (5) average annual fees for pre-paid products	Quantitative	Presentation currency, Percentage (%), Months, Number	FN-CF-270a.3	N/A
	Number of customer complaints filed, percentage with monetary or non- monetary relief	Quantitative	Number, Percentage (%)	FN-CF-270a.4	No such incidents were reported
	Total amount of monetary losses as a result of legal proceedings associated with selling and servicing of products 6	Quantitative	Presentation currency	FN-CF-270a.5	No such incidents were reported

THE TEN PRINCIPLES OF THE UN GLOBAL IMPACT

PRINCIPLE	DESCRIPTION	PAGE NO
Human Rights		
Principle 1 :	Businesses should support and respect the protection of internationally proclaimed human rights	115
Principle 2 :	Businesses should make sure that they are not complicit in human rights abuses	115
Labour		
Principle 3 :	Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining Declarations of the International Labor Organisation (ILO), including the employee right to the freedom of association and the right to engage in collective bargaining, LBF's strong relationships with employees has meant there is no need for any collective agreement. During the year under review, the Company has not faced any type of industrial disputes.	
Principle 4 :	Businesses should uphold the elimination of all forms of forced and compulsory labour	No such incidents were reported
Principle 5 :	Businesses should uphold the effective abolition of child labour	No such incidents were reported
Principle 6 :	Businesses should uphold the elimination of discrimination in respect of employment and occupation	No such incidents were reported
Environment		
Principle 7 :	Businesses should support a precautionary approach to environmental challenges	33, 60
Principle 8 :	Businesses should undertake initiatives to promote greater environmental responsibility	33, 60
Principle 9 :	Businesses should encourage the development and diffusion of environmentally friendly technologies	150
Anti-Corruption		
Principle 10 :	Businesses should work against corruption in all its forms, including extortion and bribery	355

INDEPENDENCE ASSURANCE

<IR 3F>

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INDEPENDENT ASSURANCE REPORT TO THE BOARD OF THE DIRECTORS OF LB FINANCE PLC ON THE INFORMATION PRESENTED WITH REFERENCE TO THE GRI, SLFRS S1 and S2, SASB STANDARDS AND THE INTEGRATED REPORTING <IR> FRAMEWORK IN THE INTEGRATED ANNUAL REPORT -2025.

SCOPE

We have been engaged by the management of LB Finance PLC ("the Company") to perform an independent limited assurance engagement, as defined by the Sri Lanka Standard on Assurance Engagements, on the information presented with reference to the GRI (Global Reporting Initiative), SLFRS S1 and S2, SASB (Sustainability Accounting Standards Board) Standards and the integrated reporting <IR> framework ("Information") in its Integrated Annual Report for the year ended 31 March 2025 (the "Report").

MANAGEMENT'S RESPONSIBILITY

Management of the Company is responsible for preparation and presentation of the information with reference to the GRI, SLFRS S1 and S2, SASB standards and the Integrated Reporting <IR> framework. This responsibility includes the design, implementation, and maintenance of internal control relevant to the preparation and presentation of the information that is free from material misstatement, whether due to fraud or error.

OUR INDEPENDENCE AND QUALITY CONTROL

We have complied with the independence and other ethical requirements of the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behavior. The firm applies Sri Lanka Standard on Quality Management and accordingly maintains a comprehensive system

of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

OUR RESPONSIBILITY

Our responsibility is to express a conclusion on the information presented in Report with reference to the GRI, SLFRS S1 and S2, SASB standards and the Integrated Reporting <IR> framework. We conducted our limited assurance engagement in accordance with the Sri Lanka Standard on Assurance Engagements 3000, Assurance Engagements other than Audits or Reviews of Historical Financial Information ("SLSAE 3000") issued by the Institute of Chartered Accountants of Sri Lanka. That standard requires that we plan and perform this engagement to obtain limited assurance about whether the information is free from material misstatement.

A limited assurance engagement undertaken in accordance with SLSAE 3000 involves assessing the risks of material misstatement of the information whether due to fraud or error, responding to the assessed risks as necessary in the circumstances, and evaluating the overall presentation of the information.

A limited assurance engagement is substantially less in scope than a reasonable assurance engagement in relation to both the risk assessment procedures, including an understanding of internal control, and the procedures performed in response to the assessed risks.

The procedures we performed were based on our professional judgment and were included,

- Comparing of the content of the Report against the GRI, SLFRS S1 and S2, SASB standards and the Integrated Reporting <IR> framework.
- Inquiring relevant organization's personnel to understand the process for collection, analysis, aggregation, and presentation of data.

- Cross checking the non-financial data / information presented in the Report with the supporting documents and schedules maintained by the Company.
- Checking the calculations performed by the organization on a sample basis through recalculation.
- Cross checking the financial information presented in the Report with the audited financial statements of the Company for the financial reporting period ended 31 March 2025.

CONCLUSION

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the information, as defined above, for the year ended 31 March 2025, is not presented, in all material respects, with reference to the GRI, SLFRS S1 and S2, SASB standards and the Integrated Reporting <IR> framework.

OTHER MATTER

Our assurance is not extending to the prospective/ comparative information, or any other information presented in the Report other than based on the GRI, SLFRS S1 and S2, SASB standards and the Integrated Reporting <IR> framework. Further, we do not provide any assurance on the assumptions and achievability of prospective information presented in the Report.

Deloitte Partners
Chartered Accountants
Colombo

30 May 2025

C S Manoharan FCA, T U Jayasinghe FCA, M D B Boyagoda FCA, H A C H Gunarathne FCA, M P M T Gunasekara FCA, N R Gunasekera FCA, M S J Henry FCA, M M R Hilmy FCA, H P V Lakdeva FCA, K M D R P Manatunga ACA, M M M Manzeer FCA, L A C Tillekeratne ACA, D C A J Yapa ACA

Regd. Office: P.O. Box 918, 100 Braybrooke Place, Colombo 02, Sri Lanka. Reg. No.: w/4179

REPORTING ON ANTI-CORRUPTION PROGRAMMES

GRI: 2-26, 205-1, 205-2

TRANSPARENCY IN CORPORATE REPORTING ASSESSMENT, ISSUED BY TRANSPARENCY INTERNATIONAL SRI LANKA

1. Does the company have a publicly stated commitment to anti-corruption?

Commitment to anti-corruption with Anti-bribery and corruption policy

At LBF, we committed to act ethically and with integrity in everything we do. Through our approach, we seek to build long term relationships with stakeholders based on trust. LBF Board of Directors set the tone from the top to promote a culture of ethics and transparent behaviour across the Company. This is supported by a range of policies that specify the ethical conduct expected from all employees including specific actions to deal with anti-corruption and bribery, guidelines on receiving and giving gifts and the exclusion of political party sponsorships. According to ABC policy of the Company;

- Enhanced due diligence should be carried out where any payment is made to a Politically Exposed Person (PEP) as defined in Company's Anti-Money Laundering Policy
- No political contribution to a candidate for public office, an elected official, a political party or political action committee, can be made, on behalf of LB Finance PLC.

Frequently we communicate these policies to our employees and also continuously reiterate the importance of legal and regulatory compliance. The Anti-bribery and corruption policy is published in the corporate web site of the Company

2. Does the company publicly commit to be in compliance with all relevant laws including anti-corruption laws?

Internal processes are in place to ensure that the Company comply with all laws regulations, directions and internal policies of the Company. The Board affirms that the Company complies with all relevant laws, regulations, directions and internal policies of the Company.

3. Does the company leadership (senior membership or board) demonstrate support for anti-corruption?

The Board approved Anti-Bribery and Corruption (ABC) Policy is in place. Operationalization and compliance of the policy is ensured through the Compliance Officer.

4. Does the company code of conduct/anti-corruption policy explicitly apply to all employees and directors?

The Board approved Code of Conduct, ABC policy are in place. These policies have been duly communicated to all employees including Directors of the Company in all three languages and employee acknowledgements have been obtained. Further, periodic e-flyers related to ABC have been circulated through e-mails among all employees aiming continuous awareness and compliance.

5. Does the company's anti-corruption policy explicitly apply to persons who are not employees but are authorised to act on behalf of the company or represent it (for example: agents, advisors, representatives or intermediaries)?

The Company's ABC Policy explicitly applies for all stakeholders including agents, advisors, representatives and all other intermediaries. The Anti-bribery and corruption policy is published in the corporate web site of the Company

6. Does the company require external entities that provide goods or services under contract (for example: contractors, subcontractors, suppliers) to abide by the company's anti-corruption programme or supplier code?

The Company's ABC Policy explicitly applies for external entities that provide goods and services under contracts to comply with company's ABC policy requirements.

Regular AML and ABC Due diligence are conducted on all business partners including external entities that provide goods and services under contracts.

7. Does the company have in place an anti-corruption training programme for its employees and directors?

The Board and Senior Management participated in a comprehensive training session, focusing on Anti-Bribery and corruption. The training addressed current and potential risks, aiming to enhance the Company's anti-bribery and corruption programmes. Further, periodic e-flyers related to ABC have been circulated through e-mails among all employees aiming continuous awareness and compliance.

ABC Policy was communicated to all employees of the Company. Refer page 272.

8. Does the company have a policy on gifts, hospitality and expenses?

These guiding principles are supported by a company ABC policy, Policy on Managing Conflicts of Interests and code of conduct dealing with anti-bribery and corruption, including conflicts of interests, gifts and hospitality, facilitation payments, hosting of customer events, marketing sponsorships, and due diligence of third party service providers. In addition, receiving or giving/ offering gifts and hospitality that is excessive, inappropriate, in breach of applicable laws and LBF policies, can be damaging to LBF's reputation, create conflicts of interests, and harm our business relationships. Suppliers shall not use third parties to perform illegal and improper activities, whether directly or indirectly on their behalf like paying bribes or making facilitation payments.

9. Does the policy on gift and hospitality or expenses include a definition of threshold (descriptive or quoted as amounts) as well as procedures and reporting requirements?

The ABC policy, Policy on Managing Conflicts of Interests and code of conduct set out definitions of descriptive thresholds and outline the procedures to be followed when such situation is arose. Additionally, these documents specify the obligations for reporting such incidents and the channels through which they should be reported.

REPORTING ON ANTI-CORRUPTION PROGRAMMES

10. Is there a policy that explicitly prohibits facilitation payments?

Refer point 8 above

11. Does the company provides a mechanism/channel through which employees can report suspected act of corruption or breaches of anti corruption policies, and does mechanism/channel allow for confidential and/or anonymous reporting (whistle blowing) ?

Board approved whistle blowing policy is in place. Frequent awareness campaigns are conducted through various means to encourage the reporting of suspected wrongdoings, acts of corruption or breaches of anti-corruption policies. It allows for confidential and/or anonymous reporting (whistle-blowing) and there is a two-way communication with the whistle blower for any needed follow up on the disclosure.

The compliance officer submitted a confidential report on quarterly basis to the members of the BAC on of any whistleblowing and actions taken in compliance with the policy.

Awareness programmes were carried out to build employee capacity and help them to develop a sensitivity to situations of real or perceived conflict of interest and learn how to deal with them when they arise.

12. Does the whistle blowing mechanism/channel enable employees and other to raise concerns and report suspected acts of corruption or breaches of anti corruption policies without of risk of reprisal?

The policy on whistleblowing clearly outlines the process for reporting or raising concerns about suspected acts of corruption or violations of anti-corruption policies, ensuring that individuals can do so without fear of retaliation.

No incidents have been reported during the year.

The BAC remains committed to follow-up on any future complaints/incidents, should they occur. No employee would suffer demotion, penalty or other reprisals for raising concerns or reporting violation.

13. Does the mechanism/ channel provide for two way communication with the whistle blower for any needed follow up on the concern/s raised?

Regular awareness campaigns are implemented using diverse methods to promote the reporting of suspected misconduct, corruption, or violations of anti-corruption policies. These campaigns enable individuals to report confidentially and/or anonymously (whistleblowing), and establish a two-way communication channel with whistleblowers for any necessary follow-up on the information disclosed.

14. Does the company carry out regular monitoring of its anti-corruption programme to review the programme's suitability, adequacy and effectiveness, and implement improvements as appropriate?

A process is in place to carry out annual review of anti-corruption programme to ensure the suitability, adequacy and effectiveness of the ABC programme.

The process of mitigating the ABC risk through three (3) lines of defense are stated below,

Assessing Bribery and Corruption Risk (BC Risk)

- Bribery and corruption risks to business operations of the company where applicable shall be identified, periodically assessed, monitored and managed effectively by the respective process owners in order to maintain a strong control system.

Role of the Risk Department: Each business unit should assess the BC risk when carrying out their respective Risk Assessment which is rolled out and reviewed by the Risk Department.

- Role of Compliance Department: Compliance being an independent function will monitor non-compliance of this policy with relevant reporting by the respective business unit or the Human Resource Department or as detected by the Internal Audit Department and with the related Risk assessment reviewed by the Risk Department and company takes appropriate action to address policy violations.

- Head of Compliance being the subject policy owner will report any Non-compliance of this policy to the Board Audit Committee (BAC) on a Quarterly basis.

- Role of Internal Audit: Internal Audit being an independent function from the business operations, will carry out the audit function in line with the Board approved Audit methodology for providing the assurance. As per board approved annual plan, required verifications/tests are conducted to assess the adequacy of the controls established within the entity.

15. Does the company have a policy on political contributions that either prohibits such contributions or if it does not, requires such contributions to be publicly disclosed?

The Company has a policy on political contribution that prohibits political sponsorships/contributions. This aspect clearly covers in the ABC policy.

16. Does the company disclose its ultimate beneficial owner/s?

A process is in place to identify Ultimate Beneficial Owners of the company and is disclosed in the Annual report of the Company.

Which of the following information does the company disclose for all of its fully consolidated subsidiaries?

17 full list with names

Refer Principal Business Activity, nature of operations of the group and ownership by the company in its subsidiary on pages 31 and 549.

18 percentages owned in each of them

Refer Principal Business Activity, nature of operations of the group and ownership by the company in its subsidiary on page 549.

19 Countries of incorporation (for each entity)

Refer Investment in Subsidiary on page 358 Refer Annual report of the Board of Directors on the Affairs of the Company on page 282.

20 countries of operations

Refer Investment in Subsidiary on page 358 Refer Annual report of the Board of Directors on the Affairs of the Company on page 282.

Which of the following information does the company disclose for all of its non fully consolidated holdings, such as associates, joint-ventures?

21 full list with names

N/A

22 percentages owned in each of them

N/A

23 country of incorporation

N/A

24 country of operations

N/A

25. Does the company disclose its revenue/ sales in Sri Lanka?

LB Microfinance Myanmar Limited - Rs. 353 Mn. (Refer segmental information in Notes to the financial statements on page 452)

26. Does the company disclose its capital expenditure in Sri Lanka?

LB Microfinance Myanmar Limited - Rs. 20.5 Mn. (Refer segmental information in Notes to the financial statements on page 452)

27. Does the company disclose its pre-tax income in Sri Lanka?

LB Microfinance Myanmar Limited - Rs. 68.9 Mn. (Refer segmental information in Notes to the financial statements on page 452)

28 Does the company disclose its income tax in Sri Lanka?

LB Microfinance Myanmar limited has not paid any taxes during the financial year owing to a carried forward tax over payment made in the previous financial year. Total tax payable for current financial year Rs. 14.7 Mn. Tax paid Rs. 15.7 Mn.

29. Does the Company disclose its community contribution in Sri Lanka?

Refer social and relationship capital on page 184.

30 Does the Company have a publicly stated policy against sexual harassment?

Board approved HR policy of the company include the zero tolerance against sexual harassments or equivalents. The company is committed to fight any form of harassment at the work place.

31 Does the company have an explicit, publicly stated commitment to non-discrimination based on gender?

Board approved HR policy of the company include the company's commitment to non discrimination based on the gender.

32. Does the Company adopt a gender inclusive/equal opportunity recruitment policy?

An explicit commitment to non-discrimination on the basis of gender is in place when recruiting new employees to the company. 47% (2023/24 - 46%) of the workforce is females which shows a continuous improvement. Refer Human Capital in the Annual report on page 150.

33. Does the Company adopt a gender inclusive/equal opportunity promotion policy?

There is an explicit commitment in the HR policy on non-discrimination on the basis of gender when promoting employees. 50% of the employees promoted during 2024/25 are female employees.

34. Does the company have a policy for bidding on government contracts/ tenders?

Not Applicable.

The company does not engage for bidding on government contracts/tenders

35. Does the company disclose its current contracts with local and/or foreign governments?

Not Applicable.

The company does not engage in any contract with local and/ or any foreign government

36. Does the company publish tendering and post award documents for government contracts and awarded tenders?

Not Applicable.

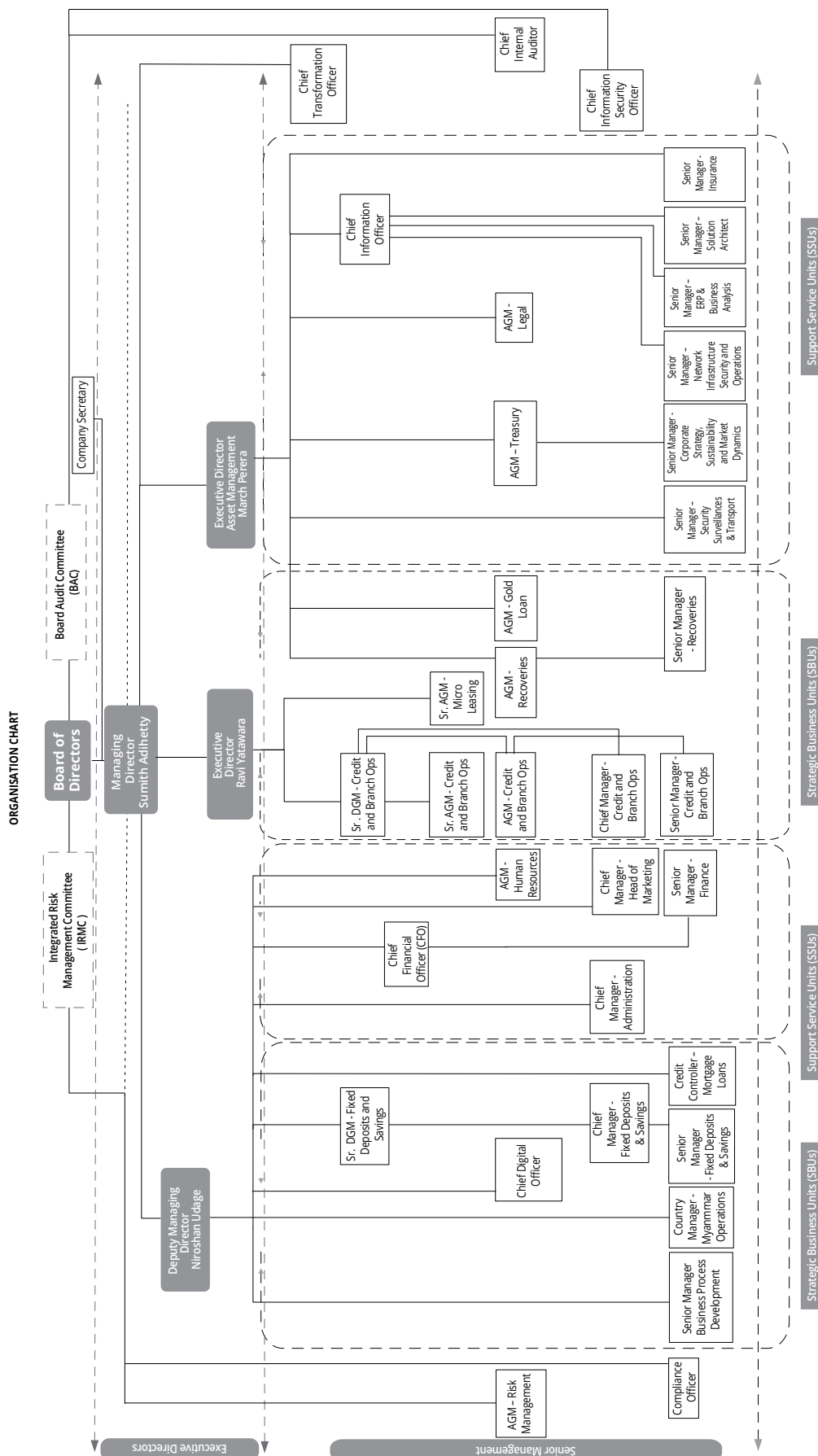
The company does not engage in any business transactions with the Government

37. Does the company disclose audited financial accounts for government contracts and awarded tenders?

Not Applicable.

The company does not engage in any business transactions with the Government

ORGANISATION CHART



LIST OF ABBREVIATIONS

AFS	Available for Sale
AGM	Annual General Meeting
ALCO	Assets and Liabilities Management Committee
APSP	Average Petroleum Spot Price
ASPI	All Share Price Index
ATM	Automated Teller Machine
AWDR	Average-Weighted Deposit Rate
AWFDR	Average-Weighted Fixed Deposit Rate
AWPLR	Average Weighted Prime Lending Rate
BFI	Banking Finance Insurance
BN	Billion
BOD	Board of Directors
BPO	Business Process Outsource
BPS	Basis Points
CAR	Capital Adequacy Ratio
CBSL	Central Bank of Sri Lanka
CDS	Central Depository System
CDM	Cash Deposit Machine
CMU	Customer Management Unit
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CGU	Cash Generating Unit
CRO	Chief Risk Officer
CRM	Customer Relationship Management
CSE	Colombo Stock Exchange
CSR	Corporate Social Responsibility
DR	Disaster Recovery
EIR	Effective Interest Rate
EPF	Employees' Provident Fund
EPS	Earnings per Share
ERP	Enterprise Resource Planning System
ESC	Economic Service Charge
ETF	Employees' Trust Fund
FVPL	Fair Value through Profit or Loss
GDP	Gross Domestic Product
GRI	Global Reporting Initiative
HFT	Held for Trading
HODs	Head of Departments
HP	Hire Purchase
HTM	Held to Maturity
ICASL	The Institute of Chartered Accountants of Sri Lanka
IFA	Investment Fund Account
IFRS	International Financial Reporting Standard
IIRC	International Integrated Reporting Council
BIRMC	Board Integrated Risk Management Committee
IRMU	Integrated Risk Management Unit
ISO	International Standard Organisation
IT	Information Technology
KMP	Key Management Personnel
KPIs	Key Performance Indicators

KRIs	Key Risk Indicators
L&R	Loans and Receivables
LRA	Lanka Rating Agency
LBFI	L B Finance PLC
LBMF	LB Microfinance Myanmar Company Limited
LCB	Licensed Commercial Bank
LFC	Licensed Finance Company
LKAS	Lanka Accounting Standards
LKR	Sri Lankan Rupees
LTV	Loan to Value
MN	Million
M3	Cubic Meter
MOU	Memorandum of Understanding
MSME	Micro, Small and Medium Enterprises
MRMR	Monthly Risk Management and Reporting
NBFI	Non-Bank Financial Institutions
NBT	Nation Building Tax
NCRE	Non-Conventional Renewable Energy
NPA	Non-Performing Advances
NII	Net Interest Income
NIM	Net Interest Margin
NPL	Non-Performing Loans
OCI	Other Comprehensive Income
PAT	Profit after Tax
PAYE	Pay As You Earn
PDC	Product Development Committee
PER	Price Earnings Ratio
PLC	Public Limited Company
RMD	Risk Management Department
ROA	Return on Assets
ROCE	Return on Capital Employed
ROE	Return on Equity
RWA	Risk-Weighted Assets
SBU	Strategic Business Units
SEC	Securities and Exchange Commission
SLC	Specialised Leasing Company
SLA	Statutory Liquid Assets
SLAR	Statutory Liquid Asset Ratio
SLAS	Sri Lanka Accounting Standard
SLCF	Sri Lanka Carbon Fund
SLFRS	Sri Lanka Financial Reporting Standard
SLIPS	Sri Lanka Inter-Bank Payment System
SME	Small and Medium Enterprises
UOM	Unit of Measurement
USD	US Dollar
VAR	Value at Risk
VAT	Value Added Tax
WHT	Withholding Tax

GLOSSARY OF TERMS

A

Accounting policies

Accounting policies The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual basis

The system of accounting wherein revenue is recognised at the time it is earned and expenses at the time they are incurred, regardless of whether cash has actually been received or paid out.

Allowance for impairment

A provision held on the Statement of Financial Position as a result of the raising of a charge against profit for the incurred loss.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life. Amortised cost Amount at which the financial asset or financial liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and minus any deduction for impairment or uncollectability.

Asset and Liability Committee (ALCO)

The committee that is responsible for managing assets and liabilities of the Company.

Average weighted deposit rate (AWDR)

AWDR is calculated by the Central Bank monthly based on the weighted average of all outstanding interest bearing deposits of commercial banks and the corresponding interest rates. Average weighted prime lending rate (AWPLR) AWPLR is calculated by the Central Bank weekly based on commercial bank's lending rates offered to their prime customers during the week

B

Basis Point (BP)

One hundred of a percentage point (0.01 per cent); 100 basis points is 1 percentage points: Used in quoting movements in interest rates or yields on securities.

C

Capital adequacy ratio

The relationship between capital and risk weighted assets as prescribed by the Central Bank of Sri Lanka.

Cash equivalents

Short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash Flows

Cash equivalents are short-term, highly liquid investment that are readily convertible to know amount of cash and which are subject to an insignificant risk of changes in value.

Collective impairment

Impairment is measured on a collective basis for homogeneous groups of lending facilities that are not considered as individually significant and to cover losses that have been incurred but has not yet been identified at the reporting date.

Commercial paper (CP)

An unsecured, debt instrument issued by a company, to finance short-term funding requirements. The debt is usually issued at a discount, reflecting prevailing market interest rate.

Commitments

Credit facilities approved but not yet utilised by the clients as at the reporting date. Compounded annual growth rate (CAGR) The rate at which it would have grown if it grew at an even rate compounded annually.

Contingencies

A condition or situation existing at reporting date where the ultimate outcome of which, gain or loss, will be confirmed only on the occurrence or non-occurrence of one or more uncertain future events.

Cost method

A method of accounting where by the investment is recorded at cost. The Income Statement reflects income from the investment only to the extent that the investor receives distributions from accumulated net profiles of the investee rising subsequent to the date of acquisition.

Corporate governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and direction of entity, the supervision of executive actions and accountability to owners and others.

Corporate Sustainability

Business approach that creates long-term consumer and employee value by creating a 'green' strategy aimed toward the natural environment and taking into consideration every dimension of how a business operates in the social, cultural and economic environment.

Cohort Method

A study design where one or more samples (called Cohorts) are followed prospectively and subsequent status evaluation with or outcome

are conducted to determine which initial participants exposure characteristics (risk factors) are associated with it.

Cost to income ratio

Operating expenses excluding impairment charge/gold loan auction losses as a percentage of total operating income (net of interest expenses).

Credit rating

An evaluation of a corporate's ability to repay its obligations or the likelihood of not defaulting, carried out by an independent rating agency.

Credit risk

Risk of financial loss, if a customer or counterparty fails to meet an obligation under a contract.

Credit risk mitigation

A technique to reduce the credit risk associated with an exposure by application of credit risk mitigants such as collateral, guarantee and credit protection.

Customer Deposits

Money deposited by account holders. Such funds are recorded as liabilities.

D

Deferred taxation

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Removal of a previously recognised financial asset or liability from an entity's Statement of Financial Position.

Discount rate

A rate used to place a current value on future cash flows. It is needed to reflect the fact that money has a time value.

Dividend cover

Profit attributable to ordinary shareholders as a percentage of gross dividends; indicates number of times dividend is covered by current year's distributable profits.

Dividend pay-out ratio

Dividend by profit after tax; indicates the percentage of earnings paid out to shareholders as dividends.

Dividend per share (DPS)

Value of the total dividend paid out and proposed to ordinary shareholders divided by the number

of ordinary shares in issue; indicates the proportion of current year's dividend attributable to an ordinary share in issue.

Dividend yield

Dividend expressed as a percentage of market value of a share. In absence of any capital gains, this shows the return on investing on a share relative to its market price.

E

Earnings per share (EPS)

Profit attributable to ordinary shareholders divided by the number of ordinary shares in issue; indicates the proportion of current year's earnings attributable to an ordinary share in issue.

Economic value added (EVA)

A measure of performance considering cost of total invested equity.

Effective interest rate (EIR)

Rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or liability.

Effective tax rate

Provision for taxation excluding deferred tax expressed as a percentage of the profit before taxation.

Equity method

This is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition changes in the investor's share of net assets of the investee. The profit or loss and other comprehensive income of the investor include the investor's share of the profit or loss and other comprehensive income of the investee

Events after the reporting period

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to the contingencies and commitments.

Exposure

A claim, contingent claim or position which carries a risk of financial loss.

F

Fair value

The amount for which an asset could be exchanged or a liability settled, between knowledgeable, willing parties in an arm's length transaction.

Fair value through profit or loss

A financial asset or financial liability that is held-for trading or upon initial recognition designated by the entity as fair value through profit or loss.

Finance lease

A contract whereby a lessor conveys to the lessee the right to use an asset for rent over an agreed period of time which is sufficient to amortise the capital outlay of the lessor. The lessor retains ownership of the asset but transfers substantially all risks and rewards of ownership to the lessee.

Financial assets

Any asset that is cash, equity instrument of another entity, a contractual right to receive cash or contractual right to receive another financial asset from another entity.

Financial guarantee contract

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial instrument

A financial instrument is any contract that gives rise to both a financial asset in one entity and a financial liability or equity instrument in another entity.

Financial liabilities

A contractual obligation to deliver cash or other financial asset to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

G

Global reporting initiative (GRI)

GRI is a leading organisation in the sustainability filed. GRI promotes the use of sustainability reporting as a way for organisation to become more sustainable and contribute to sustainable development.

Going Concern

The Financial Statements are normally prepared on the assumption that an entity is a going concern and will continue in operation for the foreseeable future. Hence, it is assumed that the entity has neither the intention nor the need to liquidate or curtail materially the scale of its operations.

Gross dividend

The proportion of profit distributed to shareholders including the tax withheld.

Guarantees

An assurance made by a third party (Guarantor) who is not a party to contract between two others, that the guarantor will be liable if the Guarantee fails to fulfil the contractual obligation

H

Hire purchase

A contract between hirer and financier where the hirer takes on hire a particular article from the financier, with the option to purchase the article at the conclusion of the agreed rental payments.

I

Impaired loans

Impaired loans are loans where the company does not expect to collect all the contractual cash flows or expects to collect them later than they are contractually due.

Impairment

This occurs when the recoverable amount of an asset is less than its carrying amount.

Impairment charge/(reversal)

An increase/(decrease) of the difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset compared to the previous reporting date.

Individual impairment

Impairment is measured on an individual basis for non-homogeneous groups of lending facilities that are considered as individually significant.

Individual significant loans

Exposures which are above a certain threshold decided by the management which should be assessed for objective evidence, measurement and recognition of impairment on an individual basis.

Intangible asset

An identifiable non-monetary asset without physical substance.

Integrated reporting

A methodology of reporting an organisation's strategy, governance, financial performance and prospects in relation to the creation of value over the short, medium and long-term in its economic, social and environmental context.

Interest cover

Earnings before interest and taxes divided by interest cost. This indicates the number of times interest expenses is covered by earnings before interest and tax; ability to cover interest expenses.

Interest spread

Represents the difference between the average interest rate earned on average interest earning assets and the average interest rate paid on average interest bearing liabilities.

GLOSSARY OF TERMS

K

Key management personnel (KMP)

People those who are having authority and responsibility for planning, directing and controlling the activities of the entity.

L

Lending portfolio

Total value of lending products net of unearned income, amounts received in advance and allowance for impairment.

Letter of credit (LC)

Written undertakings by a Bank on behalf of its customers, authorising a third party to draw on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Liquid assets

Assets that are held in cash or in a form that can be converted to cash readily.

Loss given default (LGD)

The percentage of an exposure that a lender expects to lose in the event of obligor default.

Loan to value ratio (LTV)

The LTV ratio is a mathematical calculation which expresses the amount of a first mortgage lien as a percentage of the total appraised value of real property. The LTV ratio is used in determining the appropriate level of risk for the loan and therefore the correct price of the loan to the borrower.

M

Market capitalisation

Number of ordinary shares in issue multiplied by the market value of a share as at a date.

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of financial statement.

N

Net assets value per share (NAV)

Shareholders' funds excluding preference shares, if any, divided by the number of ordinary shares in issue.

Net interest income

The difference between interest income earned from interest earning assets and interest expenses incurred on interest-bearing liabilities.

Net interest margin (NIM)

Net interest income expressed as a percentage of average interest earning assets.

Non-performing loans/advances (NPL)

The aggregate value of the advances portfolio that has been delinquent for a period of more than 90 days.

Non-Performing Loans Cover

Cumulative loan provision as a percentage of total non-performing loans (net of interest in suspense)

NPL ratio

Total non-performing loans as a percentage of the total lending portfolio.

Non-recurring profit

A one time or highly infrequent profit.

O

Off-balance sheet transactions

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, which give rise to the commitment and contingencies in future.

Operational Risk

This refers to the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events.

P

Price earnings ratio (P/E ratio)

Market price of a share divided by earnings per share; reflects number of years that would be taken to recoup shareholders' capital outlay in the form of earnings.

Probability of default (PD)

An internal estimate for each borrower grade of the likelihood that an obligor will default on an obligation.

R

Related party

Parties have the ability to control or exert a significant influence over the company's financial and operating decisions.

Return on assets (ROA)

Net profit for the year expressed as a percentage of average total assets; indicates overall effectiveness in generating profits with available assets.

Return on equity (ROE)

Net profit for the year, less dividends on preference shares, if any, expressed as a percentage of average shareholders' funds/equity.

Repurchase agreement (Repo)

Contract to sell and subsequently repurchase government securities at a specified date and price.

Risk-weighted assets

On balance sheet assets and the credit equivalent of off balance sheet assets multiplied by the relevant risk weighting factors.

S

Shareholders' funds

Total of issued and fully paid share capital and revenue reserves.

T

Tier I capital

Core capital representing permanent shareholders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

Tier II capital

Supplementary capital representing revaluation reserves, general provisions and debt instruments such as subordinated term debts and other hybrid capital instruments which combine certain characteristics of equity and debt.

Total shareholder return

Combines share price appreciation and dividends paid to show the total return to the shareholder expressed as an annualised percentage.

U

Useful life

The period over which an asset is expected to be available for use by an entity or the number of production or similar units expected to be obtained from the asset by an entity.

V

Value added

Wealth created by providing banking and other services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to government by way of taxes and retained for expansion and growth.

Y

Yield to maturity

Discount rate at which the present value of future cash flows would equals the security's current price.

CORPORATE INFORMATION

As at 31st March 2025

NAME OF COMPANY

L B Finance PLC

LEGAL FORM

Public Limited Liability Company Incorporated in Sri Lanka under the provisions of the Companies Ordinance No.51 of 1938 (Cap 145) and re-registered as per the Companies Act No. 07 of 2007 on 06th June, 2008.

A Licensed Finance Company under the Finance Business Act No. 42 of 2011.

A Registered Financed Leasing Establishment in terms of Finance Leasing Act No. 56 of 2000.

STOCK EXCHANGE LISTING

The Company was admitted to the official list of the Colombo Stock Exchange on 30th December, 1997, in which the Company's Ordinary Shares are listed currently.

DATE OF INCORPORATION

30th May 1971

COMPANY REGISTRATION NUMBER

PQ 156

TAX PAYER IDENTIFICATION NUMBER

104033431

VAT REGISTRATION NUMBER

104033431 7000

CENTRAL BANK REGISTRATION NUMBER

RFC 1003

PRINCIPAL ACTIVITIES

The Company provides a comprehensive range of financial services encompassing acceptance of Fixed Deposits, maintenance of Savings Accounts, providing Finance Leases and Vehicle Loan Facilities, Mortgage Loans, Gold Loans, Personal Loans, other Credit Facilities, Digital Financial Services and Value Added Services.

Principal Activities of the Company's Subsidiaries

L B Microfinance Myanmar Company Limited - carries on Microfinance lending in Myanmar.

Multi Finance PLC – Multi Finance PLC which was a subsidiary of the Company was amalgamated with the Company on 25th July 2024.

REGISTERED OFFICE

No. 275/75, Prof. Stanley Wijesundara Mawatha, Colombo 07.

Tel: 011- 2 200 000 Fax: 011-5 345 327

CORPORATE OFFICE

No. 20, Dharmapala Mawatha, Colombo 03.

Tel: 011-2 155 000 Fax: 011-2 575 098

OUTLETS

Two Hundred and Sixteen (216) Branches

WEBSITE

www.lbfinance.com

FINANCIAL YEAR END

31 March

CREDIT RATING

The Company has been assigned a national long-term rating of A- (lka) with a Stable Outlook by Fitch Ratings Lanka Limited.

BOARD OF DIRECTORS AND BOARD APPOINTED COMMITTEES

Board of Directors

Mr. G A R D Prasanna
(Chairman)

Mr. Ashane Jayasekera
(Independent Non-Executive Director/
Senior Director)

Mr. Sumith Adhihetty
(Managing Director)

Mr. Niroshan Udage
(Deputy Managing Director)

Mr. B D A Perera
(Executive Director)

Mr. Ravindra Yatawara
(Executive Director)

Ms. Yogadinusha Bhaskaran
(Non-Executive Director)

Ms. Ashwini Natesan
(Independent Non-Executive Director)

Mr. Dharmadasa Rangalle
(Non-Executive Director)

Ms. Yanika Amarasekera
(Independent Non-Executive Director)

Mr. Priyantha Talwatte
(Independent Non-Executive Director)

Mr. Piya Hennayake
(Independent Non-Executive Director)

Board Audit Committee

Mr. Ashane Jayasekera
(Chairman)

Ms. Yogadinusha Bhaskaran
Ms. Ashwini Natesan

Board Human Resource and Remuneration Committee

Ms. Yanika Amarasekera
(Chairperson)

Mr. G A R D Prasanna
Mr. Ashane Jayasekera

Board Nomination and Governance Committee

Mr. Ashane Jayasekera
(Chairman)

Mr. G A R D Prasanna
Ms. Ashwini Natesan

Board Related Party Transactions Review Committee

Mr. Piya Hennayake
(Chairman)

Mr. Dharmadasa Rangalle
Mr. Priyantha Talwatte

Board Integrated Risk Management Committee

Ms. Ashwini Natesan
(Chairperson)

Mr. Ashane Jayasekera
Ms. Yogadinusha Bhaskaran

CORPORATE INFORMATION

GRI: 2-28

Board Information Security Committee

Ms. Ashwini Natesan
(Chairperson)

Mr. Ashane Jayasekara

Mr. B D A Perera

Board Sustainability Committee

Ms. Yanika Amarasekera
(Chairperson)

Mr. G A R D Prasanna

Mr. Niroshan Udage

Ms. Ashwini Natesan

Mr. Piyal Hennayake

COMPANY SECRETARY

Ms. Tharanga Nandasena

EXTERNAL AUDITORS

KPMG Sri Lanka
Chartered Accountants

INTERNAL AUDITORS

Internal Audit Department of the Company
under the scrutiny of the Chief Internal
Auditor.

BANKERS

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Bank PLC

Hatton National Bank PLC

National Development Bank PLC

Nations Trust Bank PLC

Muslim Commercial Bank

Pan Asia Banking Corporation PLC

People's Bank

Sampath Bank PLC

Seylan Bank PLC

Standard Chartered Bank

Union Bank of Colombo PLC

Habib Bank Limited

Public Bank Berhad

SUBSIDIARY COMPANY

L B Microfinance Myanmar
Company Limited

(Company incorporated in the Union of the
Republic of Myanmar)

**Company Registration Number of
Subsidiary**

844FC of 2016 - 2017 (YGN)

Registered Office of Subsidiary

Myawaddy Bank Luxury Complex,
4th Floor

Apt 401 Bo Gyoke Road Cnr,

W A Dan Street

Lanmadaw Township

Yangon, Myanmar.

Board of Directors of Subsidiary

Mr. Sumith Adhihetty

Mr. Niroshan Udage

Mr. B D A Perera

Mr. Ravindra Yatawara

**CORPORATE MEMBERSHIPS AND
ASSOCIATIONS**

The Finance Houses Association
of Sri Lanka

Leasing Association of Sri Lanka

The Ombudsman Sri Lanka
(Guarantee) Limited

Mercantile Cricket Association

Mercantile Football Association

UN Global Compact Network Sri Lanka

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Fifty Second (52nd) Annual General Meeting of L B Finance PLC will be held at the Auditorium of the Corporate Office of the Company, No. 20, Dharmapala Mawatha, Colombo 3 on Monday, 30th June 2025 at 8.30 a.m to conduct the following business:

1. To receive the Annual Report of the Board of Directors on the affairs of the Company and its subsidiary and the Financial Statements for the year ended 31st March 2025 and the Report of the Auditors thereon.
2. To declare a final dividend of Rs. 4.25 per ordinary share as recommended by the Board of Directors.
3. To re-elect Mr. Dharmadasa Rangalle as a Director in terms of Articles 85 and 86 of the Articles of Association of the Company.
4. To re-elect Mr. B. D. A. Perera as a Director in terms of Articles 85 and 86 of the Articles of Association of the Company.
5. To re-elect Mr. Piyal Hennayake as a Director in terms of Article 93 of the Articles of Association of the Company.
6. To re-elect Mr. Priyantha Talwatte as a Director in terms of Article 93 of the Articles of Association of the Company.

7. To pass the ordinary resolution set out below to re-appoint Mr. John Anthony Sunil Sumith Adhihetty who attained the age of 74 years on 4th July 2024, as a Director of the Company;

"IT IS HEREBY RESOLVED THAT the age limit stipulated in Section 210 of the Companies Act No.07 of 2007 shall not apply to Mr. John Anthony Sunil Sumith Adhihetty who attained the age of 74 years on 4th July 2024 and that he be and is hereby re-appointed a Director of the Company from the date of the Annual General Meeting until 3rd July 2025."

8. To re-appoint the retiring Auditors Messrs. KPMG, Sri Lanka, Chartered Accountants, as the Company's Auditors and to authorize the Directors to determine their remuneration.
9. To authorize the Directors to determine donations for the year ending 31st March 2025 and up to the date of the next Annual General Meeting.

By Order of the Board
LB Finance PLC

Tharanga Nandasena
Company Secretary

May 30, 2025

Notes:

1. A shareholder is entitled to appoint a Proxy to attend and vote at the meeting on his/her behalf.
2. A Proxy need not be a shareholder of the Company.
3. A Form of Proxy accompanies this Notice.

FORM OF PROXY

I/We*

(holder of NIC/ Passport/Company Registration No.) of

..... shareholder/s of LB FINANCE PLC hereby appoint
..... (holder of NIC No.)

of or failing him/her*

Mr. Godewatta Arachchige Rasika Dimuth Prasanna	or failing him *
Mr. Moderage Ashane Joseph Waas Jayasekara	or failing him*
Mr. John Anthony Sunil Sumith Adhihetty	or failing him*
Mr. Niroshan Udage	or failing him*
Mr. Biyanwilage Dudley Auburn Perera	or failing him*
Mr. Ravindra Shanaka Yatawara	or failing him*
Mrs. Yogadinusha Bhaskaran	or failing her*
Mrs. Ashwini Natesan	or failing her*
Mr. Dharmadasa Rangalle	or failing him*
Mrs. Yanika Amarasekera	or failing her*
Mr. Piyal Dushantha Hennayake	or failing him*
Mr. Lakshitha Priyantha Bandara Talwatte	

as my/our* proxy to represent me/us* to speak and to vote as indicated hereunder for me/us* and on my/our* behalf at the Fifty Second (52nd) Annual General Meeting of the Company to be held on 30th June 2025 and at every poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

		For	Against
1	To receive the Annual Report of the Board of Directors on the affairs of the Company and its subsidiary and the Financial Statements for the year ended 31st March 2025 and the Report of the Auditors thereon.	☐	☐
2	To declare a final dividend of Rs. 4.25 per ordinary share as recommended by the Board of Directors.	☐	☐
3	To re-elect Mr. Dharmadasa Rangalle as a Director in terms of Articles 85 and 86 of the Articles of Association of the Company.	☐	☐
4	To re-elect Mr. B. D. A. Perera as a Director in terms of Articles 85 and 86 of the Articles of Association of the Company.	☐	☐
5	To re-elect Mr. Piyal Hennayake as a Director in terms of Article 93 of the Articles of Association of the Company.	☐	☐
6	To re-elect Mr. Priyantha Talwatte as a Director in terms of Article 93 of the Articles of Association of the Company.	☐	☐
7	To pass the ordinary resolution set out below to re-appoint Mr. John Anthony Sunil Sumith Adhihetty who attained the age of 74 years on 4th July 2024, as a Director of the Company;		
	"IT IS HEREBY RESOLVED THAT the age limit stipulated in Section 210 of the Companies Act No.07 of 2007 shall not apply to Mr. John Anthony Sunil Sumith Adhihetty who attained the age of 74 years on 4th July 2024 and that he be and is hereby re-appointed a Director of the Company from the date of the Annual General Meeting until 3rd July 2025."	☐	☐
8	To re-appoint the retiring Auditors Messrs. KPMG, Sri Lanka, Chartered Accountants, as the Company's Auditors and to authorize the Directors to determine their remuneration.	☐	☐
9	To authorize the Directors to determine donations for the year ending 31st March 2025 and up to the date of the next Annual General Meeting.	☐	☐

In witness my/our* hands this day of Two Thousand and Twenty Five.

.....
Signature of Shareholder/s

*Please delete what is inapplicable.

FORM OF PROXY

INSTRUCTIONS FOR COMPLETION

1. The Full name, National Identity Card / Passport / Company Registration number (as applicable) and the registered address of the shareholder appointing the Proxy and the relevant details of the Proxy [Full name, National Identity Card / Passport No. and the address] should be legibly entered in the Form of Proxy which should be duly signed and dated.
2. The completed Proxy should be deposited at the Registered Office of the Company, No.275/75, Professor Stanley Wijesundera Mawatha, Colombo 07, by 8.30 a.m. on 30th June 2025.
3. The Proxy shall –
 - (a) In the case of an individual be signed by the shareholder or by his/her attorney, and if signed by an Attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Proxy if it has not already been registered with the Company.
 - (b) In the case of a company or corporate/statutory body either be under its Common Seal or signed by its Attorney or by an Officer on behalf of the company or corporate/statutory body in accordance with its Articles of Association or the Constitution or the Statute (as applicable).
4. Please indicate with a 'X' how the Proxy should vote on each resolution. If no indication is given, the Proxy in his/her discretion will vote as he/she thinks fit.
5. Articles 59 to 62 of the Articles of Association of the Company dealing with voting are quoted below for information of the shareholders.

59 METHOD OF VOTING

At any General Meeting a resolution put to the vote of the meeting shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded by-

- i. the Chairman of the meeting; or
- ii. not less than three persons present in person or by Attorney or representative or by proxy and entitled to vote; or
- iii. a Member or Members present in person or by Attorney or representative or by proxy and representing not less than one tenth of the total voting rights of all the Members having the right to vote at the meeting; or
- iv. a Member or Members present in person or by attorney or representative or by proxy and holding shares in the Company conferring a right to vote at the meeting being shares on which an aggregate sum has been paid up equal to not less than one tenth of the total sum paid up on all the shares conferring that right.

A demand for a poll may be withdrawn, unless a poll be demanded (and the demand be not withdrawn) a declaration by the Chairman of the meeting that a resolution has been carried, or carried unanimously, or by a particular majority, or lost, and an entry to that effect in the minute book, shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded for or against such resolution.

60 HOW A POLL IS TO BE TAKEN

If a poll is duly demanded (and the demand be not withdrawn), it shall be taken in such manner (including the use of ballot or voting papers or tickets) as the Chairman of the meeting may direct, and the results of a poll shall be deemed to be the resolution of the meeting at which the poll was demanded. The Chairman may (and if so requested shall) appoint scrutinisers and may adjourn the meeting to some place and time fixed by him for the purpose of declaring the result of the poll.

- 61** In the case of an equality of votes, whether on a show of hands or on a poll, the Chairman of the meeting at which the show of hands takes place or at which the poll is demanded shall be entitled to a second or casting vote.
- 62** A poll demanded on the election of a Chairman of the meeting or on a question of an adjournment shall be taken forthwith. A poll demanded on any other question shall be taken either immediately or at such subsequent time (not being more than thirty days from the date of the meeting) and place as the Chairman may direct. No notice need be given of a poll not taken immediately."

FEEDBACK FORM

We would like to hear thoughts, concerns or problems about this report so that we may take measures for improvement.

Please mention your relationship with L B Finance – Please tick (✓) the appropriate box.

Shareholder		Employee		Customer	
Business Partner		Regulators/Government		Society	

Select the preferred communication method to contact you – Please tick (✓) the appropriate box.

Phone		Website		Letter	
Email		Other			

Your views on Annual Report 2024/25 - Please tick (✓) the appropriate box.

Indicator	Excellent	Good	Bad	Poor
Design and layout				
Content and Disclosures				
Theme and focus				

Please write details of your feedback here:

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Comments/Suggestions

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Please provide your contact details

Name :

Tel :

Email :

Thanking you for taking your time. You can post or Email your feedback to:

Senior Manager – Corporate Strategy and Sustainability

LB Finance PLC

Corporate office

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